Severn Residential Mortgages 2026-1 plc

Residential Mortgage-Backed Floating Rate Notes due 2064

Issue Date: 14 May 2026

Important Notice

This offering circular is a teaching document written for the book *Learning AI from Zero — Build Your Own AI Agent*. The Issuer, the Seller, the trustee, the banks and every mortgage loan described here are fictional. Any resemblance to a real company or person is a coincidence. It is shorter than a real offering circular, which runs to several hundred pages, and it is laid out differently from the Thames Auto Receivables prospectus on purpose: dates are written in words, percentages are written "per cent", and the priorities of payments are lettered.

Capitalised terms are defined in the Glossary of Defined Terms at the end of this document.

Responsibility

Severn Residential Mortgages 2026-1 plc (the "Issuer") accepts responsibility for the information contained in this offering circular (the "Offering Circular") relating to its Class A Mortgage Backed Floating Rate Notes, Class B Mortgage Backed Floating Rate Notes, Class C Mortgage Backed Floating Rate Notes, Class D Mortgage Backed Floating Rate Notes and Class Z Mortgage Backed Notes, each due on the Final Maturity Date (together, the "Notes", and the Class A Notes to the Class D Notes together, the "Rated Notes"). To the best of the knowledge and belief of the Issuer, having taken all reasonable care to ensure that such is the case, the information contained in this Offering Circular is in accordance with the facts and does not omit anything likely to affect the import of such information.

Marlowe Building Society (the "Seller") accepts responsibility for the information contained in Section 10 (*The Seller and Mortgage Administrator*), Section 11 (*Origination and Underwriting*), Section 12 (*Lending Criteria and Loan Warranties*), Section 13 (*The Provisional Portfolio*), Section 14 (*Servicing and Arrears Management*) and Section 17 (*Risk Retention and Regulatory Disclosures*), in so far as that information relates to the Seller, to the Mortgage Loans or to its retention of a material net economic interest. To the best of the knowledge and belief of the Seller, having taken all reasonable care to ensure that such is the case, the information in those Sections is in accordance with the facts and does not omit anything likely to affect the import of such information. Save as aforesaid, the Seller has not separately verified the information contained in this Offering Circular and accepts no responsibility for it.

Halcyon Bank plc (the "Swap Provider") accepts responsibility for the information in Section 15 (*Cash Management, Accounts and the Swap*) that describes it, and Halcyon Bank plc (the "Account Bank") accepts responsibility for the information in that Section that describes it in that capacity. Neither accepts responsibility for any other part of this Offering Circular.

No Other Representations

No person has been authorised by Halcyon Bank plc (the "Arranger"), by the Issuer, the Seller, the Note Trustee, the Security Trustee or any other party to the Transaction Documents to give any in-

formation or to make any representation not contained in this Offering Circular in connection with the issue or sale of the Notes, and, if given or made, such information or representation must not be relied upon as having been authorised by any of them. Neither the delivery of this Offering Circular nor any sale made in connection with it shall, in any circumstances, imply that the information contained in it is correct at any time after its date, or that there has been no change in the affairs of the Issuer or the Seller, or in the characteristics of the Provisional Portfolio, since the date of this Offering Circular or, in the case of the Provisional Portfolio, since the Portfolio Reference Date.

None of the Arranger, the Note Trustee, the Security Trustee, the Swap Provider, the Account Bank and Pellam Corporate Services Ltd (the "Corporate Services Provider") has independently verified the information contained in this Offering Circular. None of them makes any representation, warranty or undertaking, express or implied, or accepts any responsibility, as to the accuracy or completeness of that information, or of any other information supplied in connection with the Notes or their distribution. Each person receiving this Offering Circular acknowledges that it has not relied on any of them in connection with its investigation of the accuracy of that information or its investment decision.

This Offering Circular does not constitute an offer of, or an invitation to subscribe for or purchase, any of the Notes, and it should not be considered as a recommendation by the Issuer, the Seller or the Arranger that any recipient should subscribe for or purchase any of the Notes. Each investor contemplating the purchase of Notes should make its own independent investigation of the financial condition and affairs of the Issuer, of the Mortgage Loans and of the terms of the Notes, and its own appraisal of the creditworthiness of the Issuer, having regard in particular to Section 1 (*Risk Factors*).

Suitability

The Notes are complex instruments which are not a suitable investment for all investors. Each prospective investor must determine the suitability of an investment in the Notes in the light of its own circumstances. In particular, each investor should: (a) have sufficient knowledge and experience to make a meaningful evaluation of the Notes, the merits and risks of investing in them and the information contained in this Offering Circular; (b) have access to, and knowledge of, appropriate analytical tools to evaluate the effect of changes in Compounded Daily SONIA, in the Bank Rate, in the rate of prepayment of the Mortgage Loans, in arrears and possessions and in residential property prices on the amount and timing of payments on the Notes; (c) have sufficient financial resources and liquidity to bear all of the risks of an investment in the Notes, including the risk that the Notes are not redeemed on the Step-Up Date (20 July 2031) and remain outstanding until the Final Maturity Date (20 July 2064); and (d) understand thoroughly the terms of the Notes and the Priorities of Payments, and in particular the subordination of each Class of Notes to the Classes ranking above it.

Investors whose investment activities are subject to legal investment laws and regulations, or to review or regulation by certain authorities, should consult their own legal advisers to determine whether, and to what extent, the Notes are legal investments for them, can be used as collateral for various types of borrowing and are subject to other restrictions on their purchase or pledge. Financial institutions should consult their legal advisers or the appropriate regulators to determine the treatment of the Notes under any applicable risk-based capital, liquidity or similar rules.

Selling Restrictions

The distribution of this Offering Circular and the offering, sale and delivery of the Notes in certain jurisdictions may be restricted by law. Persons into whose possession this Offering Circular comes are required by the Issuer and the Arranger to inform themselves about, and to observe, any such restrictions. This Offering Circular does not constitute an offer to sell, or the solicitation of an offer to buy, any Notes in any jurisdiction in which such offer or solicitation is unlawful.

The Notes have not been and will not be registered under the United States Securities Act of 1933, as amended (the "Securities Act"), or the securities laws of any state of the United States, and they may not be offered, sold or delivered within the United States or to, or for the account or benefit of, U.S. persons (as defined in Regulation S under the Securities Act) except in transactions exempt from, or not subject to, the registration requirements of the Securities Act. The Issuer has not been and will not be registered under the United States Investment Company Act of 1940, as amended. A summary of the restrictions on offers and sales of the Notes in the United Kingdom, the European Economic Area and the United States is set out in Section 19 (*Subscription and Sale*).

Prohibition of Sales to UK Retail Investors

The Notes are not intended to be offered, sold or otherwise made available to, and should not be offered, sold or otherwise made available to, any retail investor in the United Kingdom. For these purposes, a "retail investor" means a person who is one (or more) of: (a) a retail client, as defined in point (8) of Article 2 of Commission Delegated Regulation (EU) 2017/565 as it forms part of domestic law by virtue of the European Union (Withdrawal) Act 2018 (the "EUWA"); or (b) a customer within the meaning of the provisions of the Financial Services and Markets Act 2000 ("FSMA") and any rules or regulations made under FSMA to implement Directive (EU) 2016/97, where that customer would not qualify as a professional client, as defined in point (8) of Article 2(1) of Regulation (EU) No 600/2014 as it forms part of domestic law by virtue of the EUWA ("UK MiFIR"). Consequently, no key information document or other disclosure document required under the United Kingdom rules on packaged retail and insurance-based investment products, or under any rules that replace them for retail investment products, for offering or selling the Notes or otherwise making them available to retail investors in the United Kingdom has been prepared, and offering or selling the Notes or otherwise making them available to any retail investor in the United Kingdom may be unlawful. The sale of the Notes to retail clients is further restricted by the Securitisation Regulations 2024 (SI 2024/102) and the Securitisation sourcebook of the FCA Handbook ("SECN").

Prohibition of Sales to EEA Retail Investors

The Notes are not intended to be offered, sold or otherwise made available to, and should not be offered, sold or otherwise made available to, any retail investor in the European Economic Area (the "EEA"). For these purposes, a "retail investor" means a person who is one (or more) of: (a) a retail client, as defined in point (11) of Article 4(1) of Directive 2014/65/EU (as amended, "MiFID II"); or (b) a customer within the meaning of Directive (EU) 2016/97 (as amended), where that customer would not qualify as a professional client, as defined in point (10) of Article 4(1) of MiFID II. Consequently, no key information document required by Regulation (EU) No 1286/2014 (as amended, the "EU PRIIPs Regulation") for offering or selling the Notes or otherwise making them available to retail investors in the EEA has been prepared, and offering or selling the Notes or otherwise making them available to any retail investor in the EEA may be unlawful under the EU PRIIPs Regulation.

UK MiFIR Product Governance — Professional Investors and Eligible Counterparties Only

Solely for the purposes of the manufacturer's product approval process, the target market assessment in respect of the Notes has led to the conclusion that: (a) the target market for the Notes is only eligible counterparties, as defined in the FCA Handbook Conduct of Business Sourcebook, and professional clients, as defined in UK MiFIR; and (b) all channels for distribution of the Notes to eligible counterparties and professional clients are appropriate. Any person subsequently offering, selling or recommending the Notes (a "Distributor") should take into consideration the manufacturer's target market assessment; however, a Distributor subject to the FCA Handbook Product Intervention and Product Governance Sourcebook is responsible for undertaking its own target

market assessment in respect of the Notes (by either adopting or refining the manufacturer's target market assessment) and determining appropriate distribution channels.

MiFID II Product Governance — Professional Investors and Eligible Counterparties Only

Solely for the purposes of the manufacturer's product approval process, the target market assessment in respect of the Notes has led to the conclusion that: (a) the target market for the Notes is only eligible counterparties and professional clients, each as defined in MiFID II; and (b) all channels for distribution of the Notes to eligible counterparties and professional clients are appropriate. Any Distributor subject to MiFID II is responsible for undertaking its own target market assessment in respect of the Notes and determining appropriate distribution channels.

No Listing

No application has been made, or will be made, for the Notes to be admitted to listing or to trading on any stock exchange, regulated market, multilateral trading facility or other trading venue. This Offering Circular has not been reviewed or approved by the Financial Conduct Authority (the "FCA") or by any other competent authority, and it is not a prospectus for the purposes of the Public Offers and Admissions to Trading Regulations 2024 or of Regulation (EU) 2017/1129 (as amended). The Notes are offered only to professional investors in the United Kingdom and the EEA, in circumstances in which no prospectus is required to be published. There is currently no secondary market for the Notes, and there can be no assurance that one will develop.

Ratings

The Rated Notes are expected, on issue, to be assigned the ratings set out in Section 3 (*The Notes*) by the credit rating agencies appointed by the Issuer (the "Rating Agencies"). The Class Z Notes will not be rated. Each of the Rating Agencies is established in the United Kingdom and is registered under Regulation (EC) No 1060/2009 as it forms part of domestic law by virtue of the EUWA (the "UK CRA Regulation"). A rating of a Class of Rated Notes addresses the likelihood of timely payment of interest and the ultimate payment of principal on or before the Final Maturity Date; it does not address the likelihood that the Notes will be redeemed on the Step-Up Date. A rating is not a recommendation to buy, sell or hold securities and may be subject to revision, suspension or withdrawal at any time by the assigning Rating Agency.

Forward-Looking Statements

This Offering Circular contains forward-looking statements, including statements about the expected performance of the Mortgage Loans, the expected rates of prepayment and of product switching, the expected level of arrears and possessions and the expected weighted average lives of the Notes. Such statements are identified by words such as "expects", "anticipates", "intends", "estimates", "may" and "will", and by similar expressions. They are based on assumptions made by the Issuer and the Seller and are subject to risks, uncertainties and other factors which may cause the actual results to differ materially from those expressed or implied, including changes in the economy of the United Kingdom, unemployment, household incomes, the Bank Rate, residential property prices, the regulation of mortgage lending by the FCA and the policies of the Seller. The weighted average lives in Section 16 are based on the modelling assumptions stated in that Section and are illustrative only. None of the Issuer, the Seller and the Arranger undertakes to update any forward-looking statement.

Presentation of Information

In this Offering Circular, references to "£", "pounds" and "sterling" are to the lawful currency of the United Kingdom. Amounts in the tables are stated in pounds without the "£" symbol where

the column heading so indicates. Totals may not equal the sum of their components because of rounding. Unless stated otherwise, percentages of the Provisional Portfolio are calculated by reference to its aggregate current balance on the Portfolio Reference Date (31 March 2026), when it comprised 1,912 Mortgage Loans with an aggregate current balance of 400,000,000. The portfolio sold to the Issuer on the Issue Date (14 May 2026) will differ from the Provisional Portfolio as a result of repayments, redemptions and the removal of any Mortgage Loan that does not satisfy the Loan Warranties on the Issue Date.

References to a "Section" are to a Section of this Offering Circular, references to a "Condition" are to the relevant paragraph of the Terms and Conditions of the Notes set out in Section 4, and references to any statute, regulation or rule are to it as amended, replaced or re-enacted from time to time.

Benchmark Statement

Interest on the Rated Notes is calculated by reference to Compounded Daily SONIA, which is derived from the Sterling Overnight Index Average ("SONIA"), as described in Section 3 and in the Conditions. SONIA is provided by the Bank of England as administrator. As at the date of this Offering Circular, the Bank of England does not appear on the register of administrators and benchmarks established and maintained by the FCA under Article 36 of Regulation (EU) 2016/1011 as it forms part of domestic law by virtue of the EUWA (the "UK Benchmarks Regulation"). As far as the Issuer is aware, the Bank of England, as a central bank, is not required to be so registered, because the UK Benchmarks Regulation does not apply to central banks.

The Notes are Obligations of the Issuer Only

The Notes will be obligations of the Issuer only. They will not be obligations of, or the responsibility of, and will not be guaranteed by, the Seller, the Mortgage Administrator, the Cash Manager, the Arranger, the Swap Provider, the Account Bank, the Note Trustee, the Security Trustee, the Corporate Services Provider, Holdings (as defined in Section 2) or any other person. The Notes are limited recourse obligations of the Issuer: once the Mortgage Loans and the other assets charged by the Issuer have been realised and their proceeds applied in accordance with the applicable Priority of Payments, the Noteholders will have no further claim against the Issuer for any amount remaining unpaid. The Notes are not deposits with, and are not protected by any deposit guarantee scheme or by the Financial Services Compensation Scheme in respect of, the Seller or any other person.

Stabilisation

No stabilisation will be carried out in connection with the issue of the Notes.

Key Terms

Term	Detail
Issuer	Severn Residential Mortgages 2026-1 plc
Seller	Marlowe Building Society
Mortgage Administrator	Marlowe Building Society
Cash Manager	Marlowe Building Society
Note Trustee and Security Trustee	Kingsgate Trustees Limited
Issuer Account Bank and Swap Provider	Halcyon Bank plc
Arranger	Halcyon Bank plc
Portfolio Reference Date	31 March 2026
Issue Date	14 May 2026
First Interest Payment Date	20 July 2026
Interest Payment Dates	The 20th day of January, April, July and October
Step-Up Date	20 July 2031
Final Maturity Date	20 July 2064
Denomination	Sterling
Provisional Portfolio	1,912 first-ranking residential mortgage loans
Aggregate current balance of the Provisional Portfolio	400,000,000

Overview. On the Issue Date the Issuer will buy the Provisional Portfolio from the Seller and pay for it with the proceeds of the Notes. The Mortgage Administrator will continue to collect the borrowers' monthly payments. The Cash Manager will apply the receipts on each Interest Payment Date, quarterly, in the orders set out in the Revenue Priority of Payments and the Principal Priority of Payments.

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Section 1 — Risk Factors

The following is a description of the principal risks which the Issuer believes are material to an investment in the Notes and which may affect the ability of the Issuer to fulfil its obligations under the Notes. Most of these factors are contingencies which may or may not occur, and the Issuer is not in a position to express a view on the likelihood of any such contingency occurring. Prospective investors should read the whole of this offering circular, including the Sections to which this Section 1 refers, and should reach their own views before making any investment decision.

The inability of the Issuer to pay interest, principal or other amounts on the Notes may occur for other reasons, and the Issuer does not represent that the statements below are exhaustive or that risks not presently known to it will not affect the amounts received by holders of the Notes (the "Noteholders"). The order in which the risk factors appear is not an indication of the likelihood of the risks occurring or of the extent of their consequences.

In this Section 1, Severn Residential Mortgages 2026-1 plc is referred to as the "Issuer"; Severn Residential Mortgages Holdings Limited, which holds the entire issued share capital of the Issuer, as "Holdings"; Marlowe Building Society, in its capacities as seller of the mortgage loans, administrator of the mortgage loans and cash manager, as the "Seller", the "Mortgage Administrator" and the "Cash Manager" respectively; Halcyon Bank plc, in its capacities as account bank of the Issuer, swap counterparty and arranger, as the "Account Bank", the "Swap Provider" and the "Arranger" respectively; and Pellam Corporate Services Ltd, which provides directors, company secretarial and administrative services to the Issuer and Holdings, as the "Corporate Services Provider". The trustee for the Noteholders is referred to as the "Note Trustee", and the trustee holding the security for the secured creditors of the Issuer as the "Security Trustee". The rating agencies which have been asked to rate the Class A Notes, the Class B Notes, the Class C Notes and the Class D Notes (together, the "Rated Notes") are referred to as the "Rating Agencies". Each of the Class A Notes, the Class B Notes, the Class C Notes, the Class D Notes and the Class Z Notes is a "Class" of Notes.

The residential mortgage loans which the Issuer will acquire from the Seller on 14 May 2026 (the "Issue Date") are referred to as the "Loans", and the Loans together with their Related Security as the "Portfolio". "Related Security" means, in relation to a Loan, the first-ranking legal mortgage over the relevant residential property in England or Wales, or the first-ranking standard security over the relevant residential property in Scotland, which secures that Loan, together with all other rights of the Seller in relation to that Loan. Each residential property subject to Related Security is a "Property" and each individual obliged to repay a Loan is a "Borrower". Loans secured over Properties in England or Wales are "English Loans" and Loans secured over Properties in Scotland are "Scottish Loans". The Loans which were selected for the Provisional Portfolio as at 31 March 2026 (the "Portfolio Reference Date") are described in Section 13.

The agreements under which the transaction is constituted are referred to as follows: the mortgage sale agreement between the Seller, the Issuer and the Security Trustee (the "Mortgage Sale Agreement"); the mortgage administration agreement between the Mortgage Administrator, the Issuer and the Security Trustee (the "Mortgage Administration Agreement"); the cash management agreement between the Cash Manager, the Issuer and the Security Trustee (the "Cash Management Agreement"); the bank account agreement between the Account Bank, the Issuer, the Cash Manager and the Security Trustee (the "Bank Account Agreement"); the interest rate swap agreement between the Issuer, the Swap Provider and the Security Trustee (the "Swap Agreement"); the subordinated loan agreement under which the Seller makes the Subordinated Loan to the Issuer (the "Subordinated Loan Agreement"); the trust deed constituting the Notes (the "Trust Deed"); the deed of charge under which the Issuer grants security over its assets (the "Deed of Charge"); and the corporate services agreement with the Corporate Services Provider (the "Corporate Services Agreement"). These agreements, together with the other documents entered into in connection with the issue of the Notes, are the "Transaction Documents". The terms and conditions of the Notes set out in Section 4 are the "Conditions".

Risks relating to the Notes and the structure of the transaction

The Notes are obligations of the Issuer only and are limited recourse obligations.

The Notes will be obligations solely of the Issuer. They will not be obligations of, and will not be guaranteed by, Holdings, the Seller, the Mortgage Administrator, the Cash Manager, the Account Bank, the Swap Provider, the Arranger, the Corporate Services Provider, the Note Trustee, the Security Trustee or any other person. None of those persons accepts any liability whatsoever in respect of any failure by the Issuer to make any payment of any amount due on the Notes, and no such person has any obligation to provide funds to the Issuer, other than the Seller and the Swap Provider in the limited circumstances, and to the limited extent, expressly set out in the Transaction Documents.

The Notes are limited recourse obligations. The Issuer's obligation to pay any amount in respect of the Notes is limited to the amounts that the Issuer actually receives or recovers in respect of the Portfolio and its other assets, and that are available for that purpose under the Revenue Priority of Payments set out in Section 6, the Principal Priority of Payments set out in Section 7 or, following the delivery of a notice of enforcement by the Note Trustee to the Issuer (an "Enforcement Notice"), the post-enforcement priority of payments set out in the Conditions. If, once the Security Trustee has realised the security created by the Deed of Charge and distributed the proceeds in accordance with the applicable priority of payments, the amounts available are insufficient to pay in full all amounts due on a Class of Notes, the Noteholders of that Class will have no further claim against the Issuer in respect of the unpaid amounts, which will be extinguished.

The Issuer has no significant assets other than the Portfolio and its rights under the Transaction Documents, and its ability to pay the Notes depends on the receipts it obtains from those assets.

The Issuer is a special purpose company incorporated in England and Wales for the purpose of issuing the Notes and acquiring the Portfolio, as described in Section 9. The Issuer has no business operations other than those incidental to the transaction, no employees and no subsidiaries. Its only material assets will be the Portfolio, its rights under the Mortgage Sale Agreement, the Mortgage Administration Agreement, the Swap Agreement and the other Transaction Documents, and the balances standing to the credit of its accounts held with the Account Bank, including the General Reserve Fund and the Liquidity Reserve Fund described in Section 5.

The ability of the Issuer to meet its obligations under the Notes will depend primarily on the receipt by it, in a timely manner, of payments of interest and principal by the Borrowers under the Loans, of the proceeds of enforcement of the Related Security, of net payments under the Swap Agreement, of interest on its bank accounts and of any repurchase price payable by the Seller under the Mortgage Sale Agreement. If there is a shortfall in those receipts, the Issuer will have no other source of funds, apart from the reserve funds and the use of Available Principal Receipts to meet certain revenue shortfalls described below, from which to make good the shortfall. Other than the Subordinated Loan made on the Issue Date to fund the reserve funds and certain initial expenses, the Issuer will not have the benefit of any liquidity facility, guarantee or other form of credit support from any third party.

The Notes of each Class are subordinated to the Notes of each more senior Class, and the Noteholders of the junior Classes bear losses on the Portfolio before the Noteholders of the senior Classes.

The Notes of each Class rank in order of seniority, the Class A Notes ranking ahead of the Class B Notes, the Class B Notes ahead of the Class C Notes, the Class C Notes ahead of the Class D Notes and the Class D Notes ahead of the Class Z Notes, both as to payments of interest (the Class Z Notes bearing no interest) and as to payments of principal, in each case as set out in the Revenue Priority of Payments in Section 6, the Principal Priority of Payments in Section 7 and the post-enforcement priority of payments set out in the Conditions. The level of subordination available to each Class of Notes on the Issue Date is described in Section 5.

The subordination of the junior Classes is the principal form of credit enhancement available to the senior Classes. If the Portfolio suffers Realised Losses, those losses will in effect be borne first by the Class Z Noteholders, then by the Class D Noteholders, then by the Class C Noteholders, then by the Class B Noteholders and finally by the Class A Noteholders, in each case to the extent that the losses exceed the amounts available from excess Available Revenue Receipts and from the General Reserve Fund to make good the corresponding debit balances on the Principal Deficiency Ledger. There is no assurance that the subordination provided to any Class will protect the Noteholders of that Class from all risk of loss.

Losses and the use of principal to pay revenue items are recorded on the Principal Deficiency Ledger, and a debit balance on a sub-ledger which is not cleared will result in a loss of principal on the corresponding Class of Notes.

The Issuer will maintain a principal deficiency ledger comprising one sub-ledger for each Class of Notes (together, the "Principal Deficiency Ledger"). Realised Losses on the Loans, and any Available Principal Receipts applied under item (a) of the Principal Priority of Payments in Section 7 to meet a revenue shortfall, will be debited to the Principal Deficiency Ledger, starting with the Class Z sub-ledger and moving up through the Class D, Class C and Class B sub-ledgers to the Class A sub-ledger, in each case up to the principal amount outstanding of the corresponding Class. Amounts will be credited to the sub-ledgers out of Available Revenue Receipts, in order of seniority, at the levels in the Revenue Priority of Payments set out in Section 6.

The Principal Deficiency Ledger is designed so that excess revenue from the Portfolio, which would otherwise be paid down the Revenue Priority of Payments to the Subordinated Loan and as deferred consideration to the Seller, is converted into principal and applied to redeem the Notes in an amount equal to the losses suffered. Whether a debit balance can be cleared will depend on the amount of excess revenue generated by the Portfolio after payment of senior expenses, net amounts due to the Swap Provider and interest on the Rated Notes. That excess revenue will itself be reduced by the factors that generate losses: a Borrower who is in arrears pays no interest, a Loan which is enforced ceases to generate revenue, and the costs of enforcement are deducted from recoveries. Excess revenue will also be reduced if the weighted average interest rate of the Portfolio falls, for example because higher-yielding Loans prepay, because Borrowers switch to lower-rate products or because the standard variable rate is reduced.

A debit balance on a sub-ledger which has not been cleared by the time the Notes of the relevant Class fall to be redeemed in full, whether on the Final Maturity Date, on an earlier redemption date or on enforcement, will mean that the Available Principal Receipts are insufficient to redeem that Class in full, and the Noteholders of that Class will suffer a corresponding loss. In addition, while a debit balance is outstanding on the sub-ledger of a Class, the Available Revenue Receipts applied to clear it will not be available to pay amounts ranking below it in the Revenue Priority of Payments, including the interest on the more junior Classes of Notes.

The Class Z Notes bear no interest, rank last for principal, absorb Realised Losses first and are not protected by the General Reserve Fund.

The Class Z Notes do not bear interest, and Class Z Noteholders will receive no return on their investment other than the repayment of principal, if any. Principal on the Class Z Notes is payable at item (f) of the Principal Priority of Payments in Section 7, only after the Class A Notes, the Class B Notes, the Class C Notes and the Class D Notes have been paid the amounts due to them at the higher levels of that priority. Following the occurrence of a Sequential Payment Trigger, and in any event following the delivery of an Enforcement Notice, no principal will be paid on the Class Z Notes until all of the Rated Notes have been redeemed in full.

Realised Losses are debited first to the Class Z sub-ledger of the Principal Deficiency Ledger. The Class Z sub-ledger is cleared at item (n) of the Revenue Priority of Payments in Section 6, below the top-up of the General Reserve Fund, and the General Reserve Fund may not be applied to

clear a debit balance on the Class Z sub-ledger. Accordingly, the Class Z Notes are exposed to the first Realised Losses on the Portfolio, and any recovery of those losses depends entirely on there being Available Revenue Receipts remaining after every item of higher priority, including the replenishment of the General Reserve Fund, has been paid in full.

The Class Z Notes will not be rated. The Class Z Notes are a highly leveraged exposure to the credit performance of the Portfolio, and an investor in the Class Z Notes could lose the whole of its investment even in circumstances in which the Rated Notes are redeemed in full. Prospective investors in the Class Z Notes should have the knowledge, experience and resources to evaluate the performance of a pool of residential mortgage loans over the whole life of the transaction.

Principal on the Rated Notes is initially paid pro rata, which reduces the absolute amount of credit enhancement available to the Class A Notes, and the switch to sequential payment depends on the occurrence of a Sequential Payment Trigger.

As described in Section 7, until a Sequential Payment Trigger occurs, and provided that the condition relating to the credit enhancement of the Class A Notes described in that Section is satisfied, Available Principal Receipts applied under items (b) to (e) of the Principal Priority of Payments will be paid pro rata to the principal amount outstanding of the Class A Notes, the Class B Notes, the Class C Notes and the Class D Notes. While principal is paid pro rata, the Class B Notes, the Class C Notes and the Class D Notes will amortise at the same rate as the Class A Notes, and the subordination which those Classes provide to the Class A Notes will fall in absolute terms in line with the reduction in the balance of the Portfolio.

The Sequential Payment Trigger is described in Section 8. It is triggered by the Arrears Trigger, the Cumulative Loss Trigger and the Reserve Trigger, each measured as set out in that Section. These measures are backward-looking, are calculated on the Calculation Date or Interest Payment Date stated in Section 8, and depend on information provided by the Mortgage Administrator. A deterioration in the Portfolio may therefore have occurred, and losses may already be in prospect, before a Sequential Payment Trigger occurs. Conversely, the junior Noteholders should note that once a Sequential Payment Trigger has occurred the switch to sequential payment is permanent, so that no principal will thereafter be paid on any Class until each more senior Class has been redeemed in full, even if the performance of the Portfolio subsequently recovers. This will extend the weighted average lives of the junior Classes, possibly significantly, and will increase the period during which they are exposed to the risk of loss.

Shortfalls in interest on Classes of Notes other than the Most Senior Class may be deferred.

The Conditions set out in Section 4 provide for the consequences of a shortfall in the Available Revenue Receipts available to pay interest on a Class of Notes. Failure to pay interest when due on the Most Senior Class will constitute an Event of Default under the Conditions. The "Most Senior Class" means, at any time, the Class A Notes or, if no Class A Notes are then outstanding, the most senior Class of Rated Notes then outstanding or, if no Rated Notes are then outstanding, the Class Z Notes. By contrast, as more fully described in the Conditions, a shortfall in the amount available to pay interest on any other Class of Rated Notes will not constitute an Event of Default, and the unpaid amount will instead be deferred to the next Interest Payment Date on which funds are available for that purpose in accordance with the Revenue Priority of Payments.

Interest so deferred may remain unpaid for a prolonged period and, if it has not been paid by the time the relevant Class is redeemed in full or by the Final Maturity Date, may never be paid. Noteholders of the Class B Notes, the Class C Notes and the Class D Notes should therefore be aware that the timely payment of interest on their Notes is not assured, and that the market value of their Notes may be adversely affected by any deferral, whether or not the deferred interest is ultimately paid. The Class B Notes, the Class C Notes and the Class D Notes will become the Most Senior Class only once every more senior Class has been redeemed in full.

The reserve funds are of limited size, the Liquidity Reserve Fund may only be used for senior

expenses and interest on the Class A Notes and the Class B Notes, and the use of Available Principal Receipts to pay revenue shortfalls reduces the principal available to redeem the Notes.

The Issuer will have two sources of liquidity to meet a shortfall in the Available Revenue Receipts. First, the General Reserve Fund, funded on the Issue Date from the proceeds of the Subordinated Loan, is available to meet shortfalls of senior expenses and interest on the Class A Notes, the Class B Notes, the Class C Notes and the Class D Notes and to clear debit balances on the Class A to D subledgers of the Principal Deficiency Ledger. Secondly, the Liquidity Reserve Fund, also funded on the Issue Date from the proceeds of the Subordinated Loan, is available to meet shortfalls of senior expenses and interest on the Class A Notes and the Class B Notes only. The required amounts of the two reserve funds, and the order in which they are drawn, are set out in Sections 5 and 6. Neither reserve fund covers the Class Z Notes.

The amounts standing to the credit of the reserve funds are finite. Each draw reduces the amount available on subsequent Interest Payment Dates, and the reserve funds are replenished only from Available Revenue Receipts at the levels shown in the Revenue Priority of Payments in Section 6, which are reached only after the payment of all amounts of higher priority. In a period of sustained arrears or a disruption to collections, for example following an insolvency of the Mortgage Administrator or a failure of the payment systems through which Borrowers pay, the reserve funds could be exhausted before the shortfall is corrected. A fall in the balance of the General Reserve Fund below the level described in Section 8 will itself cause a Sequential Payment Trigger.

In addition, the Cash Manager may apply Available Principal Receipts under item (a) of the Principal Priority of Payments to pay a shortfall of senior expenses or of interest on the Most Senior Class. Any Available Principal Receipts so applied will be debited to the Principal Deficiency Ledger and will not be available on that Interest Payment Date to redeem the Notes. Unless the resulting debit balance is subsequently cleared from excess Available Revenue Receipts, this will result in a shortfall in the principal available to redeem the Notes on their final redemption, borne in the first instance by the most junior Classes outstanding. Available Principal Receipts are not available to meet shortfalls of interest on any Class other than the Most Senior Class.

The Note Trustee and the Security Trustee will have regard to the interests of the Most Senior Class where there is a conflict between the interests of the Classes.

The Trust Deed and the Deed of Charge will provide that, in connection with the exercise of their powers, trusts, authorities, duties, rights and discretions, the Note Trustee and the Security Trustee will have regard to the interests of the Noteholders of each Class as a class. Where, in the opinion of the Note Trustee, there is a conflict between the interests of the Noteholders of different Classes, the Note Trustee will be required to have regard only to the interests of the holders of the Most Senior Class then outstanding, and will not be required to have regard to the interests of the holders of any other Class. Neither the Note Trustee nor the Security Trustee will be required to have regard to the interests of any other secured creditor of the Issuer except as expressly provided in the Transaction Documents.

As a result, decisions may be taken by the Note Trustee, or by an extraordinary resolution of the holders of the Most Senior Class, that are adverse to the interests of the holders of the junior Classes. In particular, the timing and manner of any enforcement of the security following an Event of Default will be determined by reference to the interests of the Most Senior Class, and a decision to enforce, or not to enforce, may result in the junior Classes receiving less than they would have received under a different course of action.

Noteholders may not take action directly against the Issuer and may not petition for its insolvency.

The Conditions provide that only the Note Trustee may pursue the remedies available under general law or under the Trust Deed to enforce the rights of the Noteholders, and only the Security Trustee may enforce the security created by the Deed of Charge. No Noteholder is entitled to proceed

directly against the Issuer unless the Note Trustee or the Security Trustee, having become bound to proceed, fails to do so within a reasonable time and such failure is continuing. Each Noteholder will also be bound by a non-petition covenant, under which it agrees not to institute, or join with any other person in instituting, any winding-up, administration or other insolvency proceedings against the Issuer.

The terms of the Notes and the Transaction Documents may be modified, and certain modifications may be made without the consent of the Noteholders.

The Conditions contain provisions for calling meetings of Noteholders, and for the passing of written resolutions, to consider matters affecting their interests generally. These provisions permit defined majorities to bind all Noteholders, including Noteholders who did not attend and vote at the relevant meeting and Noteholders who voted in a manner contrary to the majority. Certain fundamental modifications, such as a change to the date of maturity of a Class of Notes, a reduction in the amount of principal or interest payable, or a change to the priority of payments (each a "Basic Terms Modification"), will require an extraordinary resolution of the Noteholders of each Class affected, passed at a higher quorum, as described in the Conditions.

The Note Trustee may also agree, without the consent of the Noteholders, to any modification of the Conditions or the Transaction Documents which is of a formal, minor or technical nature or is made to correct a manifest error, and to any other modification (other than a Basic Terms Modification), waiver or authorisation which, in the opinion of the Note Trustee, is not materially prejudicial to the interests of the holders of the Most Senior Class. In addition, the Conditions oblige the Note Trustee, subject to certain conditions, to concur in modifications which are certified by the Issuer or the Cash Manager as being required in order to comply with changes in the criteria of the Rating Agencies relating to counterparties, with the UK Securitisation Framework, with changes in law or regulation affecting the Issuer, or to replace the reference rate as described under "Changes to SONIA, or its discontinuance, may adversely affect the Notes" below. Such modifications may be made without the consent of the Noteholders unless the holders of a specified proportion of the Most Senior Class object within the period set out in the Conditions.

The ratings of the Rated Notes address only certain risks, are not recommendations to buy, sell or hold the Notes, and may be lowered, suspended or withdrawn at any time.

The ratings expected to be assigned to the Rated Notes on the Issue Date are set out in Section 3. A rating addresses the likelihood of full and timely payment of interest due on the Most Senior Class on each Interest Payment Date, and the likelihood of payment of interest on the other Classes of Rated Notes and of principal on every Class of Rated Notes by no later than the Final Maturity Date, in each case in accordance with the methodology of the relevant Rating Agency. A rating does not address the likelihood or timing of any payment of principal before the Final Maturity Date, the possibility that the Notes may be redeemed earlier or later than investors expect, the likelihood that the Issuer will exercise its option to redeem the Notes on or after the Step-Up Date, the payment of any deferred interest before the Final Maturity Date, the market value or liquidity of the Notes, or the suitability of the Notes for any particular investor. A rating is not a recommendation to buy, sell or hold securities and may be subject to revision, suspension or withdrawal at any time by the assigning Rating Agency.

The ratings reflect the views of the Rating Agencies at the time they are assigned, based on information provided by the Seller and the Arranger, on the structure of the transaction and on the creditworthiness of the counterparties to the Transaction Documents. A Rating Agency may lower, suspend or withdraw a rating if, in its sole judgement, circumstances warrant, including as a result of a deterioration in the performance of the Portfolio, a change in its rating methodology or criteria, a downgrade of the Swap Provider or the Account Bank, or a change in the United Kingdom sovereign rating or in its view of the United Kingdom housing market. Rating Agencies other than those appointed may assign unsolicited ratings to the Notes, which may be lower than the ratings assigned by the Rating Agencies. Any lowering, suspension or withdrawal of a rating, or the as-

signment of a lower unsolicited rating, is likely to have an adverse effect on the market value and liquidity of the Notes.

Interest on the Rated Notes is calculated by reference to Compounded Daily SONIA, the amount of which will not be known until shortly before each Interest Payment Date and the market conventions for which may evolve.

Interest on the Rated Notes will be calculated by reference to the compounded daily Sterling Overnight Index Average ("Compounded Daily SONIA") plus the applicable margin, as set out in Section 3 and in the Conditions. SONIA is administered by the Bank of England and reflects the average of the interest rates which banks pay to borrow sterling overnight from other financial institutions and other institutional investors. Compounded Daily SONIA is calculated in arrear, by compounding the daily rates over an observation period that ends shortly before the end of each interest period. As a result, the amount of interest payable on an Interest Payment Date will not be known until shortly before that date, and Noteholders may find it difficult to estimate reliably the amount of interest which they will receive. Some investors may be unable or unwilling to trade the Notes without changes to their information technology or operational systems, which could adversely affect the liquidity of the Notes.

Changes to SONIA, or its discontinuance, may adversely affect the Notes.

Benchmarks such as SONIA are the subject of regulatory guidance and reform in the United Kingdom and internationally, including under the Benchmarks Regulation as it forms part of the domestic law of the United Kingdom. These reforms may cause a benchmark to perform differently than in the past, to disappear entirely or to have other consequences which cannot be predicted. The Conditions provide fallback arrangements for the determination of the rate of interest if SONIA is not published on any day, including by reference to the Bank of England's Bank Rate and to the spread between Bank Rate and SONIA over a preceding period, or to any rate recommended by the Bank of England or the Financial Conduct Authority (the "FCA") as a replacement. The application of these fallbacks may result in interest on the Rated Notes being calculated at a rate that differs from that which would have applied had SONIA continued to be published, and the fallbacks may not operate as intended in circumstances of market disruption.

The Conditions also permit the Issuer, at the direction of the Cash Manager and subject to the conditions set out there, to require the Note Trustee to agree, without the consent of the Noteholders, to a modification replacing SONIA with an alternative base rate (a "Base Rate Modification") in circumstances such as the permanent discontinuance of SONIA, a public statement by its administrator or supervisor that it is no longer representative, or a change in market practice in sterling securitisations. A Base Rate Modification will not require the consent of the Noteholders unless the holders of a specified proportion of the Most Senior Class object within the period set out in the Conditions. Any alternative base rate, together with any adjustment spread, may produce a lower return than SONIA would have produced and may not match the reference rate under the Swap Agreement or the rates payable on the Loans. Any such mismatch, and the costs of implementing a Base Rate Modification, which will be borne by the Issuer, may reduce the amounts available to pay the Notes.

The Swap Agreement hedges the interest rate risk on the Fixed Rate Loans only during their fixed-rate periods, and the hedge may not match the actual balance of the Fixed Rate Loans.

The Notes bear interest at a floating rate calculated by reference to Compounded Daily SONIA, whereas most of the Loans bear interest at a fixed rate for an initial period of two or five years (the "Fixed Rate Loans"), as shown in Section 13. To mitigate the exposure arising from this mismatch, the Issuer will enter into the Swap Agreement with the Swap Provider on the Issue Date. Under the Swap Agreement, as described in Section 15, the Issuer will pay to the Swap Provider amounts calculated by reference to a fixed rate, and the Swap Provider will pay to the Issuer amounts calculated by reference to Compounded Daily SONIA, in each case on a notional amount determined by

reference to the balance of the Fixed Rate Loans in their fixed-rate periods. Net amounts payable by the Issuer to the Swap Provider rank at item (c) of the Revenue Priority of Payments in Section 6, ahead of interest on the Class A Notes.

The swap covers the fixed-rate period only. When the fixed-rate period of a Fixed Rate Loan ends, the Loan will, unless the Borrower takes a new product, revert to the Standard Variable Rate, and the Issuer will thereafter be exposed, without any hedge, to the difference between the Standard Variable Rate and Compounded Daily SONIA. That exposure is described under "Reversion of the Fixed Rate Loans to the Standard Variable Rate, and the setting of the Standard Variable Rate, expose the Issuer to basis risk" below.

During the fixed-rate periods, the notional amount of the swap may not correspond with the actual balance of the Fixed Rate Loans. If the Fixed Rate Loans prepay, default or are repurchased more quickly than was assumed in setting the notional amount, the Issuer will be over-hedged: it will continue to pay the fixed rate on a notional amount greater than the balance of the Loans from which it receives fixed-rate interest, which will reduce the Available Revenue Receipts when SONIA is below the swap fixed rate. If the Fixed Rate Loans amortise more slowly than assumed, the Issuer will be under-hedged, and a rise in SONIA will reduce the excess spread on the unhedged balance. Fixed Rate Loans that are in arrears or in the process of enforcement continue to be included in the balance on which the swap is calculated, but generate no or reduced interest. Product Switches to new fixed-rate products after the Issue Date, if the relevant Loans remain in the Portfolio, will not be hedged unless the Swap Agreement is amended to include them, as described in Section 15.

The Issuer may be required to make a termination payment under the Swap Agreement, which may rank ahead of payments on the Notes.

The Swap Agreement may be terminated in the circumstances set out in it, including a failure by either party to make a payment when due, the insolvency of either party, the occurrence of certain tax or illegality events, the delivery of an Enforcement Notice, the redemption of the Notes in full, and a failure by the Swap Provider to take the remedial action required following a downgrade of its credit rating, as described under "Risks relating to the counterparties" below. On termination, a termination payment may be due from the Issuer to the Swap Provider, or from the Swap Provider to the Issuer, depending on the market value of the swap at the time. The amount of any termination payment will be calculated by reference to market quotations or the loss of the non-defaulting party and could be substantial, particularly if interest rates have moved materially since the Issue Date.

Any termination payment due from the Issuer will rank, under the Revenue Priority of Payments and the post-enforcement priority of payments, at item (c) together with the other net amounts due to the Swap Provider, ahead of all payments on the Notes, unless the termination results from an event of default in respect of which the Swap Provider is the defaulting party or from a downgrade termination event, in which case it will be paid as a subordinated swap termination payment at item (o), below all payments on the Notes. A senior termination payment would reduce, possibly significantly, the amounts available to pay interest and principal on the Notes.

The margins on the Rated Notes increase from the Step-Up Date, but there is no assurance that the Issuer will redeem the Notes on or after that date.

As described in Section 3, on the Interest Payment Date falling on 20 July 2031 (the "Step-Up Date") and on any Interest Payment Date thereafter, the Issuer may redeem all (but not some) of the Notes at their principal amount outstanding together with accrued interest, subject to the conditions set out in the Conditions, including the requirement that the Issuer certifies to the Note Trustee that it will have sufficient funds to discharge all amounts due on the Notes and all amounts ranking in priority to or equally with them. From the Step-Up Date, the margins on the Rated Notes increase to the step-up margins set out in Section 3.

The Issuer is under no obligation to exercise this option. The Issuer will be able to do so only if it has funds from a source other than the Portfolio's ordinary receipts, which is expected to be either

a sale of the Portfolio to the Seller or a third party or a refinancing of the Notes. Whether the Seller or any other person will be willing to purchase the Portfolio, or whether a refinancing will be available, will depend on factors outside the control of the Issuer, including the then prevailing conditions in the residential mortgage and securitisation markets, the performance of the Portfolio, the cost of funding available to the Seller, the regulatory capital treatment of the Seller's assets and the prevailing level of interest rates. The Seller has no obligation to purchase the Portfolio. Investors should not purchase the Notes in the expectation that they will be redeemed on the Step-Up Date.

If the Notes are not redeemed on the Step-Up Date, the increase in the margins will increase the amount of interest payable by the Issuer on the Rated Notes and correspondingly reduce the excess Available Revenue Receipts available to clear debit balances on the Principal Deficiency Ledger and to replenish the reserve funds. The margin increase does not apply to the Class Z Notes, which bear no interest, and the reduction in excess revenue will be felt first by the Class Z Noteholders, the Class D Noteholders and the holders of the other junior Classes.

The Notes may be redeemed early, and Noteholders may be unable to reinvest the proceeds on equivalent terms.

In addition to the option described above, the Issuer may redeem all (but not some) of the Notes on any Interest Payment Date on which the current balance of the Portfolio has fallen below the level set out in Section 3, and may be entitled or required to redeem the Notes in the other circumstances set out in the Conditions, including if a change in tax law would require the Issuer or the Swap Provider to make a deduction or withholding for or on account of tax. The Notes will also be subject to mandatory redemption in part on each Interest Payment Date to the extent of the Available Principal Receipts applied to them under the Principal Priority of Payments.

An early redemption of the Notes, whether at the option of the Issuer or as a result of prepayments on the Loans, may occur at a time when Noteholders are able to reinvest the proceeds only at a lower return than that on the Notes. Noteholders who purchased Notes at a premium to their principal amount may suffer a loss on early redemption, and Noteholders who purchased Notes at a discount may receive a lower yield than expected if the Notes are redeemed later than they expect. The existence of the optional redemption rights may also limit the market value of the Notes, because their market value is unlikely to rise substantially above the price at which they may be redeemed during any period in which the Issuer may elect to redeem them.

The Notes may not be redeemed in full by the Final Maturity Date.

Unless previously redeemed, the Notes will be redeemed at their principal amount outstanding on the Interest Payment Date falling on 20 July 2064 (the "Final Maturity Date"). The Loan Warranties set out in Section 12 require that the final maturity date of each Loan falls before the Final Maturity Date, and the period between the latest permitted Loan maturity date and the Final Maturity Date is intended to allow time for the collection of amounts due on Loans that fall into arrears late in their term and for the enforcement of the Related Security. There is no assurance, however, that the Borrowers will repay their Loans in full by their contractual maturity dates, that the Mortgage Administrator will be able to enforce the Related Security and realise the Properties before the Final Maturity Date, or that the Issuer will receive sufficient funds to redeem every Class in full on that date.

The maturity of a Loan may be extended after the Issue Date if the Borrower and the Mortgage Administrator agree a term extension, whether as a forbearance measure, as a commitment under the Mortgage Charter described below or as part of a Product Switch. The Mortgage Administration Agreement will restrict term extensions so that no Loan in the Portfolio is extended beyond the latest date permitted by the Transaction Documents, and the Seller will be required to repurchase any Loan the term of which is extended beyond that date. If the Seller fails to do so, or if enforcement proceedings in respect of a Loan are delayed, the Notes may not be redeemed in full by the Final Maturity Date.

The yield to maturity and the weighted average life of each Class of Notes are uncertain.

The yield to maturity of each Class of Notes will depend on, among other things, the price paid for the Notes, the rate of interest on the Notes, and the amount and timing of payments of principal on the Notes, which will in turn depend on the rate of payment of principal on the Loans, including scheduled amortisation, prepayments in full or in part, repurchases by the Seller, the timing and amount of Realised Losses and recoveries, and whether the Issuer exercises any of its options to redeem the Notes. The rate at which principal is paid on the Loans cannot be predicted and may vary considerably over time. Factors that affect it include the level of interest rates and of the rates available from other lenders, the end of the fixed-rate periods of the Fixed Rate Loans, the availability of Product Switches, house price movements, local and national economic conditions, Borrowers' personal circumstances, homeowner mobility and changes in tax and regulation.

The weighted average lives of the Notes set out in Section 16 are based on assumptions stated in that Section, including constant prepayment rates, the absence of arrears and Realised Losses, and the payment of principal pro rata or sequentially in the manner assumed. The actual characteristics and performance of the Loans will differ from those assumptions, and the actual weighted average lives of the Notes will therefore differ, possibly significantly, from those shown. The figures in Section 16 are illustrative only and are not a forecast, and investors should make their own assessment of the yield and weighted average life of each Class.

There is no established secondary market for the Notes, and the Notes are not listed.

There is currently no market for the Notes. The Notes will not be listed on any stock exchange or admitted to trading on any market, and they are offered only to professional investors in the United Kingdom and the European Economic Area (the "EEA"), as described in Section 19. There can be no assurance that a secondary market for the Notes will develop or, if a secondary market does develop, that it will provide Noteholders with liquidity of investment or that it will continue for the whole life of the Notes. The Arranger is under no obligation to make a market in the Notes. Consequently, any investor in the Notes must be prepared to hold its Notes until the Final Maturity Date or any earlier redemption.

The Notes are issued in minimum denominations, and a holder of less than the minimum denomination may be unable to transfer its holding.

The Notes will be issued in minimum denominations of £100,000 and integral multiples of £1,000 in excess thereof. It is possible that the Notes may be traded in amounts that are not integral multiples of £100,000. In such a case, a Noteholder who, as a result of trading such amounts, holds a principal amount of less than the minimum denomination in its account with the relevant clearing system may not be able to sell the remainder of that holding without first purchasing a further principal amount of Notes so that its holding amounts to a minimum denomination. If definitive Notes are issued in the limited circumstances described in the Conditions, a holder of Notes in an amount less than the minimum denomination may not receive a definitive Note in respect of that holding and may need to purchase a further principal amount of Notes to do so.

The proceeds of enforcement of the security may be insufficient to pay all amounts due on the Notes.

The Notes will be secured by the security created by the Issuer under the Deed of Charge over its rights in the Portfolio, under the Transaction Documents and in its bank accounts. If an Event of Default occurs and the Note Trustee delivers an Enforcement Notice, the Security Trustee may enforce that security, including by selling the Portfolio. There is no assurance that a purchaser of the Portfolio could be found at the time, or that the price obtainable would be sufficient to discharge the Notes in full. The price will depend on, among other things, the performance of the Loans, prevailing interest rates, conditions in the housing and mortgage markets and the availability of funding to potential purchasers, many of which are likely to be adverse in circumstances in which an Event of Default has occurred. Any proceeds will be applied in accordance with the post-enforcement

priority of payments, under which the costs of enforcement, the remuneration of the Note Trustee and the Security Trustee and the other senior amounts will be paid before any amount is paid on the Notes.

Risks relating to the Loans and the Properties

Payments on the Notes depend on Borrowers paying their Loans, and losses not covered by excess revenue, the reserve funds and subordination will reduce the payments on the Notes.

The Issuer's ability to pay interest and principal on the Notes depends on the Borrowers making the monthly payments due under their Loans. A Borrower's ability and willingness to pay may be adversely affected by a large number of factors, many of which are personal to the Borrower and outside the control of the Seller, the Mortgage Administrator and the Issuer. These include loss of employment or of self-employed income, a reduction in working hours or overtime, illness, disability or death, relationship breakdown, the birth of children, the need to care for a relative, an increase in other financial commitments, and an increase in the interest rate payable on the Borrower's Loan. Borrowers who become unable to pay may fall into arrears, may be offered forbearance under which payments are reduced or deferred, and may ultimately lose their Properties through possession and sale.

The Loans were underwritten in accordance with the Seller's lending criteria, described in Sections 11 and 12, which require an affordability assessment, a credit search, verification of income and a valuation of the Property by an approved valuer. The lending criteria are designed to assess whether a Borrower is able to repay the Loan at the time of origination, including under a stressed interest rate, but they cannot anticipate changes in the Borrower's circumstances after origination. The Loans were originated over a period which included the coronavirus pandemic, the rise in Bank Rate from its historical low and a sustained period of high consumer price inflation, and some Borrowers may have obtained their Loans on the basis of incomes or expenditure that have since changed materially.

If a Borrower defaults, the Issuer may suffer a loss on the Loan equal to the amount by which the balance of the Loan, together with accrued interest and the costs of enforcement, exceeds the net proceeds of sale of the Property. Such a loss is a Realised Loss. Realised Losses that are not covered by excess Available Revenue Receipts, by the General Reserve Fund or by the subordination of the junior Classes will reduce the payments on the Notes. The level of arrears, defaults and Realised Losses on the Portfolio may differ, possibly significantly, from the historical experience of the Seller described in Section 10 and from the experience of other United Kingdom residential mortgage portfolios.

A fall in house prices raises loan-to-value ratios, may result in negative equity, and may increase Realised Losses.

The recovery of amounts due on a defaulted Loan depends substantially on the value of the Property at the time of its sale. A fall in residential property values, whether nationally or in the region in which a Property is situated, raises the loan-to-value ratio of the Loan secured on it and may result in the balance of the Loan exceeding the value of the Property, a position commonly called negative equity. A Borrower in negative equity cannot repay the Loan by selling the Property or by remortgaging with another lender, is less able to move home for employment or family reasons, and may have less incentive to continue paying. Where such a Borrower defaults, the net proceeds of sale of the Property will be insufficient to repay the Loan in full, and a Realised Loss will result.

Residential property prices in the United Kingdom have fallen significantly on several occasions in the past, including in the early 1990s and between 2007 and 2009, and recent periods of rising interest rates have been accompanied by falls in prices in some regions and in some segments of the market. The distribution of the Loans by current and by indexed loan-to-value ratio on the Portfolio Reference Date is set out in Section 13.

Original valuations and indexed loan-to-value ratios may not accurately reflect the value obtainable on a sale of the Properties.

Each Property was valued at origination by a valuer approved by the Seller, or, where the Seller's lending criteria permitted, by means of an automated valuation model or a desktop valuation, as described in Section 11. A valuation is an opinion of the price that a property would achieve in the market at a particular time on the assumptions stated in it, and is not a guarantee that the property can be sold at that price. Valuations may be inaccurate as a result of error, changes in market conditions after the valuation date, defects in the property not apparent on inspection or, in rare cases, fraud.

The indexed loan-to-value ratios shown in Section 13 have been calculated by applying a regional house price index to the original valuation of each Property. A house price index measures the average movement of prices across a region and does not reflect the movement in the price of any individual property, which may be greater or smaller than the regional average, or in a direction opposite to it. Indexed values are therefore an estimate only, and the actual value of any Property, and the actual loan-to-value ratio of any Loan, may differ materially from those shown. Neither the Issuer nor the Seller has obtained new valuations of the Properties for the purposes of the issue of the Notes.

The Properties are concentrated in certain regions of the United Kingdom, so that an adverse change in the economic or housing conditions of those regions may have a disproportionate effect on the Portfolio.

The geographical distribution of the Properties on the Portfolio Reference Date is shown in Section 13. A material proportion of the Properties, by current balance, are located in London and the South East of England, where property values and the average balances of the Loans are higher than in other regions of the United Kingdom. Economic and housing market conditions vary between regions, and a downturn in the economy of a particular region, or in the industries on which it depends, such as financial and professional services in London and the South East, may result in higher levels of arrears and Realised Losses on the Loans secured on Properties in that region than on the Portfolio as a whole.

House prices in London and the South East have historically shown greater volatility than those in other regions, rising more quickly in periods of growth and falling more quickly in downturns. They are also more sensitive to the affordability constraints created by high price-to-income ratios, to changes in the tax treatment of higher-value properties and to changes in demand from buyers outside the United Kingdom. The concentration of the Portfolio in those regions therefore increases the sensitivity of the Notes to a regional fall in prices. The Portfolio may become more concentrated over time, because Loans in some regions may prepay or default at different rates from Loans in others.

Interest-only Loans and Part and Part Loans expose the Issuer to the risk that Borrowers will be unable to repay the capital at maturity.

A proportion of the Loans, shown in Section 13, are repayable on an interest-only basis (the "Interest-only Loans"), under which the Borrower pays only interest during the term and must repay the whole of the principal at the end of the term, or on a part and part basis (the "Part and Part Loans"), under which part of the principal is repaid in monthly instalments and the remainder is repayable at the end of the term. The Seller's lending criteria, described in Section 11, required each Borrower of an Interest-only Loan or of the interest-only part of a Part and Part Loan to have a credible strategy for repaying the capital at maturity, such as the sale of another property, the proceeds of an investment plan or pension, or the downsizing of the Property itself, and the Seller reviews those strategies during the term in accordance with the rules of the FCA.

The ability of a Borrower to repay the capital at maturity depends on the performance of the repayment strategy, which may not be the subject of any security in favour of the Issuer and which

may produce less than expected or be applied by the Borrower for another purpose. Where the Borrower's strategy is to sell the Property, the amount realised will depend on house prices at maturity. A Borrower who is unable to repay the capital at maturity may be offered a term extension, a conversion to a capital and interest repayment basis or another form of forbearance, any of which will delay the receipt of principal by the Issuer; if no satisfactory arrangement can be made, the Mortgage Administrator may be obliged to take enforcement action, possibly against Borrowers who are elderly or vulnerable, which may be lengthy and costly.

Reversion of the Fixed Rate Loans to the Standard Variable Rate, and the setting of the Standard Variable Rate, expose the Issuer to basis risk and may increase arrears and prepayments.

Fixed-rate loans reset to the standard variable rate after their initial period, and the swap covers the fixed-rate period only. At the end of the initial fixed-rate period of each Fixed Rate Loan, unless the Borrower has taken a new product, the Loan will bear interest at the Seller's standard variable rate, as set from time to time by the Mortgage Administrator on behalf of the Issuer under the Mortgage Administration Agreement (the "Standard Variable Rate"). A proportion of the Loans, shown in Section 13, already bore interest at the Standard Variable Rate on the Portfolio Reference Date. The Standard Variable Rate is not linked to SONIA or to Bank Rate, and the Issuer's receipts from Loans paying the Standard Variable Rate are not hedged under the Swap Agreement.

The Issuer is therefore exposed to the risk that the Standard Variable Rate, less the costs and expenses of the Issuer, will be insufficient to pay interest on the Rated Notes at Compounded Daily SONIA plus the relevant margins. The Mortgage Administration Agreement requires the Mortgage Administrator to set the Standard Variable Rate applicable to the Loans in the Portfolio at a level which is not lower than the Seller's own standard variable rate for comparable loans retained on its balance sheet, and which is sufficient, when taken together with the other receipts of the Issuer, to meet the Issuer's obligations, subject in each case to the Mortgage Administrator's obligation to comply with applicable law and the rules of the FCA. Those rules, together with the law on unfair terms described below, constrain the discretion to set the Standard Variable Rate, and there may be circumstances in which the Mortgage Administrator is unable lawfully to set the Standard Variable Rate at the level required.

A Fixed Rate Loan that reverts to the Standard Variable Rate may become more expensive for the Borrower, sometimes materially, and the resulting increase in the monthly payment, commonly called payment shock, may lead to arrears, particularly where the Borrower is unable to remortgage elsewhere because of a fall in the value of the Property or a change in personal circumstances. Conversely, Borrowers who are able to do so will tend to refinance or take a Product Switch at the end of their fixed-rate period, which affects the rate of prepayment as described below. The proportion of Loans paying the Standard Variable Rate will therefore depend on the behaviour of Borrowers at the end of their fixed-rate periods, and the excess spread of the transaction will vary accordingly.

The Tracker Loans bear interest by reference to Bank Rate, which is not hedged against Compounded Daily SONIA.

A proportion of the Loans, shown in Section 13, bear interest at a margin over Bank Rate (the "Tracker Loans"). Bank Rate is set by the Monetary Policy Committee of the Bank of England. Although SONIA generally follows Bank Rate closely, the two rates are not the same: SONIA is a market rate determined by transactions in the sterling overnight unsecured market, and it may diverge from Bank Rate as a result of changes in money market conditions, in the supply of central bank reserves or in the Bank of England's operational framework. In addition, the rate payable on a Tracker Loan changes only from the date specified in the Loan's terms following a change in Bank Rate, whereas Compounded Daily SONIA reflects changes in SONIA on a daily basis.

The Issuer has not hedged the basis risk between Bank Rate and Compounded Daily SONIA. If SONIA rises relative to Bank Rate, or if the timing of rate changes on the Tracker Loans lags the

corresponding change in SONIA, the excess spread of the transaction will be reduced. Some Tracker Loans may also contain a minimum rate or other terms which affect the rate payable by the Borrower. Borrowers of Tracker Loans are exposed to increases in Bank Rate immediately, and a rise in Bank Rate may increase the incidence of arrears on those Loans more quickly than on the Fixed Rate Loans.

Borrowers may repay their Loans early, in particular at the end of their fixed-rate periods, which changes the timing of principal payments on the Notes and may reduce the excess spread.

Borrowers may repay their Loans early, for example when their fixed-rate period ends, which changes the timing of principal payments on the Notes. A Borrower may prepay the whole or part of a Loan at any time, subject, during the fixed-rate period of a Fixed Rate Loan and in certain other cases, to the payment of an early repayment charge. Most Borrowers who prepay in full do so on the sale of the Property, on refinancing with another lender or on taking a new product. Prepayment rates in the United Kingdom are influenced by, among other things, the level of interest rates and the products available from other lenders, the end of fixed-rate periods, house prices and the volume of housing transactions, the availability of credit, government schemes, changes in stamp duty land tax and land and buildings transaction tax, and Borrowers' personal circumstances. Early repayment charges may not be enforceable in all cases, and their amount is constrained by the rules of the FCA.

Because the Loans in the Portfolio are concentrated in two- and five-year fixed-rate products, the end of those fixed-rate periods may result in concentrations of prepayments in particular quarters, followed by periods of low prepayment. A high rate of prepayment will shorten the weighted average lives of the Notes and may result in Noteholders receiving principal at a time when they are unable to reinvest it at an equivalent return; a low rate of prepayment will extend them. Prepayments may also be concentrated among the more creditworthy Borrowers, who are best able to refinance, leaving in the Portfolio a higher proportion of Borrowers who have been unable to do so, with a corresponding effect on the credit quality of the remaining Loans.

Product Switches and Further Advances may change the composition of the Portfolio or result in the repurchase of Loans.

The Seller may offer a Borrower, at the end of a fixed-rate period or at any other time, a new interest rate product, such as a new fixed rate or a tracker rate (a "Product Switch"), and may agree to make further advances to a Borrower secured on the same Property (a "Further Advance"). The Seller is subject to the rules of the FCA which permit it, in defined circumstances, to offer a Product Switch to an existing Borrower who is up to date with payments without carrying out a full affordability assessment, and the Seller has committed under the Mortgage Charter, described below, to offer Product Switches to eligible Borrowers on that basis.

As more fully described in Section 14, a Loan which becomes subject to a Product Switch may remain in the Portfolio only if the conditions set out in the Mortgage Sale Agreement are satisfied on the date of the switch, including conditions relating to the type of new product, the absence of material arrears, the maturity date of the Loan and, for a new fixed-rate product, the arrangements for hedging it under the Swap Agreement. If those conditions are not satisfied, the Seller will be required to repurchase the Loan. A Loan which becomes subject to a Further Advance will be repurchased by the Seller. Any repurchase will result in the Issuer receiving principal in respect of the Loan earlier than it would otherwise have done, with the effects on the weighted average lives of the Notes described above.

The Scottish Loans are secured by standard securities and are subject to Scots law, under which the remedies available on default and the transfer of the Loans differ from those applicable to the English Loans.

A proportion of the Properties, shown in Section 13, are situated in Scotland, and the Scottish Loans are secured by standard securities governed by Scots law. The Scottish Loans and their Related Se-

curity, and the Scottish Declaration of Trust described below, are governed by Scots law, while the other Transaction Documents are governed by English law. Under Scots law, a standard security is a statutory form of heritable security created under the Conveyancing and Feudal Reform (Scotland) Act 1970 and is constituted by registration in the Land Register of Scotland. The rights and remedies of a heritable creditor are those set out in that Act and in the standard conditions which it incorporates, as varied by the terms of the security.

The enforcement of a standard security over residential property in Scotland is subject to the Home Owner and Debtor Protection (Scotland) Act 2010, which requires the heritable creditor to comply with pre-action requirements, including the provision of information to the debtor, the making of reasonable efforts to agree proposals for the payment of arrears and the consideration of whether the debtor has taken steps to deal with the default, and to obtain a decree from the sheriff court before exercising a power of sale or entering into possession of residential property, even where the debtor consents. The court has power to continue proceedings or to make an order with conditions, having regard to the factors listed in the legislation, including the nature of and reasons for the default and the ability of the debtor to fulfil the obligations within a reasonable period. As a result, enforcement of a Scottish Loan may take longer than enforcement of an English Loan, and the costs incurred may be higher.

Possession and enforcement in England and Wales are subject to statutory and procedural requirements which may delay recoveries and increase their cost.

Before the Mortgage Administrator may take possession of a Property in England or Wales, it must, in almost every case involving an owner-occupier, obtain a possession order from the county court. Before issuing proceedings it must comply with the Pre-Action Protocol for Possession Claims based on Mortgage or Home Purchase Plan Arrears in Respect of Residential Property, which requires the lender to provide information to the Borrower, to consider reasonable proposals for the payment of arrears, to consider whether the Borrower has made a claim for benefits or is selling the Property, and to treat possession proceedings as a last resort. Under section 36 of the Administration of Justice Act 1970 and section 8 of the Administration of Justice Act 1973, the court has a wide discretion to adjourn proceedings, or to suspend or postpone the date for delivery of possession, if it appears that the Borrower is likely to be able within a reasonable period to pay the sums due, and it is common for the court to grant suspended orders conditional on the Borrower paying the current instalment plus an amount towards the arrears.

The rules of the FCA in the Mortgages and Home Finance: Conduct of Business sourcebook ("MCOB"), described below, and the Mortgage Charter impose further requirements before possession is sought. In addition, the period between the first missed payment and the eventual sale of a Property depends on the capacity of the courts and of the enforcement agents; court backlogs have in the past caused lengthy delays, and possession proceedings were suspended entirely for a period during the coronavirus pandemic. Delays in obtaining possession and selling the Properties will delay recoveries and increase the costs of enforcement and the interest which accrues on the Loans, which may increase the Realised Losses and the period during which the Issuer has insufficient revenue to meet its obligations.

The Properties may not be adequately insured, and the Issuer's interest in buildings insurance may be limited.

Each Borrower is required under the terms of the Loan to insure the Property against fire and other usual risks for its full reinstatement value with an insurer acceptable to the Seller. The Seller does not, however, monitor whether each Borrower maintains such insurance throughout the term, and no assurance can be given that a Property will be insured, or insured for an adequate amount, when damage occurs. Where a Property is leasehold, buildings insurance will usually be maintained by the landlord or the management company, over whose arrangements the Seller has little control. The Issuer will have the benefit, by way of assignment or declaration of trust, of the Seller's interest in any buildings insurance policy in respect of a Property to the extent that this interest is capable

of transfer, and the Seller will maintain, for the benefit of the Issuer, a contingency insurance policy covering certain losses arising where a Borrower's insurance is not in force. Such a policy will be subject to its own exclusions and limits, and there is no assurance that claims under it will be paid in full or in time.

Some Properties may be exposed to risks which are expensive or difficult to insure, such as flooding, subsidence and coastal erosion. Insurance for flood risk is available for many existing homes through the Flood Re scheme, which applies to qualifying residential properties built before 1 January 2009 and which is intended to operate until 2039. Properties built after that date are outside the scheme, and the availability and cost of flood insurance for them depend on the commercial insurance market. Damage to a Property that is uninsured or underinsured will reduce its value and may increase the Realised Loss if the Borrower defaults.

Leasehold Properties, flats and properties affected by building safety issues present additional risks.

A proportion of the Properties are held on long leases, in particular flats in London and other urban areas. The value of a leasehold property is affected by the unexpired term of the lease, the level of ground rent and service charges and the terms of the lease, and a lease may in certain circumstances be forfeited by the landlord for breach of covenant by the leaseholder, although statutory protections restrict forfeiture of long residential leases. Reforms of the law of leasehold, including the Leasehold and Freehold Reform Act 2024 and any further legislation, may affect the value of leasehold properties and the rights of landlords and leaseholders in ways which cannot be predicted.

Following the Grenfell Tower fire in 2017, the identification of unsafe cladding and other fire safety defects in residential buildings has affected the value and saleability of flats in affected buildings, and some lenders have restricted lending on such properties pending remediation or the provision of an external wall fire review. The Building Safety Act 2022 protects qualifying leaseholders from some or all of the costs of remediating relevant defects, but the protections are not complete, and a Borrower who owns a flat in an affected building may be unable to sell or remortgage it, may face service charges for interim measures, and may be more likely to fall into arrears. In the event of enforcement, a Property in an affected building may realise a substantially lower price than its original valuation.

The insolvency of a Borrower, statutory debt solutions and debt respite schemes may delay or reduce recoveries.

A Borrower who is in financial difficulty may enter into a formal insolvency procedure or debt solution. In England and Wales these include bankruptcy, individual voluntary arrangements and debt relief orders; in Scotland they include sequestration, protected trust deeds and the debt arrangement scheme. The Loan Warranties set out in Section 12 address the position of Borrowers on the Portfolio Reference Date, but a Borrower may enter such a procedure at any time after that date. Although the Related Security will generally survive the insolvency of the Borrower, so that the Issuer remains entitled to enforce it against the Property, the insolvency may delay enforcement, may result in the Borrower's interest in the Property vesting in a trustee in bankruptcy or trustee in sequestration with whom the Mortgage Administrator must deal, and will in practice prevent the recovery of any shortfall from the Borrower personally after the sale of the Property.

The Debt Respite Scheme (Breathing Space Moratorium and Mental Health Crisis Moratorium) (England and Wales) Regulations 2020 allow an eligible individual in England and Wales to obtain a moratorium, generally for sixty days or, for a person receiving mental health crisis treatment, for the duration of that treatment plus thirty days, during which creditors may not take enforcement action or charge interest, fees or penalties in respect of qualifying debts. Arrears on a mortgage loan are qualifying debts, although the ongoing monthly payments continue to be due. Comparable moratorium arrangements apply in Scotland under the Bankruptcy (Scotland) Act 2016. The use of these schemes by Borrowers may delay the collection of arrears and the commencement of

enforcement proceedings and reduce the interest and charges recoverable on the Loans.

Borrowers may be entitled to set off claims they have against the Seller against the amounts due on their Loans.

The Seller is a building society which accepts deposits from its members, and some Borrowers may hold savings accounts with the Seller. In addition, a Borrower may have, or may come to have, claims against the Seller, for example for damages for breach of contract, for misrepresentation or for breach of the rules of the FCA, which a Borrower may bring under section 138D of the Financial Services and Markets Act 2000 ("FSMA"). As described under "The sale of the English Loans takes effect in equity only, and the Issuer will not obtain legal title to the English Loans unless a Perfection Event occurs" below, the sale of the English Loans to the Issuer will take effect as an equitable assignment, and notice of the assignment will not be given to the Borrowers unless a Perfection Event occurs. Until notice is given, a Borrower may set off against the amounts due under the Loan any claim which it has against the Seller, whether or not connected with the Loan, and after notice is given, a Borrower may continue to set off claims which arose before the notice and claims which arise out of the same transaction as, or are closely connected with, the Loan.

Where the Seller becomes insolvent, the insolvency set-off rules may apply to mutual debts between the Seller and a Borrower, including a deposit held by the Borrower with the Seller, so that the Borrower's liability under the Loan may be reduced by the amount of the deposit. Although deposits held with the Seller are protected by the Financial Services Compensation Scheme up to the applicable limit, and a Borrower who received compensation may have less incentive to assert a set-off, the interaction between the Financial Services Compensation Scheme and the rights of set-off of borrowers in the insolvency of a deposit-taker is complex and has not been fully tested. The Mortgage Sale Agreement will entitle the Issuer to recover from the Seller any amount by which a Borrower reduces its payments by set-off, but this right will be of limited value if the Seller is insolvent. The exercise of rights of set-off by Borrowers may therefore reduce the amounts received by the Issuer and the amounts available to pay the Notes.

Borrowers may cease to occupy their Properties or may let them without consent, which may change the risk profile of the Loans.

The Loan Warranties set out in Section 12 require that each Borrower occupied the Property as his or her main residence at origination. After origination, a Borrower may move out of the Property, let it to a tenant or allow it to be occupied by others, with or without the consent of the Seller. A Property which is let may be subject to rights of occupation in favour of the tenant, and the Renters' Rights Act 2025 has changed the regime for residential tenancies in England, including by abolishing assured shorthold tenancies and the "no fault" eviction procedure under section 21 of the Housing Act 1988. The existence of a tenancy, whether or not consented to, may make it more difficult to obtain vacant possession of the Property on enforcement and may reduce its sale value.

The Issuer's remedy for a breach of the Loan Warranties is limited to the repurchase of the affected Loan by the Seller, and no independent investigation of the Loans has been made.

The Seller will give the Loan Warranties set out in Section 12 in respect of each Loan on the Issue Date. Neither the Issuer, the Note Trustee, the Security Trustee nor the Arranger has undertaken, or will undertake, any investigation of the Loans or the Properties, other than the review of a sample of the Loans carried out by an appropriate and independent party as required under the UK Securitisation Framework and described in Section 17. Each of them will rely entirely on the Loan Warranties. If a Loan Warranty proves to have been untrue in respect of a Loan and the breach cannot be remedied, the Seller will be obliged to repurchase the Loan at its current balance plus accrued interest. This is the sole remedy of the Issuer for such a breach.

The Seller's obligation to repurchase is an unsecured obligation, and its value depends on the financial condition of the Seller at the time of the claim. If the Seller is insolvent or is otherwise unable or unwilling to repurchase a Loan, the Issuer will bear any loss on that Loan. Breaches of the Loan

Warranties may come to light only after a Loan has defaulted, possibly many years after the Issue Date, when the Seller's financial position may have changed. The Loan Warranties are given as at the Issue Date (or, where so stated, as at the Portfolio Reference Date) and do not cover events which occur thereafter.

Legal and regulatory risks

The Loans are regulated mortgage contracts under FSMA, and a failure to comply with the applicable rules may make them unenforceable or give rise to claims by Borrowers.

Each Loan is a "regulated mortgage contract" for the purposes of FSMA and the Financial Services and Markets Act 2000 (Regulated Activities) Order 2001, and the activities of entering into, administering, arranging and advising on regulated mortgage contracts are regulated activities which may only be carried on by persons authorised by the FCA. The Seller is so authorised. The Issuer will not itself carry on the regulated activity of administering regulated mortgage contracts, because the Loans will be administered by the Mortgage Administrator, which holds the relevant permission. If the Mortgage Administrator's appointment is terminated, the Issuer will be required to appoint a replacement mortgage administrator with the requisite permission within one month; if it fails to do so, it may itself be in breach of the general prohibition in FSMA. A regulated mortgage contract entered into by an unauthorised lender is unenforceable against the borrower except with the approval of the FCA or the court.

The Seller's lending, administration and arrears management are subject to the rules of the FCA in MCOB and in the other parts of the FCA Handbook, which cover, among other things, financial promotions, the disclosure of information before and after the contract is made, responsible lending and affordability assessment, interest-only lending, the charging of fees and early repayment charges, and the treatment of borrowers in arrears or in payment difficulty. A Borrower who suffers loss as a result of a contravention of the rules of the FCA by the Seller may bring an action for damages under section 138D of FSMA, and may set off the amount of the claim against amounts due under the Loan. The FCA may also require the Seller to carry out a review of past business and to pay redress to affected Borrowers. Any such claims or redress may reduce the amounts received by the Issuer in respect of the Loans, and the Issuer's right to require the Seller to indemnify it or to repurchase affected Loans may be of limited value if the Seller is insolvent.

The FCA's Consumer Duty imposes outcome-based obligations on the Seller and the Mortgage Administrator which may affect the setting of rates and charges and the treatment of Borrowers.

Since 31 July 2023, firms authorised by the FCA have been subject to the Consumer Duty, set out in Principle 12 and in PRIN 2A of the FCA Handbook, in relation to products and services which remain open to retail customers, and the Consumer Duty applies to closed products and services from 31 July 2024. The Consumer Duty requires firms to act to deliver good outcomes for retail customers, to act in good faith, to avoid causing foreseeable harm and to enable and support customers in pursuing their financial objectives, and it sets out specific outcomes relating to products and services, price and value, consumer understanding and consumer support. The Consumer Duty applies to the Seller and the Mortgage Administrator in respect of the Loans throughout their term, including in the setting of the Standard Variable Rate, the treatment of Borrowers at the end of their fixed-rate periods, the charging of arrears and early repayment fees and the management of arrears. The Consumer Duty may therefore constrain the ability of the Mortgage Administrator to set the Standard Variable Rate at the level required to maintain the excess spread of the transaction, to charge fees or to enforce the Loans, and the FCA may require the Seller to pay redress if it considers that the Seller has failed to comply, which may reduce the amounts available to the Issuer.

The rules of the FCA on arrears management and forbearance, and the Mortgage Charter, may delay enforcement and reduce or defer payments by Borrowers.

MCOB 13 requires a lender to deal fairly with any borrower who is in arrears or in payment difficulty, to establish and implement clear, effective and appropriate policies and procedures for the fair treatment of such borrowers, and to repossess a property only where all other reasonable attempts to resolve the position have failed. Lenders must consider a range of forbearance options, including an extension of the term, a change in the type of the loan or a deferral of interest payments, a capitalisation of arrears in defined circumstances, a temporary reduction in payments and the use of government schemes, and must give appropriate support to customers in vulnerable circumstances. The FCA made rules which took effect in November 2024 strengthening these protections and incorporating into MCOB a number of the measures previously contained in temporary guidance, including requirements to consider forbearance tailored to the customer's circumstances and to reduce or waive charges and interest where appropriate.

In June 2023 a group of lenders, His Majesty's Treasury and the FCA agreed the Mortgage Charter (the "Mortgage Charter"), under which participating lenders committed, among other things, that a borrower will not be forced to leave his or her home without consent within twelve months of the first missed payment, that a borrower who is up to date with payments may switch to interest-only payments for six months or extend the term of the loan to reduce the monthly payment, with an option to revert to the original term within six months, without a new affordability assessment and without affecting the borrower's credit file, and that a borrower nearing the end of a fixed-rate deal may lock in a new product up to six months in advance. The Seller applies the commitments of the Mortgage Charter in the administration of its mortgage book, including the Loans, as described in Section 14.

The application of these rules and commitments may result in Borrowers paying less than their contractual monthly instalments for a period, in the extension of the term of some Loans, in the conversion of some Loans to interest-only payments for a period and in a delay of twelve months or more in the commencement of possession proceedings. Loans subject to such forbearance may not be reported as in arrears, or may be reported as in arrears at a lower level, than would otherwise have been the case, so that the Arrears Ratio may not fully reflect the stress in the Portfolio. Each of these measures will reduce or delay the amounts received by the Issuer. The FCA and the government may introduce further measures of a similar kind in future, including in response to an economic shock, as they did during the coronavirus pandemic when lenders were required to offer payment deferrals of up to six months.

Terms of the Loans may be unfair and therefore unenforceable against Borrowers.

Part 2 of the Consumer Rights Act 2015 provides that a term of a consumer contract which is unfair is not binding on the consumer. A term is unfair if, contrary to the requirement of good faith, it causes a significant imbalance in the parties' rights and obligations to the detriment of the consumer. Terms which specify the main subject matter of the contract or the price payable are exempt from assessment for fairness only if they are transparent and prominent. The FCA and the Competition and Markets Authority each have powers to challenge unfair terms, and the FCA has published guidance on the fairness of variation terms in financial services contracts, which is relevant to the terms under which the Standard Variable Rate and the rates on other variable Loans may be changed.

If a term of a Loan, such as a term permitting the Mortgage Administrator to vary the Standard Variable Rate, to charge early repayment or arrears fees or to call in the Loan, were found to be unfair, the term would not be binding on the Borrower, and the Issuer might be required to repay any amounts collected under it. A finding of unfairness in respect of a term in common use could affect a large number of Loans. The Seller will give Loan Warranties, set out in Section 12, as to the origination of the Loans in accordance with its lending criteria, but there can be no assurance that a court or regulator will not find a term of the Loans to be unfair, and any such finding may reduce the amounts available to pay the Notes.

Complaints to the Financial Ombudsman Service may result in awards against the Seller or the Issuer which are not consistent with the strict legal position.

A Borrower may refer a complaint about the Seller or the Mortgage Administrator to the Financial Ombudsman Service, which determines complaints by reference to what is, in its opinion, fair and reasonable in all the circumstances of the case, taking into account the law, regulations, regulators' rules and guidance and good industry practice. The Financial Ombudsman Service may therefore make a determination which differs from that which a court would make, and may order the payment of compensation up to the applicable award limit, or direct that the terms of a Loan be varied. Individual determinations do not set binding precedents, but a determination may be followed in similar complaints and may have an effect on a large number of Loans. Any compensation awarded against the Seller in respect of a Loan, if not paid by the Seller, may be set off by the Borrower against the Loan, reducing the amounts received by the Issuer.

The Seller is a building society, and its insolvency or resolution may affect the Issuer.

The Seller is a building society incorporated under the Building Societies Act 1986 and authorised by the Prudential Regulation Authority (the "PRA") and regulated by the FCA and the PRA. If the Seller were to become insolvent, the insolvency regimes applicable to building societies, which apply the provisions of the Insolvency Act 1986 with modifications, and the building society special administration and insolvency procedures under the Banking Act 2009, as applied to building societies, would apply. In addition, the special resolution regime under the Banking Act 2009 applies to building societies, and gives the Bank of England, His Majesty's Treasury and the PRA powers to deal with a failing building society, including powers to transfer all or part of its business to a private sector purchaser or a bridge institution, to apply the bail-in tool as modified for building societies, and to suspend or override contractual rights.

The exercise of those powers in relation to the Seller could affect its ability to perform its obligations as Seller, Mortgage Administrator and Cash Manager, including its obligation to repurchase Loans in breach of the Loan Warranties and to transfer collections to the Issuer. A partial property transfer could separate the Seller's obligations under the Transaction Documents from the assets and personnel needed to perform them. Secondary legislation made under the Banking Act 2009 contains safeguards protecting capital market arrangements, such as the transaction, from partial property transfers, and restricts the termination of contracts by reason of the exercise of resolution powers. However, these safeguards are subject to exceptions, and the authorities may make further secondary legislation varying their scope. There can be no assurance that the exercise of resolution powers, or the insolvency of the Seller, will not adversely affect the Issuer and the Noteholders.

The sale of the Loans to the Issuer may be recharacterised or challenged on the insolvency of the Seller.

The Seller will sell the Loans to the Issuer under the Mortgage Sale Agreement. Hartwell Quinn LLP and Grantley Moss LLP, as legal advisers, will deliver opinions on the Issue Date to the effect, subject to the assumptions and qualifications set out in those opinions, that the sale of the English Loans constitutes an effective equitable assignment and that the Scottish Declaration of Trust creates an effective trust under Scots law, in each case which would not be recharacterised as a secured loan on the insolvency of the Seller. A legal opinion is an expression of professional judgement and is not a guarantee of the outcome of any dispute. English courts have generally upheld transactions which are expressed and structured as sales and in which the economic substance is consistent with a sale, rather than recharacterising them as secured financings, but a court could reach a different conclusion on the particular facts.

An insolvency official of the Seller might also seek to set aside the sale of the Loans as a transaction at an undervalue under section 238 of the Insolvency Act 1986, as a preference under section 239 of that Act, or as a transaction defrauding creditors under section 423 of that Act, or under the equivalent provisions of Scots law in the case of the Scottish Loans. A transaction is not at an undervalue where it is entered into in good faith for the purpose of carrying on business and there were reasonable grounds for believing that it would benefit the company. The Seller will warrant that the consideration paid for the Loans represents their fair value and that it is solvent on the

Issue Date. If the sale were set aside, the Issuer might be required to return the Loans or their value to the Seller, and would have only an unsecured claim in the Seller's insolvency for the purchase price.

The sale of the English Loans takes effect in equity only, and the Issuer will not obtain legal title to the English Loans unless a Perfection Event occurs.

The English Loans and their Related Security will be sold to the Issuer by way of an equitable assignment. Legal title to the English Loans will remain with the Seller, and the Issuer will not apply to HM Land Registry to register itself as proprietor of the mortgages, nor give notice of the assignment to the Borrowers, unless one of the events described in the Mortgage Sale Agreement occurs (each a "Perfection Event"), which include the insolvency of the Seller, the termination of the appointment of the Mortgage Administrator, a requirement of law or regulation, a downgrade of the Seller below the level set out in the Mortgage Sale Agreement and the security over the Issuer's assets becoming enforceable. Following a Perfection Event, the Seller will be required to execute legal transfers and the Issuer will be entitled to give notice to the Borrowers, and the Seller will grant the Issuer a power of attorney for this purpose.

As a consequence of the Issuer holding equitable title only, until the Perfection Event: (a) a bona fide purchaser of the legal title to an English Loan for value without notice of the Issuer's interest could take free of that interest; (b) the rights of the Issuer may be subject to the rights of Borrowers to set off claims against the Seller, as described above, and to any other equities arising before notice; (c) the Issuer may need to join the Seller as a party to any proceedings against a Borrower or to enforce the Related Security; and (d) payments made by a Borrower to the Seller will discharge the Borrower's obligations, so that the Issuer will be exposed to the risk that the Seller fails to account for them, as described under "Collections are paid initially into an account of the Seller" below. The Seller will undertake in the Mortgage Sale Agreement not to deal with the legal title to the English Loans in a manner inconsistent with the Issuer's interest.

The Issuer's interest in the Scottish Loans will be held under a Scottish declaration of trust.

Under Scots law, the transfer of a real right in a standard security requires an assignation in the statutory form registered in the Land Register of Scotland. To avoid the cost of registering assignations of each Scottish Loan on the Issue Date, the Seller will, on the Issue Date, declare a trust under Scots law over the Scottish Loans and their Related Security in favour of the Issuer (the "Scottish Declaration of Trust"), and the Issuer will acquire the beneficial interest in them. The Seller will remain the registered heritable creditor under each standard security and will be the party entitled to enforce it, unless and until assignations are registered following a Perfection Event.

Under the Trusts (Scotland) Act 1921, as amended, and the general principles of Scots law, trust property held by a trustee does not form part of the trustee's patrimony available to its personal creditors in its insolvency, and the beneficial interest of the Issuer should therefore be protected on the insolvency of the Seller. For the trust to be effective, the Issuer, as beneficiary, must be given notice of the trust, the trust property must be identified with sufficient precision and the Seller must comply with its obligations as trustee. The Trusts and Succession (Scotland) Act 2024 reforms aspects of the Scots law of trusts. The Issuer's interest in the Scottish Loans will in other respects be subject to risks similar to those described above for the English Loans held in equity only, including risks relating to set-off by Borrowers and to the need to involve the Seller in enforcement. The Issuer's beneficial interest under the Scottish Declaration of Trust will be assigned in security by the Issuer in favour of the Security Trustee under a Scots law assignation in security.

The insolvency of the Issuer, and the statutory regime applicable to floating charges, could reduce the amounts available to the Noteholders.

The Issuer has been structured as an insolvency-remote special purpose vehicle: its activities are restricted by its articles of association and the Transaction Documents, the parties to the Transaction Documents have agreed limited recourse and non-petition provisions, and its directors are

provided by the Corporate Services Provider. These arrangements reduce, but do not eliminate, the risk that the Issuer will become insolvent.

The security granted by the Issuer under the Deed of Charge will include fixed charges and a floating charge. Under section 72A of the Insolvency Act 1986, the holder of a qualifying floating charge created on or after 15 September 2003 is prohibited from appointing an administrative receiver, subject to the exceptions in sections 72B to 72GA, including the exception for capital market arrangements. The Issuer has been advised that the security should fall within that exception, so that the Security Trustee should be entitled to appoint an administrative receiver, but the exception has not been considered by the courts in a reported case and there is no assurance that it will apply. If it does not, the security could be enforced only by the appointment of an administrator, whose primary objective is to act in the interests of the creditors as a whole and who may not act in the interests of the Noteholders.

Whether a charge is fixed or floating is determined by the courts by reference to the degree of control which the chargee has over the charged assets, and not by the label which the parties give it. Following the decision of the House of Lords in *In re Spectrum Plus Limited* in 2005, a charge over assets, such as bank accounts or receivables, which the chargor is free to deal with in the ordinary course of business is likely to be characterised as a floating charge. Some of the security expressed in the Deed of Charge to be fixed may therefore take effect as floating security. Assets subject to a floating charge are available, before the floating charge holder, to meet the expenses of any insolvency proceedings and the claims of preferential creditors, which since 1 December 2020 include certain amounts owed to His Majesty's Revenue and Customs ("HMRC") as secondary preferential debts. In addition, under section 176A of the Insolvency Act 1986, a liquidator, administrator or receiver must set aside a prescribed part of the net property subject to a floating charge for the unsecured creditors, currently up to a maximum of £800,000, unless an exemption applies.

The transaction is subject to the UK Securitisation Framework, and investors are responsible for satisfying their own obligations under it.

The transaction is a securitisation within the meaning of the Securitisation Regulations 2024 (SI 2024/102), which, together with the Securitisation sourcebook of the FCA Handbook ("SECN") and the Securitisation Part of the PRA Rulebook, has applied since 1 November 2024 (together, and as amended from time to time, the "UK Securitisation Framework"). The UK Securitisation Framework imposes obligations on the originator, the sponsor and the securitisation special purpose entity of a securitisation, including obligations relating to risk retention, transparency and credit-granting criteria, and imposes due diligence obligations on institutional investors established in the United Kingdom before they hold a securitisation position.

The Seller will undertake to retain a material net economic interest in the securitisation of not less than 5 per cent of the nominal value of the securitised exposures, by the method described in Section 17. The Issuer, as the designated entity, will make available the loan-level information, the quarterly investor reports, the Transaction Documents and the other information required by SECN 6, as described in Section 17. Each prospective institutional investor is required to satisfy itself independently that it has complied with its own due diligence obligations, including by verifying the retention and the availability of the required information, assessing the risk characteristics of the securitisation position and the underlying exposures, and establishing written procedures to monitor its position on an ongoing basis. None of the Issuer, the Seller, the Arranger or any other party makes any representation that the information in this offering circular, or the information to be provided after the Issue Date, is sufficient for that purpose.

Investors established in the EEA are subject to the requirements of the EU Securitisation Regulation, which differ from those of the UK Securitisation Framework.

Institutional investors established in the EEA are subject to the due diligence requirements of Regulation (EU) 2017/2402, as amended (the "EU Securitisation Regulation"), including the require-

ment in Article 5 to verify that the originator, sponsor or original lender of a securitisation established in a third country retains a material net economic interest in accordance with Article 6 and that the information required by Article 7 has been made available. Since the United Kingdom's withdrawal from the European Union, the UK Securitisation Framework and the EU Securitisation Regulation have diverged, and further divergence may follow from the European Commission's proposals for reform of the EU Securitisation Regulation.

The Seller's undertaking to retain a material net economic interest is given by reference to the UK Securitisation Framework, and the information to be made available after the Issue Date will be in the form required by SECN 6. Neither the Issuer nor the Seller gives any undertaking that the information will be provided in the form of the templates prescribed under Article 7 of the EU Securitisation Regulation, or that it will satisfy the requirements of any EEA investor. Each EEA investor must therefore make its own assessment of whether the information available is sufficient to satisfy its obligations under Article 5, and EEA investors who cannot be satisfied may be unable to invest in, or may be required to dispose of, the Notes, which could reduce the demand for and liquidity of the Notes.

The Issuer's tax treatment depends on its continuing to qualify as a securitisation company.

The Issuer has been advised that it should fall within the permanent regime for the taxation of securitisation companies set out in the Taxation of Securitisation Companies Regulations 2006 (SI 2006/3296) (the "Securitisation Company Regulations"), as described in Section 18. Under that regime, the Issuer will generally be subject to corporation tax on its cash profit, which is the amount of profit it retains under the Transaction Documents, rather than on its profit as calculated under generally accepted accounting practice. If the Issuer did not qualify, or ceased to qualify, as a securitisation company, for example because it failed to satisfy the conditions of the Securitisation Company Regulations or because those regulations were amended or withdrawn, it could be subject to tax on its accounting profits, which might differ materially from its cash profit and which could reduce the amounts available to pay the Notes. The Issuer's directors will monitor its continued compliance with the Securitisation Company Regulations, but no assurance can be given that the regime will continue to apply.

Payments on the Notes may be subject to withholding tax, and the Issuer will not pay additional amounts to Noteholders.

The Notes will not be listed on a recognised stock exchange, and the exemption from United Kingdom withholding tax for interest on quoted Eurobonds will therefore not be available. Interest on the Notes may be paid without deduction or withholding for or on account of United Kingdom income tax only where another exemption or relief applies, including where the Issuer reasonably believes that the person beneficially entitled to the interest is a company within the charge to United Kingdom corporation tax in respect of it, where the Notes are qualifying private placements and the conditions for that exemption are satisfied, or where a direction has been given by HMRC under an applicable double taxation treaty. In other cases, interest on the Notes will generally be paid subject to deduction of United Kingdom income tax at the basic rate. The conditions for each exemption are described in Section 18.

If any withholding or deduction for or on account of tax is required by law in respect of payments on the Notes, neither the Issuer nor any other person will be obliged to pay any additional amount to the Noteholders to compensate them for the withholding or deduction. A Noteholder who is unable to establish an exemption will therefore receive less than the full amount of interest due. In certain circumstances, the imposition of a withholding tax may entitle the Issuer to redeem the Notes as described in the Conditions, with the consequences described above. The United States Foreign Account Tax Compliance Act, and the similar international automatic exchange of information regimes implemented in the United Kingdom, may also require the Issuer to collect and report information about Noteholders, and in limited circumstances could result in withholding on payments to Noteholders or intermediaries who fail to comply.

Risks relating to the counterparties

The Issuer depends on the Mortgage Administrator, and a failure by or replacement of the Mortgage Administrator could disrupt collections and increase costs.

The Mortgage Administrator will administer the Loans on behalf of the Issuer under the Mortgage Administration Agreement, as described in Section 14, including collecting payments, setting the Standard Variable Rate, offering Product Switches, managing arrears and conducting enforcement. The performance of the Portfolio will depend to a significant extent on the quality of the Mortgage Administrator's administration and arrears management. Any deterioration in that quality, for example as a result of a loss of experienced staff, a failure of its information technology systems or a change in its policies, could increase arrears and Realised Losses.

The appointment of the Mortgage Administrator may be terminated by the Issuer or the Security Trustee on the occurrence of the termination events set out in the Mortgage Administration Agreement, including a failure to pay, a material breach of its obligations and its insolvency. No back-up mortgage administrator has been appointed on the Issue Date. If the appointment of the Mortgage Administrator is terminated, the Issuer, with the assistance of the Corporate Services Provider, will be required to use reasonable endeavours to appoint a substitute mortgage administrator with the requisite permissions under FSMA and experience of administering residential mortgage loans in England, Wales and Scotland. There is no assurance that a substitute will be found, or that it will be found within the period permitted by FSMA as described above. The transfer of administration to a substitute will involve the transfer of data and the redirection of Borrowers' direct debits, which is likely to cause temporary disruption to collections and an increase in arrears, and the fees payable to a substitute may be higher than those payable to the Mortgage Administrator. Those fees will rank ahead of payments on the Notes.

The Issuer depends on the Cash Manager to make calculations and payments, and those calculations depend on information provided by the Mortgage Administrator.

The Cash Manager will determine, on each Calculation Date, the Available Revenue Receipts and the Available Principal Receipts, the amounts to be drawn from or credited to the reserve funds, the entries to be made on the Principal Deficiency Ledger and whether a Sequential Payment Trigger has occurred, and will make payments on each Interest Payment Date in accordance with the Revenue Priority of Payments and the Principal Priority of Payments, as described in Section 15. These determinations will be made on the basis of information provided by the Mortgage Administrator. If that information is not provided in time, the Cash Manager will make its determinations on the basis of estimates derived from previous periods, as described in Section 15, and will make reconciling adjustments once the information becomes available. Errors in the information or in the Cash Manager's calculations could result in payments being made to the wrong parties or in the wrong amounts, and it may not be possible to recover amounts paid in error.

Collections are paid initially into an account of the Seller, and the Issuer is exposed to the risk of commingling of collections with the Seller's own funds.

Borrowers pay their monthly instalments, primarily by direct debit, into an account maintained in the name of the Seller (the "Collection Account"), into which payments on other mortgage loans of the Seller are also paid. The Mortgage Administrator will transfer collections in respect of the Loans from the Collection Account to the Issuer's transaction account with the Account Bank within the period set out in the Mortgage Administration Agreement, as described in Section 15. The Seller will declare a trust over the amounts standing to the credit of the Collection Account which relate to the Loans in favour of the Issuer (the "Collection Account Declaration of Trust").

Until collections are transferred to the Issuer's transaction account, they are held in the Collection Account together with the Seller's own funds. If the Seller becomes insolvent, or is subject to the exercise of resolution powers, while collections are held in the Collection Account, the Issuer may be delayed in obtaining those collections and may be unable to recover them in full. The effectiveness

of the Collection Account Declaration of Trust depends on the amounts relating to the Loans being identifiable, and the tracing of trust money commingled with other funds may be difficult and costly. In addition, payments made by direct debit may be reclaimed by Borrowers under the Direct Debit Guarantee, and any amount so reclaimed after it has been transferred to the Issuer will reduce the Issuer's receipts. Following a Perfection Event, Borrowers will be directed to pay into an account in the name of the Issuer, but some Borrowers may continue to make payments to the Seller.

A downgrade of the Swap Provider may require it to post collateral, to transfer its obligations or to obtain a guarantee, and if it fails to do so the Swap Agreement may be terminated.

The Swap Agreement requires the Swap Provider, if its credit ratings fall below the levels specified in the Swap Agreement by reference to the criteria of the Rating Agencies, to take one or more remedial actions within the periods specified there, which may include posting collateral to the Issuer, transferring its obligations to a suitably rated replacement, obtaining a guarantee from a suitably rated guarantor or taking other action that maintains the ratings of the Rated Notes. There can be no assurance that the Swap Provider will be able to take such action, or that a replacement or guarantor will be available, in particular in market conditions in which the creditworthiness of financial institutions generally has deteriorated. If the Swap Provider fails to take the required action, the Issuer may terminate the Swap Agreement, with the consequences described under "The Issuer may be required to make a termination payment under the Swap Agreement" above. Any collateral posted by the Swap Provider will be held in a separate account and will be available only to meet the obligations of the Swap Provider and will not form part of the Available Revenue Receipts, except to the extent provided in the Swap Agreement.

A downgrade or insolvency of the Account Bank could result in the loss of, or delay in access to, funds held in the Issuer's accounts.

The Issuer's transaction account, the General Reserve Fund and the Liquidity Reserve Fund will be held in accounts with the Account Bank. Under the Bank Account Agreement, if the Account Bank ceases to have the ratings required by the criteria of the Rating Agencies, the Issuer, or the Cash Manager on its behalf, will be required to transfer the accounts to a suitably rated bank within the period set out in the Bank Account Agreement, or to obtain a guarantee of the Account Bank's obligations. There is no assurance that a suitably rated replacement bank willing to accept the accounts on comparable terms will be available. A failure to replace the Account Bank may result in the downgrade of the Rated Notes.

The amounts held in the Issuer's accounts, including the reserve funds, represent unsecured deposits with the Account Bank. They are not protected by the Financial Services Compensation Scheme. If the Account Bank becomes insolvent, or is subject to the exercise of stabilisation powers under the Banking Act 2009, including the bail-in tool, the Issuer may lose some or all of the amounts held in its accounts, or may be unable to access them for a period, at a time when they are needed to pay amounts on the Notes.

The parties to the transaction act in several capacities, and conflicts of interest may arise.

The Seller acts as Seller, Mortgage Administrator and Cash Manager, is the lender of the Subordinated Loan, will receive deferred consideration from the Issuer, and holds the retained interest described in Section 17. Halcyon Bank plc acts as Account Bank, Swap Provider and Arranger, and it and its affiliates may engage in other business with the Seller, including lending, deposit-taking, hedging and the arrangement of other securitisations. In each of those capacities, each of them will act in its own commercial interest and will have no duty to the Noteholders other than those expressly set out in the Transaction Documents. Conflicts may arise, for example, between the Seller's interest as a lender to its members and its obligations as Mortgage Administrator in setting the Standard Variable Rate and offering Product Switches, between its interest as recipient of deferred consideration and the interests of the Noteholders in the clearing of the Principal Deficiency Ledger, and between its interest in the exercise or non-exercise of the optional redemption on or

after the Step-Up Date and the interests of particular Classes.

Macroeconomic and market risks

Changes in Bank Rate and in market interest rates may affect Borrowers' ability to pay, the rate of prepayment and the excess spread of the transaction.

The Monetary Policy Committee of the Bank of England raised Bank Rate from its historical low in December 2021 to its highest level for fifteen years in August 2023, in response to a period of high inflation, before beginning to reduce it from August 2024. Movements in Bank Rate, and in the market expectations of its future path reflected in swap rates and in the rates offered by lenders on new fixed-rate products, affect the monthly payments of Borrowers on Tracker Loans and on Loans paying the Standard Variable Rate immediately, and affect Borrowers of Fixed Rate Loans at the end of their fixed-rate periods.

A rise in interest rates may increase arrears and Realised Losses on the Loans, may reduce house prices and may reduce the rate of prepayment, extending the weighted average lives of the Notes. A fall in interest rates may increase prepayments and Product Switches, shortening the weighted average lives of the Notes and reducing the excess spread of the transaction if higher-yielding Loans are repaid or switched to lower rates. Changes in Bank Rate may also affect SONIA, the Standard Variable Rate and the rates payable on the Tracker Loans differently and at different times, with the effects on the basis risk of the Issuer described above.

An increase in unemployment, or a fall in household incomes, may increase arrears and Realised Losses on the Loans.

Arrears and defaults on residential mortgage loans in the United Kingdom have historically been closely related to the level of unemployment and to changes in household incomes. An economic downturn in the United Kingdom, whether caused by domestic factors, by a slowdown in the global economy, by financial market disruption, by changes in trade policy and tariffs, by geopolitical events or by a pandemic, may result in higher unemployment, lower wage growth, reduced working hours and lower self-employed income, any of which may reduce the ability of Borrowers to pay their Loans. An economic downturn would also be likely to reduce house prices, with the effect on Realised Losses described above. The coincidence of higher unemployment with lower house prices, which has characterised past downturns, would have a particularly adverse effect on the Portfolio.

Increases in the cost of living may reduce the disposable income available to Borrowers to pay their Loans.

Consumer price inflation in the United Kingdom reached its highest level for over forty years in October 2022, driven in particular by increases in energy and food prices, and the cost of essential goods and services has remained elevated relative to incomes for many households. Increases in the cost of living, including energy bills, food, council tax, insurance, transport and childcare, and the burden of other consumer debt, reduce the disposable income available to Borrowers to meet their mortgage payments, particularly where they coincide with increases in mortgage interest rates. Any further increases may result in higher arrears on the Loans, and in a higher proportion of Borrowers in financial difficulty requiring forbearance, with the consequences described above.

General economic, political and market conditions in the United Kingdom and internationally may affect the Portfolio and the market value of the Notes.

The performance of the Portfolio and the market value of the Notes may be affected by general economic, political and market conditions, including the fiscal and monetary policy of the United Kingdom government and the Bank of England, the level of public debt and the conditions in the gilt market, the United Kingdom's trading relationship with the European Union and other trading partners, conflicts and geopolitical tensions, energy supply and prices, and the conditions in

the banking sector and in the market for mortgage-backed securities. Events of this kind have in the past led to sharp falls in the market value of asset-backed securities and to periods in which they could not be sold, irrespective of the performance of the underlying assets. The occurrence of a pandemic or other public health emergency could also lead to government measures, such as payment deferrals and suspensions of possession proceedings, which reduce or delay the receipts of the Issuer, as occurred in 2020 and 2021.

Section 2 — Transaction Parties

The following table identifies each party to the securitisation of residential mortgage loans described in this Offering Circular (the "Transaction") and the capacities in which it acts. Each party is described in more detail below. The agreements under which the parties act (together, the "Transaction Documents") are listed in Section 20, where they are stated to be available for inspection.

Party	Capacity	Further information
Severn Residential Mortgages 2026-1 plc	Issuer of the Notes; purchaser of the Mortgage Loans	Section 9
Severn Residential Mortgages Holdings Limited	Sole shareholder of the Issuer	Section 9
Marlowe Building Society	Seller, Mortgage Administrator, Cash Manager, Subordinated Loan Provider and retention holder	Sections 10, 14, 15 and 17
The Note Trustee and the Security Trustee	Trustee for the Noteholders and for the Secured Creditors	Section 4
Halcyon Bank plc	Arranger, Account Bank, Collection Account Bank, Swap Provider, Principal Paying Agent, Agent Bank and Registrar	Sections 15 and 19
Pellam Corporate Services Ltd	Corporate Services Provider and Share Trustee	Section 9
Grantley Moss LLP	Legal adviser to the Arranger, the Note Trustee and the Security Trustee	Section 20
Hartwell Quinn LLP	Legal adviser to the Issuer and the Seller	Section 20
Fennick & Rowe LLP	Auditors of the Issuer and of Holdings	Sections 9 and 20
The Rating Agencies	Credit rating agencies appointed to rate the Rated Notes	Section 3

Severn Residential Mortgages 2026-1 plc

Severn Residential Mortgages 2026-1 plc (the "Issuer") is a public limited company incorporated in England and Wales. It is a special purpose vehicle whose only business is to issue the Notes, to acquire the Mortgage Loans and their Related Security from the Seller, and to enter into and perform the Transaction Documents. The Issuer has no employees and no subsidiaries. Its incorporation, share capital, directors and capitalisation are described in Section 9.

Holdings

Severn Residential Mortgages Holdings Limited ("Holdings") is a private limited company incorporated in England and Wales which holds the entire beneficial interest in the issued share capital of the Issuer. The issued share capital of Holdings is held by Pellam Corporate Services Ltd (the "Share Trustee") on a discretionary trust for charitable purposes. Neither the Seller nor any member of its group has any direct or indirect ownership interest in Holdings or in the Issuer. Holdings is described in Section 9.

Marlowe Building Society

Marlowe Building Society (the "Society") is a building society incorporated in England under the Building Societies Act 1986, authorised by the Prudential Regulation Authority (the "PRA") and regulated by the FCA and the PRA. The Society was founded in Worcester in 1871 and has approximately 712,000 members and 63 branches. It originated each of the Mortgage Loans in the Provisional Portfolio.

Marlowe Building Society (the "Seller") will sell the Mortgage Loans and their Related Security to the Issuer on the Issue Date under the Mortgage Sale Agreement and will give the Loan Warranties described in Section 12. The sale of the English and Welsh Mortgage Loans will take effect in equity, and the sale of the Scottish Mortgage Loans will take effect by means of the Scottish Declaration of Trust, as described in Section 10.

Marlowe Building Society (the "Mortgage Administrator") will administer the Mortgage Loans on behalf of the Issuer under the Mortgage Administration Agreement, as described in Section 14, and Marlowe Building Society (the "Cash Manager") will operate the Issuer Accounts, maintain the ledgers of the Issuer and apply the Available Revenue Receipts and the Available Principal Receipts under the Cash Management Agreement, as described in Section 15.

Marlowe Building Society (the "Subordinated Loan Provider") will advance to the Issuer on the Issue Date a subordinated loan (the "Subordinated Loan") under a subordinated loan agreement (the "Subordinated Loan Agreement"), the proceeds of which will fund the General Reserve Fund and the Liquidity Reserve Fund as described in Section 5. The Subordinated Loan ranks below all payments on the Notes in the Revenue Priority of Payments. The Society will also retain a material net economic interest in the Transaction, as described in Section 17.

The Note Trustee and the Security Trustee

The Note Trustee will act as trustee for the holders of the Notes (the "Noteholders") under the trust deed constituting the Notes (the "Trust Deed"). The Security Trustee will hold the security created by the Issuer under the deed of charge dated on or about the Issue Date (the "Deed of Charge") on trust for the Noteholders and the other persons to whom the Issuer owes obligations under the Transaction Documents (together, the "Secured Creditors"). By the Deed of Charge, the Issuer assigns by way of first fixed security its interest in the English and Welsh Mortgage Loans, its beneficial interest under the Scottish Declaration of Trust (by way of an assignation in security governed by Scots law), its rights under the Transaction Documents and the Issuer Accounts, and grants a first floating charge over the whole of its undertaking and assets.

The Note Trustee and the Security Trustee are the same trust corporation, which is incorporated in England and Wales. Their fees and expenses rank first in the Revenue Priority of Payments, as set out in Section 6. Neither the Note Trustee nor the Security Trustee is under any obligation to monitor the performance of the Mortgage Loans or of any party to the Transaction Documents, and each is entitled to be indemnified and secured to its satisfaction before taking any action. Their powers, their discretions and the circumstances in which they may retire or be removed are set out in the Conditions in Section 4.

Halcyon Bank plc

Halcyon Bank plc is a public limited company incorporated in England and Wales, authorised by the PRA and regulated by the FCA and the PRA. It acts in several capacities.

Halcyon Bank plc (the "Arranger") structured the Transaction and has agreed, under the Subscription Agreement described in Section 19, to subscribe or procure subscribers for the Notes, other than any Notes acquired by the Seller.

Halcyon Bank plc (the "Account Bank") will hold the transaction account and the reserve accounts of the Issuer (the "Issuer Accounts") under the bank account agreement dated on or about the Issue Date (the "Bank Account Agreement"). If the Account Bank ceases to have the minimum ratings required by the Rating Agencies, the Issuer Accounts will be transferred to a suitably rated bank, as described in Section 15.

Halcyon Bank plc (the "Collection Account Bank") holds the account of the Society into which borrowers' monthly payments are collected (the "Collection Account"). The Society holds the amounts credited to the Collection Account in respect of the Mortgage Loans on trust for the Issuer under a declaration of trust (the "Collection Account Declaration of Trust"), and those amounts are transferred to the transaction account of the Issuer as described in Section 15.

Halcyon Bank plc (the "Swap Provider") will enter into an interest rate swap with the Issuer (the "Swap Agreement") to hedge the difference between the fixed rates payable on the fixed-rate Mortgage Loans and Compounded Daily SONIA payable on the Rated Notes, as described in Section 15. Net amounts due to the Swap Provider rank in the Revenue Priority of Payments as set out in Section 6, and certain termination payments are subordinated.

Halcyon Bank plc (the "Principal Paying Agent"), Halcyon Bank plc (the "Agent Bank") and Halcyon Bank plc (the "Registrar") will act under the agency agreement dated on or about the Issue Date (the "Agency Agreement"): the Agent Bank determines the rate of interest on each Class of Rated Notes for each Interest Period, the Principal Paying Agent makes payments on the Notes to the Clearing Systems, and the Registrar maintains the register of the Noteholders.

Pellam Corporate Services Ltd

Pellam Corporate Services Ltd (the "Corporate Services Provider") is a private limited company incorporated in England and Wales that provides directors, company secretarial and administrative services to special purpose companies. Under the corporate services agreement dated on or about the Issue Date (the "Corporate Services Agreement"), it will provide the directors and the company secretary of the Issuer and of Holdings. If a Mortgage Administrator Termination Event occurs, the Corporate Services Provider will assist the Issuer in appointing a back-up mortgage administrator, as described in Section 14. No back-up mortgage administrator is appointed on the Issue Date.

Legal Advisers, Auditors and Rating Agencies

Grantley Moss LLP is legal adviser to the Arranger, the Note Trustee and the Security Trustee as to English law, and Hartwell Quinn LLP is legal adviser to the Issuer and the Seller as to English law, Scots law and United Kingdom taxation. Fennick & Rowe LLP, chartered accountants and registered auditors, have been appointed as the auditors of the Issuer and of Holdings (the "Auditors"). The Rating Agencies are each established in the United Kingdom and registered under the UK CRA Regulation; they are not parties to the Transaction Documents.

Conflicts of Interest

The Society acts in five capacities (seller, mortgage administrator, cash manager, subordinated loan provider and retention holder), and Halcyon Bank plc acts in seven capacities. Each acts in each capacity only in accordance with the Transaction Documents to which it is a party in that capacity and may have interests which differ from those of the Noteholders. The risks arising from these arrangements are described in Section 1.

Section 3 — The Notes

Class	Principal amount	% of Notes	Reference rate	Margin to Step-Up Date	Margin after Step-Up Date	Expected rating
A	350,000,000	87.50	Compounded Daily SONIA	0.58%	1.16%	AAAsf
B	16,000,000	4.00	Compounded Daily SONIA	0.95%	1.425%	AAsf
C	12,000,000	3.00	Compounded Daily SONIA	1.35%	2.025%	Asf
D	10,000,000	2.50	Compounded Daily SONIA	2.10%	3.15%	BBBsf
Z	12,000,000	3.00	None	n/a	n/a	Unrated

The Notes are denominated in sterling; the principal amounts above are in pounds. Interest on the Class A, Class B, Class C and Class D Notes is payable quarterly in arrear on each Interest Payment Date at Compounded Daily SONIA plus the relevant margin. The Class Z Notes do not bear interest.

Step-up and optional redemption. From the Step-Up Date the margins increase to those shown in the last margin column. On the Step-Up Date and on any Interest Payment Date after it, the Issuer may redeem all (but not some) of the Notes at their principal amount outstanding plus accrued interest. The Issuer may also redeem all the Notes on any Interest Payment Date on which the current balance of the portfolio is less than 10 per cent of its balance on the Issue Date.

Final redemption. Unless redeemed earlier, the Notes will be redeemed on the Final Maturity Date.

Section 4 — Terms and Conditions of the Notes

The following are the terms and conditions of the Notes (the "Conditions") in the form in which they will be set out in the Trust Deed. They will be endorsed on each Note in definitive form, if any is issued, and will apply to each Global Note subject to the modifications described in Condition 1.4. Capitalised terms used in the Conditions and not defined in them have the meanings given to them in the Master Terms and Construction Schedule described below and in the Glossary of Defined Terms at the end of this offering circular. If a term is defined differently in the Conditions and in the Master Terms and Construction Schedule, the definition in the Conditions prevails as regards the Noteholders.

Introduction

The Notes. The residential mortgage-backed notes of Severn Residential Mortgages 2026-1 plc (the "Issuer") comprise five classes: the Class A Mortgage Backed Floating Rate Notes due 20 July 2064 (the "Class A Notes"), the Class B Mortgage Backed Floating Rate Notes due 20 July 2064 (the "Class B Notes"), the Class C Mortgage Backed Floating Rate Notes due 20 July 2064 (the "Class C Notes"), the Class D Mortgage Backed Floating Rate Notes due 20 July 2064 (the "Class D Notes") and the Class Z Mortgage Backed Notes due 20 July 2064 (the "Class Z Notes"). The Class A Notes, the Class B Notes, the Class C Notes and the Class D Notes are together the "Rated Notes", and the Rated Notes and the Class Z Notes are together the "Notes". Each of the five classes is a "Class". The principal amount of each Class, its Margin before and after the Step-Up Date and its expected rating are set out in Section 3 (The Notes). The Notes will be issued on 14 May 2026 (the "Issue Date").

The Trust Deed and the trustees. The Notes are constituted by a trust deed dated the Issue Date (the "Trust Deed") between the Issuer and the note trustee (the "Note Trustee") for the holders of the Notes (the "Noteholders"). The Notes are secured by a deed of charge dated the Issue Date (the "Deed of Charge") between, among others, the Issuer and the security trustee (the "Security Trustee") for the Secured Creditors. The same entity acts as Note Trustee and Security Trustee; references to the Note Trustee or the Security Trustee include any successor appointed under the Trust Deed or the Deed of Charge.

The Transaction Documents. On or before the Issue Date the Issuer will also enter into:

(a) a mortgage sale agreement (the "Mortgage Sale Agreement") with Marlowe Building Society (the "Seller"), the Note Trustee and the Security Trustee, under which the Seller sells the Provisional Portfolio to the Issuer and gives the loan warranties set out in Section 12;
(b) a Scottish declaration of trust (the "Scottish Declaration of Trust") under which the Seller holds its title to the Mortgage Loans secured over Properties in Scotland (the "Scottish Loans") and their Related Security on trust for the Issuer;
(c) a Scottish supplemental charge (the "Scottish Supplemental Charge") under which the Issuer assigns in security its beneficial interest under the Scottish Declaration of Trust to the Security Trustee;
(d) a mortgage administration agreement (the "Mortgage Administration Agreement") with Marlowe Building Society (the "Mortgage Administrator") and the Security Trustee, under which the Mortgage Administrator services the Mortgage Loans as described in Section 14;
(e) a cash management agreement (the "Cash Management Agreement") with Marlowe Building Society (the "Cash Manager") and the Security Trustee, under which the Cash Manager makes the calculations, maintains the ledgers and applies the Issuer's receipts as described in Section 15;
(f) an issuer account bank agreement (the "Bank Account Agreement") with Halcyon Bank plc (the "Issuer Account Bank"), the Cash Manager and the Security Trustee, under which the Account Bank holds the Transaction Account, the General Reserve Account, the Liquidity Reserve Account and the Swap Collateral Account (together, the "Issuer Accounts");

(g) an interest rate swap agreement in the form of an ISDA master agreement, schedule, credit support annex and confirmation (together, the "Swap Agreement") with Halcyon Bank plc (the "Swap Provider") and the Security Trustee, described in Section 15;
(h) a subordinated loan agreement (the "Subordinated Loan Agreement") with the Seller, in its capacity as lender of the subordinated loan used to fund the General Reserve Fund, the Liquidity Reserve Fund and certain issue costs (the "Subordinated Loan");
(i) an agency agreement (the "Agency Agreement") with the Note Trustee and Halcyon Bank plc (the "Principal Paying Agent"), which also acts as agent bank (in that capacity, the "Agent Bank") and registrar (in that capacity, the "Registrar" and, together with the Principal Paying Agent and the Agent Bank, the "Agents");
(j) a corporate services agreement (the "Corporate Services Agreement") with Pellam Corporate Services Ltd (the "Corporate Services Provider"), Severn Residential Mortgages Holdings Limited ("Holdings") and the Security Trustee;
(k) a subscription agreement (the "Subscription Agreement") with Halcyon Bank plc (the "Arranger") and the Seller; and
(l) a master terms and construction schedule (the "Master Schedule") signed for identification by each party to the documents listed above.

The Trust Deed, the Deed of Charge, the Notes and the documents listed in paragraphs (a) to (l) above are together the "Transaction Documents". The Note Trustee, the Security Trustee, the Noteholders, the Mortgage Administrator, the Cash Manager, the Account Bank, the Swap Provider, the Agents, the Corporate Services Provider, the Seller (as lender of the Subordinated Loan and as the person entitled to deferred consideration) and any Receiver are together the "Secured Creditors".

Notice of the Transaction Documents. Certain provisions of the Conditions are summaries of, and are subject to, the detailed provisions of the Transaction Documents. The Noteholders are entitled to the benefit of, are bound by and are deemed to have notice of all the provisions of the Transaction Documents applicable to them. Copies of the Transaction Documents may be inspected during normal business hours at the registered office of the Issuer and at the specified office of the Principal Paying Agent, or obtained by electronic means as described in Section 20.

Interpretation. In the Conditions:

(a) "**Available Revenue Receipts**" and "**Available Principal Receipts**" have the meanings given to them in Section 6 and Section 7, and are calculated by the Cash Manager on each Calculation Date;
(b) a day (other than a Saturday or a Sunday) on which banks are open for general business in London is a business day (a "Business Day");
(c) "**Calculation Date**" means the last day of the month before each Interest Payment Date;
(d) "**Collection Period**" means each quarterly period running from (but excluding) one Calculation Date to (and including) the next Calculation Date, so that each Collection Period comprises the three calendar months ending on the Calculation Date before an Interest Payment Date; the first Collection Period runs from (but excluding) the Portfolio Reference Date, 31 March 2026, to (and including) the Calculation Date immediately before the First Interest Payment Date;
(e) "**Interest Payment Date**" means the 20th day of January, April, July and October in each year, the first being 20 July 2026 (the "First Interest Payment Date"), or, if that day is not a Business Day, the next Business Day unless it would fall in the next calendar month, in which case the preceding Business Day;
(f) "**Interest Period**" means the period from (and including) an Interest Payment Date to (but excluding) the next Interest Payment Date, except that the first Interest Period begins on (and includes) the Issue Date;
(g) "**Most Senior Class**" means the Class A Notes while any of them is outstanding; thereafter the Class B Notes while any of them is outstanding; thereafter the Class C Notes while any of them is outstanding; thereafter the Class D Notes while any of them is outstanding; and

thereafter the Class Z Notes;

(h) "**Mortgage Loans**" means the 1,912 first-ranking residential mortgage loans in the Provisional Portfolio sold to the Issuer on the Issue Date (with an aggregate current balance of 400,000,000 on the Portfolio Reference Date), together with any further advance or product switch retained in the Portfolio under the Mortgage Sale Agreement, and "**Portfolio**" means those Mortgage Loans and their Related Security (the mortgages and standard securities over the properties (the "Properties") of the borrowers (the "Borrowers"), the insurance contracts and the other rights relating to them);

(i) "**Principal Amount Outstanding**" means, for a Note on any date, its principal amount on the Issue Date less the aggregate amount of all payments of principal made on it on or before that date;

(j) "**Rating Agencies**" means the rating agencies appointed by the Issuer to rate the Rated Notes, and "**Rating Agency Confirmation**" means written confirmation from each of them (or deemed confirmation, where a Transaction Document so provides) that a proposed action will not result in the downgrade or withdrawal of its then current rating of any Class of Rated Notes;

(k) "**Sequential Payment Trigger**" has the meaning given to it in Section 8; and

(l) "**Step-Up Date**" means the Interest Payment Date falling on 20 July 2031.

References to a Section are to a section of this offering circular, and references to a Condition are to a Condition of these Conditions.

Condition 1 — Form, Denomination and Title

1.1 Form. Each Class of Notes will be issued in fully registered form, without interest coupons. Each Class will initially be represented by a single global note certificate in registered form (each, a "Global Note"), registered in the name of a nominee of, and deposited with, a common safekeeper for the international central securities depositaries through which the Notes are cleared (the "Clearing Systems"). The Notes will not be listed or admitted to trading on any stock exchange or market.

1.2 Denomination. The Notes will be issued in minimum denominations of £100,000 and integral multiples of £1,000 in excess thereof (each, an "Authorised Denomination"). Interests in a Global Note may be held and transferred only in Authorised Denominations.

1.3 Definitive Notes. Interests in a Global Note will be exchanged for individual note certificates in registered form (the "Definitive Notes") only if:

(a) the Clearing Systems are closed for business for a continuous period of 14 days (other than by reason of a holiday, statutory or otherwise) or announce an intention permanently to cease business, and no successor clearing system satisfactory to the Note Trustee is available; or

(b) as a result of any change in, or amendment to, the laws or regulations of the United Kingdom, or of any change in their application or official interpretation, which becomes effective on or after the Issue Date, the Issuer or any Agent is or will be required to make any deduction or withholding for or on account of tax from any payment on the Notes that would not be required if the Notes were in definitive form.

The Issuer will deliver the Definitive Notes within 30 days of the relevant event, in Authorised Denominations only, and a Noteholder holding less than £100,000 in the Clearing Systems at the time will not be entitled to a Definitive Note for that holding.

1.4 Global Notes. While the Notes are represented by a Global Note: (a) payments will be made to the registered holder of the Global Note in accordance with Condition 7; (b) notices may be given through the Clearing Systems in accordance with Condition 14; (c) the registered holder of the Global Note will be treated as having one vote for each £1,000 of Principal Amount Outstanding represented by it; and (d) each person who is shown in the records of a Clearing System as entitled

to a principal amount of Notes (an "Accountholder") must look solely to that Clearing System for its share of each payment and for the exercise of its rights.

1.5 Title. Title to the Notes will pass only by registration in the register maintained by the Registrar (the "Register"). The registered holder of a Note will, except as ordered by a court of competent jurisdiction or required by law, be treated as its absolute owner for all purposes (whether or not it is overdue and regardless of any notice of ownership, trust or other interest in it), and no person will be liable for so treating it.

1.6 Transfers. A Definitive Note may be transferred, in whole or in an Authorised Denomination, by surrender at the specified office of the Registrar of the Definitive Note with the form of transfer duly completed and executed. The Registrar will deliver a new Definitive Note to the transferee (and, for any balance, to the transferor) within five Business Days. Registration of a transfer will be made without charge, except for any tax or other governmental charge imposed on it, and no transfer will be registered in the 15 days ending on an Interest Payment Date. The Notes may be offered and sold only to professional investors in the United Kingdom and the European Economic Area, subject to the restrictions described in Section 19.

Condition 2 — Status and Ranking

2.1 Status. The Notes are direct, secured, limited recourse and unconditional obligations of the Issuer. They are secured by the Security described in Condition 3, and payments on them are limited as described in Condition 11.

2.2 Ranking within each Class. The Notes of each Class rank *pari passu* and without any preference among themselves.

2.3 Ranking between Classes before enforcement. Before the delivery of an Enforcement Notice:

(a) interest on the Rated Notes is paid out of Available Revenue Receipts (and, where applicable, drawings on the Liquidity Reserve Fund and the General Reserve Fund) in the order set out in the Revenue Priority of Payments in Section 6, so that interest on the Class A Notes ranks ahead of interest on the Class B Notes, which ranks ahead of interest on the Class C Notes, which ranks ahead of interest on the Class D Notes;

(b) principal on the Notes is paid out of Available Principal Receipts in the order set out in the Principal Priority of Payments in Section 7, sequentially or, where the conditions described in Section 7 are satisfied and no Sequential Payment Trigger has occurred, *pro rata* between the Class A Notes, the Class B Notes, the Class C Notes and the Class D Notes, with principal on the Class Z Notes paid only after the Rated Notes have been redeemed in full; and

(c) the debit balances on the Principal Deficiency Ledgers are cleared from Available Revenue Receipts at the positions in the Revenue Priority of Payments set out in Section 6.

2.4 Ranking between Classes after enforcement. After the delivery of an Enforcement Notice, the Class A Notes rank in priority to the Class B Notes, the Class B Notes rank in priority to the Class C Notes, the Class C Notes rank in priority to the Class D Notes and the Class D Notes rank in priority to the Class Z Notes, in each case as to payments of both interest and principal, in accordance with the Post-Enforcement Priority of Payments described in Condition 11.4.

2.5 Class Z Notes. The Class Z Notes do not bear interest. They are the first Class to absorb losses on the Portfolio, through the Class Z Principal Deficiency Ledger, and they are not covered by the General Reserve Fund or the Liquidity Reserve Fund. Their return to the holder consists only of the repayment of their Principal Amount Outstanding to the extent that funds are available for that purpose in the Principal Priority of Payments or, after enforcement, in the Post-Enforcement Priority of Payments.

2.6 Conflicts of interest. The Trust Deed requires the Note Trustee, in the exercise of its powers, trusts, authorities, duties and discretions, to have regard to the interests of each Class as a class, and

not to the consequences for individual Noteholders. If there is, in the opinion of the Note Trustee, a conflict between the interests of the holders of two or more Classes, the Note Trustee is required to have regard only to the interests of the holders of the Most Senior Class. If there is a conflict between the interests of the Noteholders and those of the other Secured Creditors, the Security Trustee is required to have regard only to the interests of the Noteholders (and, among them, to those of the Most Senior Class), save that the Security Trustee will have regard to the interests of the Swap Provider in relation to the rights of the Swap Provider over the Swap Collateral.

Condition 3 — Security

3.1 Security. As continuing security for the payment of all amounts owed by the Issuer to the Secured Creditors (the "Secured Amounts"), the Issuer will, under the Deed of Charge and the Scottish Supplemental Charge, grant the following security in favour of the Security Trustee, to hold on trust for the Secured Creditors (together, the "Security"):

(a) a first fixed equitable charge or assignment by way of first fixed security over its interest in the Mortgage Loans secured over Properties in England and Wales and their Related Security;
(b) an assignation in security, governed by Scots law, of its beneficial interest under the Scottish Declaration of Trust in the Scottish Loans and their Related Security;
(c) an assignment by way of first fixed security of its rights under the Mortgage Sale Agreement, the Mortgage Administration Agreement, the Cash Management Agreement, the Bank Account Agreement, the Swap Agreement, the Subordinated Loan Agreement, the Agency Agreement, the Corporate Services Agreement and each other Transaction Document to which it is a party (other than the Trust Deed and the Deed of Charge);
(d) a first fixed charge over its rights in each Issuer Account and the amounts standing to its credit, and over any authorised investments made with those amounts (the "Authorised Investments"); and
(e) a first floating charge over the whole of its undertaking, property, assets and rights, wherever situated, not otherwise effectively subject to fixed security, including its assets governed by Scots law.

The floating charge is a qualifying floating charge for the purposes of paragraph 14 of Schedule B1 to the Insolvency Act 1986. The transaction is intended to fall within the capital market exception in section 72B of that Act, so that the Security Trustee may appoint an administrative receiver of the Issuer.

3.2 Legal title and perfection. The sale of the English and Welsh Mortgage Loans takes effect as an equitable assignment, and the Scottish Loans are held on trust for the Issuer under the Scottish Declaration of Trust. Legal title to the Mortgage Loans will remain with the Seller, and the Issuer will not be registered at HM Land Registry or in the Registers of Scotland as proprietor or heritable creditor, unless and until a perfection event described in Section 10 occurs (each, a "Perfection Event"), which include the insolvency of the Seller, the termination of the appointment of the Mortgage Administrator and the delivery of an Enforcement Notice. Until then, the risks described in Section 1 relating to the absence of legal title apply.

3.3 Swap Collateral. Collateral transferred by the Swap Provider to the Issuer under the credit support annex of the Swap Agreement (the "Swap Collateral") will be credited to the Swap Collateral Account. The Swap Collateral forms part of the Security but does not form part of the Available Revenue Receipts or the Available Principal Receipts. It may be applied only in returning excess collateral to the Swap Provider and, on an early termination of the Swap Agreement, in satisfying the amount owed by the Swap Provider, in accordance with the swap collateral provisions of the Cash Management Agreement described in Section 15.

3.4 Release. The Security over a Mortgage Loan is released automatically when it is repurchased by the Seller under the Mortgage Sale Agreement, when it is redeemed in full, or when its Property

has been sold and the net proceeds have been credited to the Transaction Account. The Security over the amounts in the Issuer Accounts is released to the extent that they are applied in accordance with the Revenue Priority of Payments, the Principal Priority of Payments or the other provisions of the Transaction Documents.

3.5 Enforceability. The Security will become enforceable on the delivery of an Enforcement Notice under Condition 10. The Security Trustee will not be responsible for the legality, validity, effectiveness, adequacy or enforceability of the Security, or for any failure to register it, and will not be liable for any decline in the value of the Portfolio or for any loss arising from its holding the Security in accordance with the Deed of Charge.

Condition 4 — Covenants of the Issuer

4.1 Negative covenants. So long as any Note remains outstanding, the Issuer will not, save to the extent permitted by the Transaction Documents or with the prior written consent of the Note Trustee:

(a) carry on any business other than the acquisition, holding and administration of the Portfolio, the issue of the Notes and the performance of the Transaction Documents;
(b) incur any indebtedness, other than under the Notes, the Subordinated Loan and the other Transaction Documents, or give any guarantee or indemnity;
(c) create any security interest over any of its assets or undertaking, other than the Security;
(d) sell, assign, transfer or otherwise dispose of any of its assets, or any interest in them, other than as provided in the Transaction Documents;
(e) pay any dividend or make any other distribution to its shareholders, other than of its retained profit, or issue any further shares;
(f) have any subsidiary, employee or premises;
(g) consolidate or merge with any other person, other than in accordance with Condition 15;
(h) have an interest in any bank account other than the Issuer Accounts, unless it is charged to the Security Trustee;
(i) amend, terminate or waive any provision of any Transaction Document, or permit any party to be released from its obligations under it, other than in accordance with Condition 12;
(j) enter into any derivative transaction other than the Swap Agreement and any replacement swap agreement; or
(k) become a member of a group for value added tax purposes, or do anything that would cause it to cease to be a "securitisation company" within the meaning of the Taxation of Securitisation Companies Regulations 2006 (SI 2006/3296).

4.2 Positive covenants. The Issuer will at all times:

(a) keep its centre of main interests and its registered office in England and Wales, and conduct its business in its own name and through its own officers;
(b) prepare annual financial statements audited by Fennick & Rowe LLP, or by other independent auditors appointed under the Companies Act 2006, and deliver a copy to the Note Trustee within 180 days after the end of each financial year, together with a certificate of two directors confirming that no Event of Default has occurred, or giving details of any that has;
(c) notify the Note Trustee promptly on becoming aware of any Event of Default, Perfection Event, Sequential Payment Trigger or Swap Provider downgrade event;
(d) maintain a Mortgage Administrator, a Cash Manager, an Account Bank, the Agents and a Corporate Services Provider in accordance with the Transaction Documents; and
(e) take all steps necessary to preserve the Security.

4.3 UK securitisation framework. The Issuer, as securitisation special purpose entity, and the Seller, as originator, will comply with the obligations that apply to them under the Securitisation Regulations 2024 (SI 2024/102), SECN of the FCA Handbook and the Securitisation Part of the PRA

Rulebook (together, the "UK Securitisation Framework"). The Seller is designated as the entity responsible for the transparency requirements of the UK Securitisation Framework (the "Reporting Entity") and will make available the quarterly investor report and the loan-level data described in Section 17. The Seller will retain its material net economic interest by the method described in Section 17, and will not sell, hedge or otherwise mitigate the credit risk of the retained exposures save as permitted by the UK Securitisation Framework.

4.4 Replacement of counterparties. The Issuer will procure that, if the Account Bank or the Swap Provider ceases to have the ratings required by the Bank Account Agreement or the Swap Agreement (as described in Section 15), the remedial action required by that agreement is taken within the period it sets, which may include the transfer of the Issuer Accounts to a suitably rated bank, the posting of Swap Collateral, the procurement of a guarantor or the novation of the Swap Agreement to a replacement swap provider. If the appointment of the Mortgage Administrator is terminated following a mortgage administrator termination event described in Section 14, the Issuer will appoint a substitute mortgage administrator approved by the Security Trustee, and the termination will not take effect until the substitute is appointed.

4.5 No further notes. The Issuer will not issue any further notes after the Issue Date and will not acquire any further mortgage loans other than further advances and product switches that the Seller elects not to repurchase and that satisfy the conditions in the Mortgage Sale Agreement described in Section 10.

Condition 5 — Interest

5.1 Accrual. Each Rated Note bears interest on its Principal Amount Outstanding from (and including) the Issue Date. Interest is payable quarterly in arrear on each Interest Payment Date for the Interest Period ending on (but excluding) that Interest Payment Date. The Class Z Notes do not bear interest, and no amount is payable on them under this Condition. Each Rated Note will cease to bear interest from the date on which it is redeemed in full, unless payment of principal is improperly withheld or refused, in which case interest will continue to accrue (after as well as before judgment) at the rate determined under this Condition until the day on which all sums due on that Note are received by or on behalf of the relevant Noteholder.

5.2 Rate of Interest. The rate of interest payable on each Class of Rated Notes for each Interest Period (the "Rate of Interest") is the aggregate of Compounded Daily SONIA for that Interest Period and the Margin of that Class. The "Margin" of each Class is:

(a) for each Interest Period ending on or before the Step-Up Date, the margin for that Class shown in the column "Margin to Step-Up Date" in Section 3; and
(b) for each Interest Period beginning on or after the Step-Up Date, the margin for that Class shown in the column "Margin after Step-Up Date" in Section 3.

If the Rate of Interest of a Class for an Interest Period would be less than zero, it will be zero.

5.3 Compounded Daily SONIA. "Compounded Daily SONIA" means, for an Interest Period, the rate of return of a daily compound interest investment in sterling, with the daily Sterling Overnight Index Average as reference rate, calculated by the Agent Bank on the Interest Determination Date for that Interest Period by the following method, the resulting percentage being rounded, if necessary, to the fourth decimal place, with 0.00005 being rounded upwards:

(a) for each London Banking Day in the Observation Period, the Agent Bank multiplies the SONIA rate for that London Banking Day by the number of calendar days from (and including) that London Banking Day to (but excluding) the next London Banking Day, divides the result by 365 and adds one;
(b) the Agent Bank multiplies together the factors obtained under paragraph (a) for all the London Banking Days in the Observation Period and subtracts one from the product; and

(c) the Agent Bank multiplies the result by 365 and divides it by the number of calendar days in the Observation Period.

For this purpose: "**SONIA**" means, for any London Banking Day, the Sterling Overnight Index Average rate for that day as provided by the Bank of England, as administrator of that rate, or by any successor administrator, to authorised distributors and as then published on the relevant screen page (the "Relevant Screen Page") or, if that page is unavailable, as otherwise published by those authorised distributors, in each case on the next London Banking Day; "**London Banking Day**" means any day on which commercial banks are open for general business (including dealing in foreign exchange and foreign currency deposits) in London; "**Observation Period**" means, for an Interest Period, the period from (and including) the date falling five London Banking Days before the first day of that Interest Period to (but excluding) the date falling five London Banking Days before the Interest Payment Date at the end of it; and "**Interest Determination Date**" means, for an Interest Period, the fifth London Banking Day before the Interest Payment Date at the end of it.

Under this method, which shifts both the SONIA rates and their weighting to the Observation Period, each Interest Period is matched with an Observation Period of equal length that ends five London Banking Days before the Interest Payment Date, so that the Rate of Interest is known before the payment is made.

5.4 Fallback. If, for any London Banking Day in an Observation Period, SONIA is not made available on the Relevant Screen Page and has not otherwise been published by the authorised distributors, SONIA for that day will be:

(a) the Bank Rate of the Bank of England (the "Bank Rate") prevailing at close of business on that London Banking Day; plus
(b) the mean of the spread of SONIA to the Bank Rate over the previous five days on which SONIA has been published, excluding the highest spread (or, if there is more than one highest spread, one only of those highest spreads) and the lowest spread (or, if there is more than one lowest spread, one only of those lowest spreads).

If the Bank of England publishes guidance as to how SONIA is to be determined, or as to any rate that is to replace SONIA, the Agent Bank will, to the extent reasonably practicable, follow that guidance for so long as SONIA is not available. If the Rate of Interest cannot be determined in accordance with Conditions 5.3 and 5.4, it will be the Rate of Interest last determined for the relevant Class for the preceding Interest Period, with the Margin applicable to the current Interest Period substituted for the Margin applicable to that preceding Interest Period (or, for the first Interest Period, the rate that would have applied had the Notes been in issue for a period of equal length ending on the Issue Date). This Condition is without prejudice to the modification of the Conditions on a Benchmark Rate Disruption Event under Condition 12.7.

5.5 Interest Amount. The Agent Bank will, as soon as practicable after the Interest Determination Date, calculate the amount of interest payable on each Class of Rated Notes for the Interest Period (the "Interest Amount") by applying the Rate of Interest to the Principal Amount Outstanding of that Class on the first day of the Interest Period (after any payment of principal on that day), multiplying the product by the actual number of days in the Interest Period divided by 365, and rounding the result to the nearest penny (half a penny being rounded upwards). The Interest Amount payable on each Note of the Class is its rateable share of that amount, rounded down to the nearest penny.

5.6 Publication. The Agent Bank will notify the Rate of Interest and the Interest Amount of each Class of Rated Notes for each Interest Period, and the relevant Interest Payment Date, to the Issuer, the Cash Manager, the Note Trustee, the Principal Paying Agent and the Clearing Systems as soon as possible after their determination and in any event no later than the second Business Day before the Interest Payment Date. The Issuer will publish them in accordance with Condition 14, and the Seller, as Reporting Entity, will include them in the quarterly investor report. They may be amended

without notice if the Interest Period is extended or shortened.

5.7 Determination by the Note Trustee. If the Agent Bank fails to determine a Rate of Interest or calculate an Interest Amount in accordance with this Condition, the Note Trustee may (without being obliged to) do so, or appoint an agent to do so, at the cost of the Issuer, applying this Condition with such modifications as it considers fair and reasonable in the circumstances. Each determination made by it will be treated as made by the Agent Bank. All determinations and calculations made under this Condition will, in the absence of fraud, wilful default or manifest error, be binding on the Issuer, the Agents, the Note Trustee and the Noteholders, and no liability to any of them will attach to the Agent Bank or the Note Trustee in connection with them.

5.8 Deferral of interest. If, on any Interest Payment Date before the delivery of an Enforcement Notice, the Available Revenue Receipts, together with the amounts that may be drawn on the Liquidity Reserve Fund and the General Reserve Fund for that purpose under Section 6 and the amounts of Available Principal Receipts that may be applied under item (a) of the Principal Priority of Payments, are insufficient to pay in full the Interest Amount due on any Class of Rated Notes that is not the Most Senior Class:

(a) the amount of the shortfall (the "Deferred Interest") will not fall due on that Interest Payment Date but will be deferred to the next Interest Payment Date;
(b) the Deferred Interest will itself bear interest at the Rate of Interest of the relevant Class from time to time, and that interest will be added to the Deferred Interest;
(c) the Deferred Interest and the interest on it will be paid on the next Interest Payment Date on which, and to the extent that, funds are available for it at the position of the interest on that Class in the Revenue Priority of Payments; and
(d) all Deferred Interest and interest on it will become due and payable in full on the earlier of the Final Maturity Date, the date on which the relevant Notes are redeemed in full and the date of delivery of an Enforcement Notice.

The deferral of interest on a Class that is not the Most Senior Class is not an Event of Default. Interest on the Most Senior Class cannot be deferred, and its non-payment is an Event of Default under Condition 10.1(a). The Cash Manager will record the Deferred Interest on each Class in the Cash Management Agreement and notify it to the Noteholders under Condition 14.

5.9 The Agent Bank. The Issuer will procure that, so long as any Rated Note is outstanding, there is an Agent Bank. The Agent Bank may not resign without a successor having been appointed, and the Issuer may, with the prior written approval of the Note Trustee, replace the Agent Bank with another leading bank in London.

Condition 6 — Redemption

6.1 Final redemption. Unless previously redeemed in full, the Issuer will redeem each Class of Notes at its Principal Amount Outstanding on the Interest Payment Date falling on 20 July 2064 (the "Final Maturity Date"), together with accrued interest on the Rated Notes. The Final Maturity Date falls three years after the latest final maturity date of any Mortgage Loan permitted by the loan warranties set out in Section 12, so as to allow for the enforcement of the security for a Mortgage Loan that is in default at its maturity and the sale of the Property. The Issuer may not redeem the Notes other than in accordance with this Condition and Condition 10.

6.2 Mandatory redemption. Before the delivery of an Enforcement Notice, the Issuer will on each Interest Payment Date apply the Available Principal Receipts in accordance with the Principal Priority of Payments set out in Section 7, in redemption of the Notes:

(a) sequentially, first in redemption of the Class A Notes until they are redeemed in full, then of the Class B Notes, then of the Class C Notes, then of the Class D Notes and finally of the Class Z Notes; or

(b) for so long as no Sequential Payment Trigger has occurred and the other conditions for *pro rata* payment set out in Section 7 are satisfied, *pro rata* between the Class A Notes, the Class B Notes, the Class C Notes and the Class D Notes, with the Class Z Notes redeemed only after the Rated Notes have been redeemed in full.

The trigger events that give rise to a Sequential Payment Trigger, and the permanence of the switch to sequential payment, are described in Section 8. The amount applied to each Class is apportioned among the Notes of that Class *pro rata* to their Principal Amount Outstanding, rounded down to the nearest penny.

6.3 Principal Deficiency Ledgers. The Cash Manager will maintain a principal deficiency ledger comprising five sub-ledgers, one for each Class (the "Class A Principal Deficiency Ledger", the "Class B Principal Deficiency Ledger", the "Class C Principal Deficiency Ledger", the "Class D Principal Deficiency Ledger" and the "Class Z Principal Deficiency Ledger", together the "Principal Deficiency Ledgers"). On each Calculation Date:

(a) the Cash Manager will debit to the Principal Deficiency Ledgers the Realised Losses on the Mortgage Loans in the Collection Period, and the Available Principal Receipts applied under item (a) of the Principal Priority of Payments to pay a revenue shortfall;
(b) each debit will be recorded first on the Class Z Principal Deficiency Ledger, until its balance equals the Principal Amount Outstanding of the Class Z Notes, then on the Class D Principal Deficiency Ledger, the Class C Principal Deficiency Ledger, the Class B Principal Deficiency Ledger and finally the Class A Principal Deficiency Ledger, in each case up to the Principal Amount Outstanding of the relevant Class; and
(c) on the following Interest Payment Date, Available Revenue Receipts (and, for the Class A to D Principal Deficiency Ledgers, drawings on the General Reserve Fund) will be credited to the Principal Deficiency Ledgers at the positions set out in Section 6, starting with the Class A Principal Deficiency Ledger, and the amounts so credited will form part of the Available Principal Receipts.

A debit balance on a Principal Deficiency Ledger is not an Event of Default and does not of itself reduce the Principal Amount Outstanding of any Note. To the extent that a debit balance has not been cleared by the Final Maturity Date or on enforcement, the holders of the relevant Class will bear the corresponding loss under Condition 11.

6.4 Optional redemption on or after the Step-Up Date. On the Step-Up Date and on any Interest Payment Date after it, the Issuer may, by giving not more than 60 nor fewer than 30 days' notice to the Note Trustee, the Swap Provider and the Noteholders in accordance with Condition 14, redeem all (but not some) of the Notes at their Principal Amount Outstanding together with accrued and unpaid interest (including any Deferred Interest and interest on it), provided that, before giving the notice, the Issuer has certified to the Note Trustee that it will have the funds, not subject to the interest of any other person, needed to redeem all the Notes and to pay all amounts ranking in priority to or *pari passu* with each Class in the Post-Enforcement Priority of Payments, including any termination payment due to the Swap Provider. The Issuer expects to fund the redemption from the proceeds of the sale of the Portfolio to the Seller, or to a third party nominated by it, under the portfolio option in the Mortgage Sale Agreement described in Section 10.

6.5 Optional redemption for clean-up. On any Interest Payment Date on which the aggregate current balance of the Mortgage Loans on the immediately preceding Calculation Date is less than 10 per cent of the aggregate current balance of the Mortgage Loans on the Issue Date, the Issuer may, on the same notice and subject to the same certification as in Condition 6.4, redeem all (but not some) of the Notes at their Principal Amount Outstanding together with accrued and unpaid interest (including any Deferred Interest and interest on it). This right is independent of the right in Condition 6.4 and may be exercised before the Step-Up Date.

6.6 Optional redemption for tax reasons. If the Issuer satisfies the Note Trustee, immediately before

giving the notice referred to below, that:

(a) by reason of a change in the tax law of the United Kingdom, or in its application or official interpretation, becoming effective after the Issue Date, the Issuer or any Paying Agent is or will be required, on the next Interest Payment Date, to make a deduction or withholding for or on account of tax from any payment on the Notes (other than because a Noteholder has a connection with the United Kingdom other than the holding of the Notes);
(b) by reason of such a change, the Swap Provider is or will be required to make a deduction or withholding for or on account of tax from a payment under the Swap Agreement, or the Issuer would not be entitled to relief for the purposes of United Kingdom corporation tax for any material amount which it is obliged to pay, or would be treated as receiving a material amount of income for those purposes which it does not receive; or
(c) by reason of such a change, the Issuer would be subject to United Kingdom corporation tax on an amount materially exceeding the retained profit described in Section 18,

and that it cannot avoid the event by taking reasonable measures available to it, including the substitution of another company as principal debtor under Condition 15, then the Issuer may, on any Interest Payment Date and on giving not more than 60 nor fewer than 30 days' notice to the Note Trustee, the Swap Provider and the Noteholders, redeem all (but not some) of the Notes at their Principal Amount Outstanding together with accrued and unpaid interest (including any Deferred Interest and interest on it). Before giving the notice the Issuer must deliver to the Note Trustee a certificate of two directors stating that the event has occurred and that it will have the necessary funds as described in Condition 6.4, and an opinion of independent tax advisers of recognised standing to the same effect, which the Note Trustee may accept without further enquiry and which will be binding on the Noteholders.

6.7 Determinations by the Cash Manager. On each Calculation Date the Cash Manager will determine the amount of principal to be paid on each Class on the next Interest Payment Date, the Principal Amount Outstanding of each Note after that payment and the fraction (the "Pool Factor") of which the numerator is that Principal Amount Outstanding and the denominator is the principal amount of the Note on the Issue Date. It will notify those determinations to the Issuer, the Note Trustee, the Agents and the Clearing Systems no later than the second Business Day before the Interest Payment Date. If the Cash Manager fails to make any of them, the Note Trustee may make it, or appoint an agent to do so, and it will be treated as made by the Cash Manager.

6.8 Notice irrevocable; cancellation. A notice of redemption given under Conditions 6.4 to 6.6 is irrevocable. The Issuer may not purchase any Notes. All Notes redeemed in full will be cancelled and may not be reissued or resold. Noteholders have no right to require the Issuer to redeem their Notes. The expected timing of the redemption of the Notes under various prepayment assumptions, and assuming the exercise or non-exercise of the optional redemption on the Step-Up Date, is described in Section 16.

Condition 7 — Payments

7.1 Payments. Payments on the Notes will be made by transfer to a sterling account maintained by the payee with a bank in London. While the Notes are represented by a Global Note, each payment will be made to the registered holder of the Global Note, as nominee of the common safekeeper, for credit to the accounts of the Accountholders in accordance with the rules of the Clearing Systems, and that payment discharges the Issuer's obligation to the extent of the amount paid. For Definitive Notes, payment will be made to the person shown in the Register at the close of business on the fifteenth day before the due date (the "Record Date"), and final redemption will be made only against surrender of the Definitive Note at the specified office of the Registrar.

7.2 Payments subject to law. All payments are subject to any applicable fiscal or other laws and regulations and to any withholding or deduction required under sections 1471 to 1474 of the US

Internal Revenue Code of 1986 or any agreement or law implementing them, without prejudice to Condition 8. No commission or expense will be charged to Noteholders.

7.3 Business Days. If the date for any payment is not a Business Day, the payment will be made on the date determined in accordance with the definition of Interest Payment Date, and the Interest Period and the Interest Amount will be adjusted to reflect the actual number of days in that Interest Period.

7.4 Funding of payments. On the Business Day before each Interest Payment Date the Cash Manager will instruct the Account Bank to transfer from the Transaction Account to the Principal Paying Agent the amounts payable on the Notes on that date under the Revenue Priority of Payments and the Principal Priority of Payments.

7.5 Agents. The Agents act solely as agents of the Issuer and, in the circumstances described in the Agency Agreement, of the Note Trustee, and do not assume any obligation of agency or trust towards the Noteholders. The Issuer may, with the approval of the Note Trustee, replace any Agent or appoint additional Agents, provided that there is at all times a Principal Paying Agent, an Agent Bank and a Registrar with specified offices in London. Notice of any change will be given under Condition 14. The initial specified offices of the Agents are set out in Section 20.

Condition 8 — Taxation

8.1 Payments subject to withholding. All payments in respect of the Notes will be made without withholding or deduction for or on account of any present or future taxes, duties or charges of whatever nature, unless the Issuer, the Note Trustee or any Agent is required by applicable law to make such a withholding or deduction. In that case the Issuer, the Note Trustee or the Agent will make the payment after the withholding or deduction and will account to the relevant authority for the amount withheld or deducted.

8.2 No additional amounts. None of the Issuer, the Note Trustee or any Agent will be obliged to make any additional payment to a Noteholder in respect of a withholding or deduction made under Condition 8.1. A withholding or deduction is not an Event of Default, but may give the Issuer the right to redeem the Notes under Condition 6.6.

8.3 United Kingdom position. The Notes will not be listed, so the exemption from United Kingdom withholding tax for quoted Eurobonds in section 882 of the Income Tax Act 2007 will not be available to them. Interest on the Notes may nevertheless be paid without withholding or deduction where an exemption or relief applies, including where the Issuer reasonably believes that the person beneficially entitled to the interest is within sections 933 to 937 of the Income Tax Act 2007 (which include companies within the charge to United Kingdom corporation tax in respect of the interest), where the Notes qualify as a qualifying private placement under section 888A of that Act, or where HMRC has issued a direction under an applicable double taxation treaty. In any other case the Issuer will be required to withhold United Kingdom income tax at the basic rate. The position is described in Section 18.

8.4 Swap Agreement. The Swap Provider is required under the Swap Agreement to pay additional amounts if it is obliged to make a withholding or deduction from a payment to the Issuer, subject to the exceptions set out in the Swap Agreement. The Issuer is not required to pay additional amounts to the Swap Provider in respect of a withholding or deduction on a payment by it under the Swap Agreement.

8.5 Information. Each Noteholder agrees, by acquiring a Note, to provide the Issuer and the Agents with any information or certification reasonably requested in order to establish whether interest may be paid without withholding or deduction, or at a reduced rate, and to enable the Issuer to comply with its reporting obligations under the law of the United Kingdom.

Condition 9 — Prescription

Claims against the Issuer for payment in respect of the Notes will be prescribed and become void unless made within ten years (in the case of principal) or five years (in the case of interest) from the Relevant Date. The "**Relevant Date**" means the date on which a payment first becomes due, or, if the full amount of the moneys payable has not been duly received by the Principal Paying Agent or the Note Trustee on or before that date, the date on which notice is given to the Noteholders under Condition 14 that the full amount has been received. Moneys paid to the Principal Paying Agent for a claim that becomes void will be returned to the Issuer.

Condition 10 — Events of Default

10.1 Events of Default. Each of the following is an "Event of Default":

(a) default is made in the payment of any interest on the Most Senior Class for a period of five Business Days after it falls due, or in the payment of any principal on any Class of Notes for a period of seven Business Days after it falls due (the deferral of interest under Condition 5.8 and a debit balance on any Principal Deficiency Ledger not being a default in payment);
(b) the Issuer fails to perform or observe any of its other obligations under the Conditions or the Transaction Documents and, except where the Note Trustee considers the failure incapable of remedy, the failure continues for 30 days after the Note Trustee has given written notice of it to the Issuer;
(c) any representation or warranty made by the Issuer in a Transaction Document proves to have been untrue in any material respect when made, and the circumstances giving rise to it are not remedied within 30 days after the Note Trustee has given written notice of it to the Issuer;
(d) an order is made or an effective resolution passed for the winding up of the Issuer, other than a winding up for the purposes of an amalgamation or reconstruction previously approved by the Note Trustee or by an Extraordinary Resolution of the holders of the Most Senior Class;
(e) the Issuer ceases or threatens to cease to carry on its business or a substantial part of it, or is unable or admits its inability to pay its debts as they fall due, or is deemed unable to pay its debts within the meaning of section 123(1) or (2) of the Insolvency Act 1986 (with the reference in section 123(1)(a) to £750 read as a reference to £1,000,000), or a moratorium is declared in respect of any of its indebtedness;
(f) an administrator, administrative receiver, receiver, liquidator or similar officer is appointed in respect of the Issuer or of the whole or a substantial part of its undertaking or assets (other than by the Security Trustee), or an application, notice of intention or petition for such an appointment is made or given and is not withdrawn or discharged within 14 days, or a moratorium under Part A1 of the Insolvency Act 1986 comes into force in respect of the Issuer;
(g) the Issuer proposes or enters into any composition, compromise, arrangement or restructuring plan with its creditors generally, including under Part 26 or Part 26A of the Companies Act 2006; or
(h) it is or becomes unlawful for the Issuer to perform any of its material obligations under the Notes or the Trust Deed.

A Sequential Payment Trigger, a Perfection Event, a termination of the Swap Agreement or a downgrade of the Issuer Account Bank or the Swap Provider is not, of itself, an Event of Default.

10.2 Material prejudice. In the case of the events in Conditions 10.1(b) and 10.1(c), the Note Trustee may deliver an Enforcement Notice only if it has certified to the Issuer that, in its opinion, the event is materially prejudicial to the interests of the holders of the Most Senior Class.

10.3 Enforcement Notice. If an Event of Default occurs and is continuing, the Note Trustee may at its discretion, and shall if so requested in writing by the holders of at least 25 per cent of the aggregate Principal Amount Outstanding of the Most Senior Class or if so directed by an Extraordinary Resolution of the holders of the Most Senior Class (subject in each case to being indemnified

and/or secured and/or prefunded to its satisfaction), give written notice to the Issuer and the Security Trustee (an "Enforcement Notice") that the Notes are immediately due and repayable. On delivery of the Enforcement Notice, each Note will become immediately due and repayable at its Principal Amount Outstanding together with accrued interest (including any Deferred Interest and interest on it), and the Security will become enforceable. The Issuer will notify the Noteholders, the Swap Provider and the Rating Agencies of the Enforcement Notice. The delivery of an Enforcement Notice may result in an early termination of the Swap Agreement.

Condition 11 — Enforcement and Limited Recourse

11.1 Proceedings. After the delivery of an Enforcement Notice, the Note Trustee and the Security Trustee may, at their discretion and without further notice, take such proceedings, steps or actions as they think fit to enforce the Notes, the Trust Deed and the Security, including the appointment of a receiver or administrative receiver (a "Receiver"), the sale of the Portfolio and the enforcement of the mortgages and standard securities over the Properties. Neither of them is bound to do so unless:

(a) it has been directed to do so by an Extraordinary Resolution of the holders of the Most Senior Class or requested to do so in writing by the holders of at least 25 per cent of the aggregate Principal Amount Outstanding of the Most Senior Class; and
(b) it has been indemnified and/or secured and/or prefunded to its satisfaction.

11.2 Sale of the Portfolio. The Security Trustee may sell the Portfolio after the delivery of an Enforcement Notice only if the proceeds would be sufficient to discharge in full the amounts due on the Notes and all amounts ranking in priority to or *pari passu* with them, or if a financial adviser appointed by it has advised that the cash flows from the Portfolio are not likely to be sufficient to discharge those amounts as they fall due, or if the holders of each Class of Notes have so directed by Extraordinary Resolution.

11.3 Non-petition. Only the Note Trustee may enforce the rights of the Noteholders against the Issuer, and only the Security Trustee may enforce the Security. No Noteholder may proceed directly against the Issuer unless the Note Trustee or the Security Trustee, having become bound to proceed, fails to do so within a reasonable time and the failure is continuing, and even then a Noteholder may not take any step to petition for or procure the winding up, administration or liquidation of the Issuer until two years and one day after all the Notes have been redeemed in full.

11.4 Post-Enforcement Priority of Payments. After the delivery of an Enforcement Notice, the Security Trustee will apply all amounts received or recovered by it, including the balances of the General Reserve Fund and the Liquidity Reserve Fund but excluding Swap Collateral (except to the extent applied in satisfaction of an amount owed by the Swap Provider), in the order of priority set out in the Deed of Charge (the "Post-Enforcement Priority of Payments"). Under that order, the fees, costs and expenses of the Note Trustee, the Security Trustee and any Receiver are paid first; then the fees of the Mortgage Administrator, the Cash Manager, the Account Bank, the Agents and the Corporate Services Provider; then amounts due to the Swap Provider other than subordinated swap termination payments; then interest and principal on the Class A Notes, followed in turn by interest and principal on the Class B Notes, the Class C Notes and the Class D Notes, with interest on each Class paid before principal on that Class and nothing paid on a Class until each Class ranking above it has been repaid in full; then principal on the Class Z Notes; then subordinated swap termination payments; then interest and principal on the Subordinated Loan; and finally deferred consideration to the Seller.

The Revenue Priority of Payments and the Principal Priority of Payments in Sections 6 and 7 cease to apply on the delivery of an Enforcement Notice. After enforcement, revenue and principal receipts are no longer separated, the reserve funds are not replenished and no amount is paid *pro rata* between Classes.

11.5 Limited recourse. The Notes are limited recourse obligations of the Issuer, payable only from the amounts received by it from the Portfolio, the Swap Agreement, the Issuer Accounts and its other rights under the Transaction Documents. If, after the Security has been fully realised and the proceeds applied in accordance with the Post-Enforcement Priority of Payments, any amount remains unpaid on a Class of Notes, the Security Trustee will certify that no further assets are available and the Noteholders of that Class will have no further claim against the Issuer for the unpaid amount, which will be extinguished. The Notes are not obligations of, and are not guaranteed by, Marlowe Building Society, Halcyon Bank plc, the Note Trustee, the Security Trustee, the Corporate Services Provider, Holdings or any other person.

11.6 Protection of the Note Trustee. The Trust Deed contains provisions for the indemnification of the Note Trustee and the Security Trustee and for their relief from responsibility, including from taking proceedings unless indemnified and/or secured and/or prefunded to their satisfaction. They may rely on any certificate or report given by the Issuer, the Cash Manager or the Mortgage Administrator, and on the advice of any professional adviser, without further enquiry. No recourse may be had against any director, officer or shareholder of the Issuer or of Holdings for any amount due on the Notes.

Condition 12 — Meetings of Noteholders, Modification and Waiver

12.1 Meetings. The Trust Deed contains provisions for convening meetings of the holders of each Class, and of two or more Classes, to consider any matter affecting their interests, including the modification of the Conditions or the Transaction Documents. A meeting may be convened by the Issuer or the Note Trustee, and the Note Trustee will convene a meeting on the written request of the holders of at least 10 per cent of the aggregate Principal Amount Outstanding of the relevant Class, subject to being indemnified and/or secured and/or prefunded to its satisfaction. At least 21 clear days' notice of a meeting must be given, and at least 10 clear days' notice of an adjourned meeting.

12.2 Resolutions and quorum. An "**Ordinary Resolution**" requires a majority of more than 50 per cent of the votes cast, and an "**Extraordinary Resolution**" a majority of at least 75 per cent of the votes cast, at a quorate meeting. The quorum at a meeting is:

(a) for an Ordinary Resolution, persons holding or representing more than 25 per cent of the aggregate Principal Amount Outstanding of the relevant Class or, at an adjourned meeting, any amount;
(b) for an Extraordinary Resolution other than one sanctioning a Basic Terms Modification, persons holding or representing more than 50 per cent or, at an adjourned meeting, more than 25 per cent; and
(c) for an Extraordinary Resolution sanctioning a Basic Terms Modification, persons holding or representing at least 75 per cent or, at an adjourned meeting, at least 25 per cent.

A resolution in writing signed by the holders of the same proportion of the Principal Amount Outstanding as the majority required for the resolution, and a consent given electronically through the Clearing Systems by the holders of that proportion, take effect as if passed at a meeting.

12.3 Basic Terms Modifications. A "**Basic Terms Modification**" is any modification that would change the Final Maturity Date or any date for payment on the Notes, reduce or cancel the amount of principal or interest payable on any Class (including by changing the Margin, other than under Condition 12.7), change the currency of payment, alter the Revenue Priority of Payments, the Principal Priority of Payments or the Post-Enforcement Priority of Payments, release the Security other than as permitted, or change the quorum or majority required for any resolution or this definition. A Basic Terms Modification requires an Extraordinary Resolution of the holders of each Class then outstanding.

12.4 Relationship between Classes. An Extraordinary Resolution of the holders of the Most Senior

Class binds the holders of all other Classes, except where it sanctions a Basic Terms Modification. An Extraordinary Resolution of the holders of any other Class takes effect only if the Note Trustee considers that it is not materially prejudicial to the holders of each Class ranking above it, or if it is sanctioned by them by Extraordinary Resolution. The Class Z Notes vote as a Class but cannot direct the Note Trustee or block a resolution of a more senior Class, except in relation to a Basic Terms Modification.

12.5 Modification without consent. The Note Trustee may, without the consent of the Noteholders or the other Secured Creditors, agree to any modification of the Conditions or the Transaction Documents (other than a Basic Terms Modification) that in its opinion is not materially prejudicial to the interests of the holders of the Most Senior Class of Notes, or is of a formal, minor or technical nature, or is made to correct a manifest error. It may also waive or authorise any proposed or actual breach by the Issuer, or determine that an Event of Default is not to be treated as such, if in its opinion the interests of the holders of the Most Senior Class will not be materially prejudiced, provided that it does not act contrary to a direction given by an Extraordinary Resolution of those holders.

12.6 Modifications the Note Trustee must make. The Note Trustee and the Security Trustee will be obliged, without the consent of the Noteholders, to concur with the Issuer in making any modification (other than a Basic Terms Modification) that the Issuer certifies is required solely:

(a) to comply with changes to the criteria of a Rating Agency applying to the Account Bank or the Swap Provider, or to implement the replacement of either of them;
(b) to comply with the UK Securitisation Framework or the UK version of Regulation (EU) No 648/2012, including any change to the reporting, retention or clearing requirements;
(c) to enable the Class A Notes to be, or to remain, eligible collateral for the Bank of England's facilities; or
(d) to avoid adverse tax consequences for the Issuer or to preserve its status as a securitisation company,

provided that the Issuer has given at least 30 days' notice to the Noteholders, that the holders of 10 per cent or more of the aggregate Principal Amount Outstanding of the Most Senior Class have not objected within that period, and, where the modification affects the Swap Agreement or the rights of the Swap Provider, that the Swap Provider has consented. Neither trustee is obliged to agree to a modification that would in its opinion increase its obligations or liabilities or reduce its protections.

12.7 Benchmark Rate Modification. If a Benchmark Rate Disruption Event occurs, the Issuer (or the Cash Manager on its behalf) may propose a modification of the Conditions and the Transaction Documents, and the Note Trustee and the Security Trustee will be obliged to concur in it without the consent of the Noteholders, to replace Compounded Daily SONIA with an alternative benchmark rate (the "Alternative Benchmark Rate") and to make the consequential amendments, including an adjustment spread to the Margin (a "**Benchmark Rate Modification**"), provided that:

(a) the Issuer certifies to the Note Trustee (a "Benchmark Rate Modification Certificate") that a Benchmark Rate Disruption Event has occurred and that the Alternative Benchmark Rate is a rate published, endorsed, approved or recognised by the Bank of England, the FCA or the PRA or by any working group or committee sponsored by any of them, or a rate that has become customary in sterling residential mortgage-backed securitisations, or another rate that the Issuer reasonably determines and explains;
(b) the same Alternative Benchmark Rate, and the same modification, will apply to each Class of Rated Notes and, with the consent of the Swap Provider, to the floating leg of the Swap Agreement, so that the swap continues to hedge the Notes on the same basis (a "Swap Rate Modification");
(c) at least 30 days' notice of the proposed modification has been given to the Noteholders, the Swap Provider and the Rating Agencies; and

(d) the holders of 10 per cent or more of the aggregate Principal Amount Outstanding of the Most Senior Class of Notes have not objected in writing within that notice period.

If holders of 10 per cent or more of the Most Senior Class object, the modification may be made only if sanctioned by an Extraordinary Resolution of the holders of the Most Senior Class. A "**Benchmark Rate Disruption Event**" occurs if SONIA has been materially disrupted, has ceased to be published or has changed materially in its methodology; if its administrator or its supervisor publicly announces that it has ceased or will cease to be provided, is prohibited from use or is no longer representative; if it becomes unlawful for the Issuer or the Agent Bank to use it; or if the Issuer reasonably expects any of those events to occur within six months. The Margins, before and after the Step-Up Date, remain those set out in Section 3, adjusted only by the adjustment spread forming part of the Benchmark Rate Modification.

12.8 Binding effect. Any modification, waiver, authorisation or determination under this Condition binds all Noteholders and Secured Creditors and will be notified to the Noteholders under Condition 14 and to the Rating Agencies as soon as practicable. In deciding whether a matter is materially prejudicial, the Note Trustee may have regard to a Rating Agency Confirmation, which addresses only the ratings of the Rated Notes and does not of itself establish that the matter is not prejudicial to the Noteholders.

Condition 13 — Replacement of Notes

If a Definitive Note is lost, stolen, mutilated, defaced or destroyed, it may be replaced at the specified office of the Registrar on payment by the claimant of the costs incurred in connection with the replacement and on such terms as to evidence and indemnity as the Issuer and the Registrar may reasonably require. A mutilated or defaced Definitive Note must be surrendered before a replacement is issued. If a replaced Definitive Note is later presented for payment, the person presenting it must repay to the Issuer on demand any amount paid on it. A Global Note that is lost, stolen, mutilated, defaced or destroyed will be replaced by the Issuer at its own cost.

Condition 14 — Notices

14.1 Notices to Noteholders. While the Notes are represented by Global Notes, notices to the Noteholders will be valid if delivered to the Clearing Systems for communication to the Accountholders, and will be deemed given on the day after delivery. If Definitive Notes have been issued, notices will be valid if mailed to the Noteholders at their addresses in the Register, and will be deemed given on the fourth day after mailing.

14.2 Investor reports. The quarterly investor report, the loan-level data and the notices of the Rate of Interest, the Interest Amounts, the principal payments and the Pool Factors of each Class will also be made available by the Seller, as Reporting Entity, through the securitisation repository or website described in Section 17, within one month after each Interest Payment Date. Publication there is in addition to, and not a condition of, the giving of notice under Condition 14.1.

14.3 Other methods. The Note Trustee may approve any other method of giving notice that it considers reasonable having regard to market practice and the rules of the Clearing Systems.

14.4 Notices from Noteholders. Notices from Noteholders must be in writing and lodged with the Principal Paying Agent with evidence of the holding satisfactory to it or, while the Notes are represented by Global Notes, given through the Clearing Systems in a manner approved by the Principal Paying Agent.

14.5 Rating Agencies and Swap Provider. The Issuer will send a copy of every notice to each Rating Agency and to the Swap Provider. A failure to do so does not invalidate the notice.

Condition 15 — Substitution of the Issuer

15.1 Conditions of substitution. The Note Trustee may, without the consent of the Noteholders, agree to the substitution of another company (the "Substituted Obligor") in place of the Issuer as principal debtor under the Notes, the Trust Deed and the other Transaction Documents, provided that:

(a) the Substituted Obligor agrees, in a form satisfactory to the Note Trustee, to be bound by the Notes, the Trust Deed and the other Transaction Documents as principal debtor;
(b) the Substituted Obligor acquires the Issuer's interest in the Portfolio, including its beneficial interest under the Scottish Declaration of Trust, and grants security in favour of the Security Trustee equivalent to the Security, including an equivalent Scottish supplemental charge governed by Scots law;
(c) the Substituted Obligor is a special purpose company subject to restrictions equivalent to those in Condition 4;
(d) the Note Trustee is satisfied that the substitution is not materially prejudicial to the interests of the holders of the Most Senior Class, and Rating Agency Confirmation has been obtained;
(e) the Swap Provider has consented to the transfer of the Swap Agreement to the Substituted Obligor;
(f) if the Substituted Obligor is resident for tax purposes outside the United Kingdom, undertakings corresponding to Condition 8 and Condition 6.6 are given by reference to its territory of residence, and legal opinions satisfactory to the Note Trustee are delivered; and
(g) the substitution does not cause the Issuer, the Substituted Obligor or the Seller to breach the UK Securitisation Framework.

15.2 Effect of substitution. On the substitution taking effect, the Substituted Obligor will be treated as the Issuer for all purposes of the Notes and the Transaction Documents, and the Issuer will be released from its obligations. Notice of the substitution will be given to the Noteholders under Condition 14 within 14 days. No Noteholder may claim any indemnity or payment in respect of the tax consequences of the substitution for that Noteholder individually.

Condition 16 — Rights of Third Parties

No person has any right under the Contracts (Rights of Third Parties) Act 1999 to enforce any term of the Notes or the Conditions, but this does not affect any right or remedy of a third party which exists or is available apart from that Act.

Condition 17 — Governing Law and Jurisdiction

17.1 Governing law. The Notes, the Conditions, the Trust Deed, the Deed of Charge and the other Transaction Documents, and any non-contractual obligations arising out of or in connection with them, are governed by English law, except that:

(a) the Scottish Declaration of Trust and the Scottish Supplemental Charge are governed by Scots law; and
(b) the provisions of the Mortgage Sale Agreement and the other Transaction Documents that relate to the Scottish Loans and the standard securities over Properties in Scotland are construed in accordance with Scots law.

The Mortgage Loans secured over Properties in England and Wales, and their mortgages, are governed by English law; the Scottish Loans and their standard securities are governed by Scots law.

17.2 Jurisdiction. The courts of England have exclusive jurisdiction to settle any dispute arising out of or in connection with the Notes, the Conditions or the Transaction Documents, including any dispute relating to non-contractual obligations, save that the courts of Scotland have jurisdiction in relation to the Scottish Declaration of Trust, the Scottish Supplemental Charge and the enforcement

of the Scottish Loans and their standard securities. The Issuer submits to the jurisdiction of those courts and waives any objection that they are an inconvenient forum. This Condition is for the benefit of the Note Trustee, the Security Trustee and the Noteholders, who may, to the extent permitted by law, take proceedings in any other court of competent jurisdiction, and concurrent proceedings in more than one jurisdiction.

17.3 Service of process. The Issuer has its registered office in England and Wales, where process in any proceedings in England may be served on it.

Section 5 — Credit Structure

Subordination. Payments on the Notes are made in order of seniority: the Class A Notes rank ahead of the Class B Notes, which rank ahead of the Class C Notes, and so on down to the Class Z Notes. The Class Z Notes absorb losses first. On the Issue Date the Notes ranking below the Class A Notes represent 12.50 per cent of all the Notes.

Reserve funds. Two reserve funds will be funded on the Issue Date from the proceeds of a Subordinated Loan made by the Seller:

Reserve	Required amount	Amount on the Issue Date (£)
General Reserve Fund	1.50 per cent of the Class A, B, C and D Notes	5,820,000
Liquidity Reserve Fund	1.00 per cent of the Class A and B Notes	3,660,000

The General Reserve Fund covers shortfalls of senior expenses and interest on the Class A to D Notes, and debit balances on the Class A to D Principal Deficiency Ledgers; it does not cover the Class Z Notes. The Liquidity Reserve Fund covers shortfalls of senior expenses and interest on the Class A and B Notes only. Each reserve fund is topped up to its required amount from Available Revenue Receipts in the order set out in Section 6.

Principal Deficiency Ledger. Realised losses, and principal receipts used to pay revenue items, are recorded on the Principal Deficiency Ledger, starting with the Class Z sub-ledger and moving up to the Class A sub-ledger. Excess revenue clears the sub-ledgers in order of seniority.

Interest rate swap. Most loans pay a fixed rate for two or five years while the Notes pay a floating rate. The Issuer enters into a swap with the Swap Provider to cover this difference.

Section 6 — Revenue Priority of Payments

Before the delivery of an enforcement notice, the Cash Manager will apply the Available Revenue Receipts on each Interest Payment Date in the following order of priority (in each case only if and to the extent that the payments of higher priority have been made in full):

(a) Note Trustee and Security Trustee fees and expenses;
(b) Mortgage Administrator, Cash Manager and Issuer Account Bank fees;
(c) Net amounts due to the Swap Provider;
(d) Interest on the Class A Notes;
(e) Liquidity Reserve Fund top-up;
(f) Class A Principal Deficiency Ledger;
(g) Interest on the Class B Notes;
(h) Class B Principal Deficiency Ledger;
(i) Interest on the Class C Notes;
(j) Class C Principal Deficiency Ledger;
(k) Interest on the Class D Notes;
(l) Class D Principal Deficiency Ledger;
(m) General Reserve Fund top-up;
(n) Class Z Principal Deficiency Ledger;
(o) Subordinated swap termination payments;
(p) Interest and principal on the Subordinated Loan;
(q) Deferred consideration to the Seller.

If the Available Revenue Receipts are not enough to pay items (a) to (d) and the interest on the Class B Notes, the Liquidity Reserve Fund is drawn first and then the General Reserve Fund. The General Reserve Fund also covers the interest on the Class C and Class D Notes.

Section 7 — Principal Priority of Payments

Before the delivery of an enforcement notice, the Cash Manager will apply the Available Principal Receipts on each Interest Payment Date in the following order of priority:

(a) Revenue shortfall;
(b) Principal on the Class A Notes;
(c) Principal on the Class B Notes;
(d) Principal on the Class C Notes;
(e) Principal on the Class D Notes;
(f) Principal on the Class Z Notes;
(g) Excess to Available Revenue Receipts.

Item (a) means any amount of Available Principal Receipts needed to pay a shortfall of senior expenses or of interest on the most senior class of Notes outstanding; the amount used is recorded on the Principal Deficiency Ledger.

Pro rata payment. Until a Sequential Payment Trigger occurs, and provided the credit enhancement of the Class A Notes is at least twice its level on the Issue Date, items (b) to (e) are paid pro rata to the principal amount outstanding of the Class A, Class B, Class C and Class D Notes. Otherwise they are paid sequentially in the order shown.

Section 8 — Trigger Events

A **Sequential Payment Trigger** occurs if any of the following events happens:

- **Arrears Trigger**: on any Calculation Date, the current balance of loans 3 or more months in arrears divided by the current balance of the portfolio exceeds 2.50 per cent.
- **Cumulative Loss Trigger**: on any Calculation Date, the cumulative realised losses divided by the portfolio balance at the Issue Date exceeds 0.40 per cent.
- **Reserve Trigger**: on any Interest Payment Date, the General Reserve Fund balance divided by the General Reserve Fund Required Amount is less than 85 per cent.

Once a Sequential Payment Trigger has occurred, principal is paid sequentially, the Class A Notes first, and the switch is permanent.

Section 9 — The Issuer and Holdings

Incorporation and Registered Office

Severn Residential Mortgages 2026-1 plc (the "Issuer") was incorporated in England and Wales on 12 January 2026 as a public company limited by shares under the Companies Act 2006, with registered number 16152408. The registered office of the Issuer, which is also its principal place of business, is at 12 Cordwainer Yard, London EC4. The Issuer may be contacted through the Corporate Services Provider at that address.

The Issuer has been established as a special purpose vehicle for the purpose of issuing asset-backed securities. It is not a subsidiary of the Society and no member of the Society's group has any ownership interest, direct or indirect, in it. The Issuer intends to be taxed in accordance with the Taxation of Securitisation Companies Regulations 2006 (SI 2006/3296), as described in Section 18.

Share Capital

The authorised and issued share capital of the Issuer is £50,000, comprising 50,000 ordinary shares of £1 each, of which one share is fully paid up and 49,999 shares are each paid up as to 25 pence. Holdings is the legal and beneficial owner of 49,999 shares, and the remaining share is held by Pellam Corporate Services Ltd as nominee for Holdings under a declaration of trust in favour of Holdings. The Issuer has no other class of share capital, and there are no outstanding options, warrants, convertible securities or other rights to subscribe for its shares.

Principal Activities

The Issuer's objects are not restricted by its articles of association; its activities are restricted instead by the covenants given in the Trust Deed and the Deed of Charge. Since its incorporation, the Issuer has not engaged in any material activities other than: (a) those incidental to its incorporation and to its registration as a public company under the Companies Act 2006; (b) the authorisation and issue of the Notes; (c) the matters referred to or contemplated in this Offering Circular; and (d) the authorisation, execution, delivery and performance of the Transaction Documents to which it is a party. The Issuer has not commenced operations, and no financial statements have been prepared in respect of it.

From the Issue Date, the activities of the Issuer will comprise: (a) the acquisition and holding of the Mortgage Loans and their Related Security; (b) the receipt of revenue and principal receipts on the Mortgage Loans through the Mortgage Administrator and the Collection Account; (c) the payment of interest and principal on the Notes and of its other obligations in accordance with the Priorities of Payments described in Sections 6 and 7; (d) the performance of its obligations under the Swap Agreement and the Subordinated Loan Agreement; and (e) the exercise of its rights and the performance of its obligations under the other Transaction Documents.

Covenants of the Issuer

So long as any Note remains outstanding, the Issuer has covenanted in the Trust Deed and the Deed of Charge that, save as permitted by the Transaction Documents or with the prior written consent of the Note Trustee, it will not:

(a) engage in any activity which is not incidental to, or necessary in connection with, the activities described above;

(b) incur any indebtedness for borrowed money, other than the Notes and the Subordinated Loan, or give any guarantee or indemnity in respect of any obligation of any person;

(c) create or permit to subsist any security interest over the whole or any part of its assets or undertaking, other than the security created by the Deed of Charge;

(d) sell, assign, transfer, lend or otherwise dispose of any of its assets, save as provided in the Transaction Documents;

(e) pay any dividend or make any other distribution to its shareholders, or issue any further shares;

(f) have any employees or premises, or have any subsidiary undertaking;

(g) consolidate or merge with any other person, or convey or transfer its properties or assets substantially as an entirety to any other person;

(h) have an interest in any bank account other than the Issuer Accounts, save where that account is charged to the Security Trustee on terms acceptable to it;

(i) amend its articles of association, or agree to any amendment of the Transaction Documents, save in accordance with the Conditions; or

(j) become resident for tax purposes in any jurisdiction other than the United Kingdom, or have a permanent establishment outside the United Kingdom.

Directors and Company Secretary

The directors of the Issuer, each of whose business address is 12 Cordwainer Yard, London EC4, and their principal activities outside the Issuer are as follows:

Name	Function	Principal outside activities
Fiona Ravensworth	Director	Managing director, Pellam Corporate Services Ltd
Thomas Haddington	Director	Director of special purpose companies, Pellam Corporate Services Ltd
Anil Merriman	Director	Head of client accounting, Pellam Corporate Services Ltd

The company secretary of the Issuer is Pellam Corporate Services Ltd, whose registered office is at 12 Cordwainer Yard, London EC4.

The directors are provided to the Issuer by the Corporate Services Provider under the Corporate Services Agreement. They are also directors of Holdings and of other special purpose companies, some of which are issuers in other securitisation transactions. There are no potential conflicts of interest between the duties of the directors to the Issuer and their private interests or other duties, save that each director is an officer or employee of the Corporate Services Provider, which is paid a fee for its services under the Corporate Services Agreement. No director has been appointed by, or is an officer or employee of, the Society. The Issuer has no audit committee and, as its securities are not listed, it is not subject to the UK Corporate Governance Code.

The appointment of the Corporate Services Provider may be terminated by the Issuer, with the prior written consent of the Security Trustee, if the Corporate Services Provider is in material breach of its obligations or becomes subject to an Insolvency Event, and the Corporate Services Provider may resign on not less than 90 days' written notice, provided in each case that a substitute corporate services provider has been appointed on substantially the same terms. For these purposes an "Insolvency Event" occurs in relation to a company if it is unable, or admits its inability, to pay its debts as they fall due within the meaning of section 123 of the Insolvency Act 1986; if an administrator, liquidator, receiver or similar officer is appointed over it or over all or a substantial part of its assets; if it enters into a voluntary arrangement or composition with its creditors generally; or if an order is made or an effective resolution is passed for its winding-up.

Capitalisation and Indebtedness

The following table sets out the capitalisation and indebtedness of the Issuer as at the Issue Date, as adjusted for the issue of the Notes and the drawing of the Subordinated Loan. The principal amount of each Class of Notes is set out in Section 3 and the amount of the Subordinated Loan is determined as described in Section 5.

Item	Amount
Share capital: 50,000 ordinary shares of £1 each, issued	£50,000
Share capital paid up (one share fully paid, 49,999 shares paid as to 25 pence)	£12,500.75
Class A Notes	the Notes, see Section 3
Class B Notes	the Notes, see Section 3
Class C Notes	the Notes, see Section 3
Class D Notes	the Notes, see Section 3
Class Z Notes	the Notes, see Section 3
Subordinated Loan	see Section 5
Total capitalisation and indebtedness	paid-up share capital, the Notes and the Subordinated Loan

Save as set out above and save for its obligations under the Transaction Documents, the Issuer has no borrowings or indebtedness in the nature of borrowings, no guarantees and no contingent liabilities as at the date of this Offering Circular, and there has been no change in its capitalisation since its incorporation other than the issue of the shares described above.

Holdings

Severn Residential Mortgages Holdings Limited ("Holdings") was incorporated in England and Wales on 9 January 2026 as a private company limited by shares under the Companies Act 2006, with registered number 16148870. Its registered office is at 12 Cordwainer Yard, London EC4. Its issued share capital is £1, comprising one ordinary share of £1, fully paid, which is held by the Share Trustee.

The principal objects of Holdings include the acquisition and holding of the shares of the Issuer. Holdings has not engaged in any activity since its incorporation other than its acquisition of the shares of the Issuer and activities incidental to it, and it has no employees and no subsidiary other than the Issuer. Holdings has covenanted with the Security Trustee that, so long as any Note remains outstanding, it will not sell, charge or otherwise dispose of the shares of the Issuer, and will not permit the Issuer to issue further shares. The directors and the company secretary of Holdings are the same as those of the Issuer. Holdings does not guarantee, and has no liability for, any obligation of the Issuer.

The Share Trust

Pellam Corporate Services Ltd (the "Share Trustee") holds the share of Holdings under a discretionary trust established by a declaration of trust dated 9 January 2026 (the "Share Trust Deed"), the beneficiaries of which are charitable purposes. The Share Trustee has no beneficial interest in the share and derives no benefit from holding it, other than its fee for acting as share trustee. The trust will terminate only after the Notes and all other obligations of the Issuer under the Transaction Documents have been discharged in full.

The purpose of the share trust is that neither the Issuer nor Holdings is a subsidiary undertaking of the Society or of any other party to the Transaction, so that their assets and liabilities are not consol-

idated with those of the Society and are not affected by the insolvency of the Society. Neither the Society nor any other party to the Transaction controls, directly or indirectly, the Issuer, Holdings or the Share Trustee.

Employees and Subsidiaries

Neither the Issuer nor Holdings has any employees. The day-to-day administration of the Issuer is carried out by the Corporate Services Provider; the Mortgage Loans are administered by the Mortgage Administrator; and the Issuer Accounts are operated by the Cash Manager, in each case under the relevant Transaction Document. The Issuer has no subsidiaries, and Holdings has no subsidiary other than the Issuer.

Accounts and Auditors

The accounting reference date of each of the Issuer and Holdings is 31 December. The first financial period of the Issuer will run from its incorporation to 31 December 2026, and its first audited accounts will be filed at Companies House within six months after that date, as required of a public company by the Companies Act 2006. The first financial period of Holdings will end on the same date, and its accounts will be filed within nine months after it. Each will prepare its accounts in accordance with United Kingdom generally accepted accounting practice, including Financial Reporting Standard 102. No financial statements of the Issuer or of Holdings have been prepared or published as at the date of this Offering Circular.

Fennick & Rowe LLP, chartered accountants and registered auditors, of London, have been appointed as auditors of the Issuer and of Holdings. Fennick & Rowe LLP is registered to carry out audit work in the United Kingdom by the Institute of Chartered Accountants in England and Wales and has no material interest in the Issuer or Holdings. Copies of the audited accounts of the Issuer, when published, will be available as described in Section 20 and will be delivered to the Note Trustee.

Section 10 — The Seller and Mortgage Administrator

The information in this Section 10 has been provided by Marlowe Building Society (the "Society") and relates to the Society in its capacities as seller of the Provisional Portfolio (in that capacity, the "Seller"), as administrator of the residential mortgage loans comprised in the Provisional Portfolio (the "Mortgage Loans") (in that capacity, the "Mortgage Administrator") and as cash manager of the Issuer (in that capacity, the "Cash Manager"). The Mortgage Loans secured on property in England or Wales are the "English Mortgage Loans", and those secured on property in Scotland are the "Scottish Mortgage Loans". The Society accepts responsibility for the information in this Section 10. To the best of the knowledge and belief of the Society, having taken all reasonable care to ensure that such is the case, the information in this Section 10 is in accordance with the facts and does not omit anything likely to affect its import. None of the Issuer, the Note Trustee, the Security Trustee or the Arranger has independently verified the information in this Section 10, and none of them accepts any responsibility for it.

The financial information in this Section 10 is derived from the audited annual accounts of the Society and its subsidiaries (together, the "Group") for the financial year ended on 31 December 2025 and from the management accounts of the Society. It is given for the purpose of describing the business of the Seller and the Mortgage Administrator only. It does not describe the Provisional Portfolio, which is described in Section 13, and no figure in this Section 10 is a term of the Notes or of the Transaction Documents.

Constitution and legal status

The Society is a building society incorporated in England and Wales under the Building Societies Act 1986 (the "1986 Act"). Its principal office is in Worcester. The Society is a mutual organisation: it has no share capital held by external shareholders, and it is owned by its members, who are the holders of its share accounts and its borrowing members. The Society's purpose, as stated in its memorandum under section 5 of the 1986 Act, is making loans which are secured on residential property and are funded substantially by its members. The rules and memorandum of the Society, together with the 1986 Act, govern the relationship between the Society and its members, including the right of members to attend and vote at general meetings, to elect the directors of the Society and to receive the summary financial statement and the annual business statement required by the 1986 Act.

The 1986 Act imposes two structural limits on every building society. Under section 6 of the 1986 Act (the "lending limit"), at least 75 per cent of the business assets of a building society, other than its liquid assets and fixed assets, must be loans fully secured on residential property. Under section 7 of the 1986 Act (the "funding limit"), at least 50 per cent of the funds raised by a building society, other than from its reserves, must be raised in the form of shares held by individual members. The Society has complied with both limits throughout each of the five financial years before the Issue Date, and the transfer of the Provisional Portfolio to the Issuer on 14 May 2026 has been taken into account in the Society's assessment of its compliance with them going forward. The 1986 Act also restricts the activities a building society may carry on and the kinds of transactions it may enter into for hedging purposes; the Society has received legal advice that its entry into the Transaction Documents falls within its powers.

History

The Society traces its origins to the Marlowe Permanent Benefit Building Society, founded in Worcester in 1871 by a group of local tradesmen and nonconformist ministers who wished to help working families buy their own homes. In its first fifty years the Society lent almost exclusively within the county of Worcestershire, funding its loans from the savings of local members. Between 1928 and 1974 the Society grew by a series of twelve transfers of engagements from smaller societies in the West Midlands, the Welsh Marches and the Severn valley, and in 1975 it adopted its present name.

The Society's members rejected a proposal to convert the Society into a bank in 1997, when several large building societies demutualised. The board at the time concluded, and every subsequent board has reaffirmed, that the Society's long-term interest and that of its members is best served by remaining a mutual. In 2009 the Society accepted a transfer of engagements from a smaller regional society based in Gloucestershire, which added 14 branches and approximately 41,000 members. Since 2012 the Society's growth has been organic.

The Society opened its intermediary lending channel in 2004 and began lending throughout England, Wales and Scotland in 2011. It began lending in Scotland on the security of standard securities over Scottish residential property in 2016, through intermediaries and, from 2019, through its branch in Edinburgh. The Society has offered regulated mortgage contracts as defined in the Financial Services and Markets Act 2000 (Regulated Activities) Order 2001 since the regulation of mortgage lending began on 31 October 2004.

Membership, branches and business

On 31 December 2025 the Society had approximately 712,000 members, of whom approximately 618,000 were investing members and approximately 94,000 were borrowing members. It is, by total assets, one of the larger regional building societies in the United Kingdom. The Group's principal business is the provision of residential mortgage loans to owner-occupiers and the provision of savings accounts to individuals. The Group also offers home and contents insurance as an introducer appointed representative of an insurer, and financial advice through a referral arrangement with an independent firm. The Society does not provide current accounts, credit cards or unsecured personal loans.

The Society operates a network of 63 branches, located principally in the West Midlands, the South West, Wales and the Welsh Marches, together with branches in London, Bristol, Manchester and Edinburgh. Its head office, its mortgage operations centre and its customer contact centre are in Worcester, and a second operations site in Cardiff provides resilience for the mortgage administration functions described in Section 14. On 31 December 2025 the Group employed approximately 2,140 people, of whom approximately 390 work in mortgage underwriting, administration and arrears management.

The Society's lending strategy concentrates on prime owner-occupied lending to borrowers with a stable income history, a satisfactory credit record and adequate equity in the property. The Society also lends, through a separate brand, to landlords of residential property let on assured shorthold tenancies (in England) and private residential tenancies (in Scotland), and offers a small range of shared ownership, retirement interest-only and later-life products. None of those buy-to-let, shared ownership or later-life loans forms part of the Provisional Portfolio, as set out in the warranties given by the Seller in Section 12 (the "Loan Warranties").

Financial information

The following table sets out selected financial information of the Group, extracted without material adjustment from its audited consolidated accounts. The figures are in millions of pounds unless otherwise stated and describe the Group as a whole; they are not deal terms and do not describe the Provisional Portfolio.

Item (Group, year ended 31 December)	2025	2024	2023
Total assets	16,840	15,920	15,110
Loans and advances to customers	13,470	12,690	12,020
Shares (members' savings balances)	12,310	11,640	11,050
Wholesale funding and other deposits	2,960	2,850	2,790
General reserves	1,020	948	879

Item (Group, year ended 31 December)	2025	2024	2023
Net interest income	271	262	249
Profit before tax	94	88	81
Common equity tier 1 ratio (per cent)	17.6	17.1	16.8

The Group's profit is retained in general reserves and forms the principal source of its capital. The Society has no external shareholders to whom dividends are paid, and it may distribute a part of its profit to members by way of member benefits, such as preferential savings rates, under the policy approved by its board. The Society has not issued core capital deferred shares.

The Society publishes its Pillar 3 disclosures annually on its website, in accordance with the disclosure requirements of the PRA Rulebook. The Society is a "category 2" firm under the PRA's capital framework and applies the standardised approach to credit risk. It holds capital in excess of its total capital requirement and its combined buffer requirement, and its internal capital adequacy assessment process is reviewed annually by its board.

Regulation

The Society is authorised by the Prudential Regulation Authority (the "PRA") and regulated by the Financial Conduct Authority (the "FCA") and the PRA under the Financial Services and Markets Act 2000 ("FSMA"). It holds permissions under Part 4A of FSMA to accept deposits, to enter into regulated mortgage contracts as lender, to administer regulated mortgage contracts and to arrange and advise on regulated mortgage contracts, among other activities. It is a "dual-regulated firm": the PRA is responsible for its prudential supervision, including its capital, liquidity and resolvability, and the FCA is responsible for the conduct of its business with customers, including its compliance with the Mortgages and Home Finance: Conduct of Business sourcebook ("MCOB") and with the Consumer Duty set out in Principle 12 of the FCA's Principles for Businesses and in PRIN 2A.

The Society's eligible deposits are protected by the Financial Services Compensation Scheme, up to the limits applicable under the PRA Rulebook. The Society is subject to the special resolution regime under the Banking Act 2009, as applied to building societies by the Building Societies Act 1986 and the related secondary legislation, under which the Bank of England, as the United Kingdom resolution authority, may exercise stabilisation powers in respect of the Society if the conditions for resolution are met. The consequences of the exercise of those powers for the Transaction Documents are described in Section 1.

The Society's mortgage business is subject to the jurisdiction of the Financial Ombudsman Service, to which an eligible borrower may refer a complaint after the Society has issued its final response or after eight weeks from the date of the complaint. The Society reports its complaint data to the FCA twice a year and publishes the complaint figures it is required to publish under the FCA's dispute resolution rules.

The Society is also subject to the Building Societies Act 1986 as supervised by the PRA, to the Money Laundering, Terrorist Financing and Transfer of Funds (Information on the Payer) Regulations 2017, to the UK General Data Protection Regulation and the Data Protection Act 2018 in its processing of borrower data, and, in relation to the Scottish Mortgage Loans, to the law of Scotland on heritable security. The Society has not been the subject of any public censure, fine or enforcement action by the FCA or the PRA in the ten years before the Issue Date.

Mortgage book

The Society's residential mortgage book consists principally of loans to owner-occupiers secured by first-ranking legal mortgages over residential property in England and Wales and by first-ranking

standard securities over residential property in Scotland. On 31 December 2025 the Society's owner-occupied book comprised approximately 81,000 accounts with an aggregate balance of approximately £11.9 billion; its buy-to-let book comprised approximately 9,600 accounts with an aggregate balance of approximately £1.2 billion; and its shared ownership and later-life books together comprised the balance of its lending.

The owner-occupied book is concentrated in the regions in which the Society has its branches and its strongest intermediary relationships, being the West Midlands, the South West, the South East and Wales, with smaller exposures in London, the North of England and Scotland. The majority of loans in the owner-occupied book bear interest at a fixed rate for an initial period of two or five years, after which they revert to the Society's standard variable rate unless the borrower takes a new product. The remainder bear interest at a rate that tracks the Bank of England's Bank Rate or at the Society's standard variable rate. The products are described in Section 11.

The Society's gross new lending to owner-occupiers in 2025 was approximately £2.6 billion, of which approximately two thirds was originated through mortgage intermediaries and one third through the Society's branches, its contact centre and its website. Retention of existing borrowers at the end of their product periods, by product switch, is an important source of the Society's lending; product switches are not included in the gross new lending figure.

Arrears and possessions on the Society's owner-occupied book have historically been below the averages for regulated first-charge mortgage lending published by the FCA and the Bank of England in their mortgage lending statistics. The number of properties taken into possession by the Society in each of the last five financial years has been small in absolute terms. The historical performance of the Society's owner-occupied mortgage loans, including dynamic arrears, cumulative default and recovery data in the form required by the Securitisation Regulations, is made available to prospective investors as described in Section 17. That historical data relates to the Society's book as a whole and is not a forecast of the performance of the Provisional Portfolio. Past performance is no guarantee of future performance.

Funding and prior transactions

The Society funds its lending principally from the savings balances of its members. It supplements that retail funding with wholesale funding, which provides diversification of maturity and of source. The Society's wholesale funding programmes have, since 2013, included:

(a) public and retained issues of residential mortgage-backed securities, in which the Society has acted as seller, mortgage administrator and cash manager, backed by owner-occupied residential mortgage loans originated by the Society;

(b) a regulated covered bond programme admitted to the register of regulated covered bonds maintained by the FCA under the Regulated Covered Bonds Regulations 2008, under which the Society has issued covered bonds guaranteed by a limited liability partnership and secured over a portfolio of the Society's residential mortgage loans;

(c) senior unsecured and senior non-preferred debt issued under a medium term note programme; and

(d) drawings under the Bank of England's Sterling Monetary Framework, including against portfolios of mortgage loans pre-positioned with the Bank of England as collateral.

Every residential mortgage-backed securities transaction sponsored by the Society to date has paid interest and principal in full when due, and in none of them has an event of default occurred or the Society, as mortgage administrator, been replaced. The Society's previous transactions differ from the transaction described in this offering circular in their size, the characteristics of their mortgage pools, the structure of their notes and their credit enhancement, and their performance is not an indication of the performance of the Notes.

No Mortgage Loan in the Provisional Portfolio is, on the Portfolio Reference Date, subject to any security interest or trust in favour of the covered bond programme referred to in paragraph (b), to any earlier securitisation referred to in paragraph (a) or to the Bank of England under paragraph (d). Any Mortgage Loan that was previously allocated to any such arrangement has been released from it before its selection for the Provisional Portfolio, in accordance with the terms of that arrangement.

Board and management

The board of the Society consists of a non-executive chair, seven independent non-executive directors and three executive directors, being the chief executive, the chief financial officer and the chief operating officer. The board has established an audit committee, a board risk committee, a remuneration committee and a nominations committee, each chaired by an independent non-executive director. The Society applies the UK Corporate Governance Code, so far as it is relevant to a building society, and reports annually on how it has done so.

The Society's mortgage business is managed by its director of lending, who reports to the chief operating officer. The director of lending is responsible for the Lending Criteria described in Section 11, for the underwriting and mortgage operations functions, and for the collections and recoveries function that administers the Mortgage Loans in arrears. The Society's credit risk function, which reports to the chief risk officer, is independent of the lending function. It sets the credit risk appetite approved by the board risk committee, monitors the performance of the mortgage book against it, and approves every change to the Lending Criteria and to the Society's credit scoring models.

The Society as Seller

On 14 May 2026, under the mortgage sale agreement between the Seller, the Issuer and the Security Trustee (the "Mortgage Sale Agreement"), the Seller will sell to the Issuer the Mortgage Loans comprised in the Provisional Portfolio, together with the mortgages, standard securities, insurance rights and other rights securing or relating to them (the "Related Security"), as described in Section 12. The Mortgage Loans were selected from the Society's owner-occupied mortgage book by a random selection process applied to the loans that satisfied the Loan Warranties on the Portfolio Reference Date, and the Seller will keep those loans on its balance sheet as its retention, as described in Section 17.

The sale of the English Mortgage Loans will take effect in equity only, and the sale of the Scottish Mortgage Loans will be effected by a declaration of trust governed by Scottish law (the "Scottish Declaration of Trust") under which the Seller holds the Scottish Mortgage Loans and their Related Security on trust for the Issuer. Legal title to the Mortgage Loans will remain with the Seller until the occurrence of one of the events specified in the Mortgage Sale Agreement, which include the insolvency of the Seller and the termination of its appointment as Mortgage Administrator (each, a "Perfection Event"), as described in Section 12. Until then the Seller will remain the lender of record, the borrowers will not be notified of the sale, and the Seller will continue to act as lender in all dealings with the borrowers, in its capacity as Mortgage Administrator.

The Seller's obligations as seller include the repurchase of any Mortgage Loan for which a Loan Warranty proves untrue and the breach cannot be remedied, as described in Section 12; the repurchase of any Mortgage Loan to which it agrees to make a further advance, and of any Mortgage Loan that is the subject of a product switch that does not satisfy the conditions described in Section 11; and the funding of the General Reserve Fund and the Liquidity Reserve Fund by the Subordinated Loan, as described in Section 5.

The Society as Mortgage Administrator

Under the mortgage administration agreement between the Mortgage Administrator, the Issuer, the Seller and the Security Trustee (the "Mortgage Administration Agreement"), the Society will

administer the Mortgage Loans on behalf of the Issuer for the fee set out in Section 14. It will administer them with the same level of skill, care and diligence as it applies to comparable mortgage loans that it holds for its own account, and in accordance with its policies and procedures from time to time, the requirements of MCOB, the Consumer Duty and the other requirements of the FCA, and the terms of the Mortgage Loans.

The Society's mortgage administration functions comprise the setting up of new accounts, the collection of monthly payments and the application of receipts, the administration of interest rate changes and of product maturities, the handling of redemptions, the administration of buildings insurance requirements, the management of arrears and of borrowers in financial difficulty, and the enforcement of the Related Security. Those functions are carried out by the Society's own staff in Worcester and Cardiff on the Society's mortgage administration system, which the Society has used since 2017 and which is supported under a long-term licence and maintenance agreement with its software supplier. The Society maintains business continuity and disaster recovery arrangements for that system, which it tests at least once a year. The servicing and arrears management of the Mortgage Loans, the termination of the Mortgage Administrator's appointment and the back-up arrangements are described in Section 14.

The Society may sub-contract or delegate any of its functions as Mortgage Administrator, including the printing and dispatch of statements, the provision of solicitors and of asset managers for the conduct of possession proceedings and the sale of properties in possession, and the tracing of borrowers. The Society will remain responsible for the performance of any function it sub-contracts or delegates, and the appointment of a sub-contractor will not relieve it of any of its obligations under the Mortgage Administration Agreement.

The Society as Cash Manager

Under the cash management agreement between the Cash Manager, the Issuer and the Security Trustee (the "Cash Management Agreement"), the Society will manage the Issuer Accounts (as defined in Section 15), maintain the ledgers of the Issuer, calculate the Available Revenue Receipts and the Available Principal Receipts, and apply them on each Interest Payment Date in the orders set out in Sections 6 and 7, for the fee set out in Section 14. The cash management functions are carried out by the Society's treasury operations team, which is separate from the Society's mortgage administration functions. They are described in Section 15.

Conflicts of interest

The Society acts in several capacities in this transaction: as Seller, Mortgage Administrator, Cash Manager, Subordinated Loan provider and holder of the retained exposures. Its interests in one capacity may conflict with its interests in another, or with the interests of the Noteholders. For example, the Society may offer products to borrowers in the Provisional Portfolio that encourage them to redeem their Mortgage Loans or to switch to products that result in the repurchase of their Mortgage Loans, and it will determine the standard variable rate applicable to the Mortgage Loans and to the other mortgage loans in its book. The Society has agreed in the Mortgage Administration Agreement that it will not administer the Mortgage Loans, or set the interest rates on them, in a way that discriminates against the Issuer by reason of the sale of the Mortgage Loans to it. The risks arising from these conflicts are described in Section 1.

Section 11 — Origination and Underwriting

The information in this Section 11 has been provided by the Seller and describes the lending criteria and underwriting procedures that the Seller applied, and applies, to residential mortgage loans to owner-occupiers (the "Lending Criteria"). The Mortgage Loans in the Provisional Portfolio were originated between 2019 and 2025, as stated in the Loan Warranties, and the Lending Criteria have been amended from time to time during that period. This Section 11 describes the Lending Criteria as they applied during that period in all material respects; where an amendment was material to the Mortgage Loans, it is described below. The Seller may amend the Lending Criteria after the Issue Date, as described under "Changes to the Lending Criteria" below, and any such amendment will apply to further advances and product switches made after the Issue Date.

This Section 11 does not contain, and should not be read as a restatement of, the warranties given by the Seller about each Mortgage Loan. Those are the Loan Warranties set out in Section 12, and the remedies for their breach are set out in the same Section. The characteristics of the Provisional Portfolio on the Portfolio Reference Date are set out in Section 13.

Distribution channels

The Seller originates residential mortgage loans through two channels.

(a) **Direct channel.** Applications in the direct channel are taken by the Seller's mortgage advisers in its branches, by its telephone advisers in its customer contact centre in Worcester, and through its website. Every regulated mortgage contract sold through the direct channel is sold with advice, given by a mortgage adviser employed by the Seller who holds a mortgage advice qualification recognised by the FCA and is assessed as competent under the Seller's training and competence scheme. The Seller does not offer execution-only sales of new owner-occupied mortgage loans, other than in the limited circumstances permitted by MCOB 4.8A, and it has not done so for any Mortgage Loan in the Provisional Portfolio.

(b) **Intermediary channel.** The Seller accepts applications from mortgage intermediaries that are authorised by the FCA with permission to advise on and arrange regulated mortgage contracts, or that are appointed representatives of such firms, and that are registered with the Seller (each, a "Registered Intermediary"). Registered Intermediaries submit applications through the Seller's intermediary portal. The Seller registers an intermediary firm only after checking its FCA authorisation and permissions, and it monitors each firm's submissions for the quality of applications, the incidence of misstatement and fraud, and early arrears. It suspends or terminates the registration of any firm whose submissions fall below its standards, and it reports any suspected fraud to the FCA and to the relevant fraud prevention agencies.

Registered Intermediaries are paid a procuration fee by the Seller on completion of each loan. The procuration fee is a fixed proportion of the loan amount and does not vary with the interest rate, the product or the loan-to-value ratio of the loan, so that the intermediary has no financial incentive to recommend one of the Seller's products over another. The Seller discloses the procuration fee in the illustration given to the borrower, as MCOB requires. The intermediary, not the Seller, gives the advice to the borrower, but the Seller applies the same Lending Criteria and the same underwriting process to every application regardless of the channel through which it is received.

Before the Seller receives a full application, the applicant (directly or through a Registered Intermediary) may obtain a decision in principle. A decision in principle is based on the applicant's declared income and commitments and on a credit search that leaves a soft footprint on the applicant's credit file. It is not an offer of a loan and the Seller is not bound by it.

The application

A full application is made on the Seller's application form, in paper or electronic form, and must be signed or electronically confirmed by each applicant. The application records, for each applicant, his or her identity and address history for at least the previous three years, nationality and residency status, employment and income, existing credit commitments and other committed expenditure, dependants, and the purpose of the loan; and, for the property, its address, tenure, type and purchase price or estimated value.

Every applicant must be an individual who is at least 18 years of age at the date of the application. The loan must be repaid by the date on which the youngest applicant reaches the maximum age set in the Lending Criteria, unless the Seller is satisfied, on evidence, that the applicant will have sufficient income in retirement to meet the monthly payments for the part of the term that extends beyond his or her expected retirement date. A maximum of four applicants may be party to a loan, and every person who is a legal owner of the property must be an applicant.

The Seller lends to applicants who are United Kingdom nationals, nationals of other countries who have indefinite leave to remain or settled status in the United Kingdom, and, subject to additional criteria, nationals of other countries who have a right to live and work in the United Kingdom for a period that the Seller considers sufficient. The Seller verifies the identity and address of every applicant in accordance with the Money Laundering, Terrorist Financing and Transfer of Funds (Information on the Payer) Regulations 2017, by electronic verification against credit reference agency data and, where that verification is not sufficient, by examination of documents.

Credit search and credit scoring

The Seller obtains a full credit search on every applicant from at least one credit reference agency. The credit search records the applicant's existing credit commitments and their conduct, any county court judgments (in England and Wales) and decrees (in Scotland), any bankruptcy, sequestration, individual voluntary arrangement, protected trust deed or debt relief order, and the applicant's registration on the electoral roll. The Seller declines any application in which an applicant:

(a) is an undischarged bankrupt, or has had his or her estate sequestrated and has not been discharged;

(b) has been the subject of a bankruptcy order, sequestration, individual voluntary arrangement, protected trust deed or debt relief order within the period specified in the Lending Criteria before the date of the application, whether or not since discharged or completed;

(c) has a county court judgment or decree registered against him or her in the period specified in the Lending Criteria, above the value specified in them, that has not been satisfied;

(d) has had a property taken into possession by a lender, or has given up a property voluntarily to a lender, at any time; or

(e) has missed payments on an existing mortgage, secured loan or rent obligation in the period specified in the Lending Criteria before the application, beyond the number permitted by them.

Applications that pass these policy rules are scored by the Seller's application scorecard. The scorecard is a statistical model, developed by the Seller's credit risk function from the performance of its own mortgage lending and from credit reference agency data, that estimates the probability that a loan will fall into serious arrears within a defined outcome period. It uses the applicant's credit file data, the applicant's declared information and the characteristics of the loan. The score determines whether the application is accepted, referred to an underwriter or declined. The scorecard is recalibrated at least every two years and monitored quarterly by the credit risk function, and every change to it, including a change to a cut-off score, is approved under the Seller's model governance

framework. The scorecard in use from 2019 to 2021 was replaced by a redeveloped scorecard in the second half of 2021; the redevelopment did not change the Seller's credit risk appetite.

The Seller does not lend to applicants who are assessed as having a significant adverse credit history, and it does not offer, and has not offered during the period in which the Mortgage Loans were originated, any product designed for borrowers with impaired credit records. The Seller has not originated any self-certified mortgage loan, and every Mortgage Loan in the Provisional Portfolio was originated after the verification of income described below.

Affordability

The Seller assesses the affordability of every loan in accordance with the responsible lending rules in MCOB 11.6. Under those rules the Seller may not enter into a regulated mortgage contract, or vary one in a way that increases the amount borrowed, unless it can demonstrate that the loan is affordable for the borrower, having taken full account of the borrower's income and committed and basic essential expenditure, together with the effect of reasonably expected future interest rate increases.

The affordability assessment has three elements.

(a) **Income.** The Seller determines the applicant's net income, after tax and national insurance contributions, from the verified gross income described under "Verification of income" below. It includes basic salary in full and, subject to evidence of regularity over the period required by the Lending Criteria, a proportion of overtime, commission, bonus and allowances. It may include, subject to evidence, income from pensions, from maintenance payments under a court order or a registered agreement, and from certain state benefits. It does not include income from the letting of a room in the mortgaged property unless the Lending Criteria expressly permit it.

(b) **Expenditure.** The Seller deducts from net income the applicant's committed expenditure, being the payments due on other credit commitments, including any that the applicant has declared will be repaid on or before completion only where the Seller has evidence that they will be; child care costs; maintenance payments; and other contractual commitments. It then deducts basic essential expenditure and basic quality of living costs. For those it uses the higher of the amount declared by the applicant and the amount produced by the Seller's expenditure model, which estimates the expenditure of a household of the applicant's composition, income and location from statistics published by the Office for National Statistics and is updated at least once a year. The Seller does not accept a declared expenditure that is lower than its modelled expenditure without evidence.

(c) **Interest rate stress.** The Seller calculates the monthly payment on the loan at a stressed interest rate (the "Affordability Stress Rate") and requires the applicant's net income, after the deductions in paragraph (b), to cover it. In accordance with MCOB 11.6.18, the Affordability Stress Rate reflects market expectations of interest rates over at least the first five years of the loan. For a loan with an initial fixed rate of five years or more, the Seller may apply a lower stress to the initial fixed rate, as MCOB permits. The Affordability Stress Rate is set by the Seller's assets and liabilities committee, reviewed at least quarterly by reference to market interest rate expectations, the Bank Rate and the Seller's standard variable rate, and applies equally to every channel. Before August 2022 the Seller also applied the affordability test recommended by the Bank of England's Financial Policy Committee, in addition to its own stress; that recommendation was withdrawn with effect from August 2022 and the Seller has applied its own Affordability Stress Rate alone since then.

In addition to the affordability assessment, the Seller limits the amount it will lend by reference to a multiple of the applicants' gross income, which varies with the loan-to-value ratio of the loan and the level of income. The Seller manages the proportion of its new lending at high loan-to-income

multiples within the limit on such lending that the PRA applies to mortgage lenders in accordance with the Financial Policy Committee's recommendation, and within the lower internal limit set by its board risk committee.

Where the term of the loan extends beyond the expected retirement date of an applicant, the Seller assesses affordability for the part of the term after retirement on the applicant's expected retirement income, as MCOB 11.6 requires. Where the loan is on an interest-only basis, in whole or in part, the Seller assesses affordability on a capital and interest basis, as described under "Interest-only and part and part loans" below.

Verification of income

The Seller verifies the income of every applicant in every channel, as MCOB 11.6 requires, by evidence that is independent of the applicant. The evidence required depends on the source of income.

(a) **Employed applicants.** The Seller requires the applicant's most recent payslips for the period specified in the Lending Criteria, together with the most recent form P60 where variable income is included. It may verify the income electronically, by checking credit reference agency current account turnover data or by an open banking connection with the applicant's consent, in which case the Seller may reduce the documents it requires. Where the applicant has been in his or her current employment for a short period or is on a fixed term contract, the Seller requires additional evidence of continuity of income.

(b) **Self-employed applicants.** The Seller requires evidence of income for at least the two most recent complete tax years, in the form of the tax calculations and tax year overviews issued by HMRC or accounts certified by a qualified accountant, and it uses the average of those years or, if lower, the most recent year. For an applicant who is a director of a limited company holding a material shareholding, the Seller assesses salary and dividends and may, subject to the Lending Criteria, take account of the applicant's share of retained profit.

(c) **Other income.** Pension income is verified by a pension statement or bank statements; maintenance and benefit income by the court order, agreement or benefit award letter and bank statements.

Underwriters check the documents for consistency with each other, with the application and with the credit search, and the Seller's fraud prevention team reviews every application that its fraud detection rules identify for investigation. The Seller uses a national fraud database and shares data with other lenders through it, as permitted by data protection law.

Valuation

Every property offered as security must be valued for the Seller before the Seller makes an offer of loan. The valuation is carried out in one of two ways.

(a) **Physical valuation.** A physical valuation is carried out by a valuer who is a member or fellow of the Royal Institution of Chartered Surveyors and a registered valuer under its valuation standards, and who is instructed through the Seller's panel of valuation firms, managed for it by a panel management company. The valuer inspects the property, reports on its condition, tenure, construction and suitability as security, and gives an opinion of its market value. The Seller does not accept valuations instructed by the applicant or by an intermediary.

(b) **Automated valuation.** For applications that meet the criteria set by the Seller's credit risk function, the Seller may rely on an automated valuation model ("AVM") instead of a physical valuation. The Seller uses an AVM supplied by an independent provider, which estimates the value of the property from comparable sales, Land Registry and Registers of Scotland price data and the characteristics of the property, and returns a confidence score. The Seller accepts an AVM valuation only where the confidence score meets the level set in the Lending

Criteria, the property is of standard construction, and the loan-to-value ratio and the loan amount are within the limits set for AVM valuations, which are lower than those for physical valuations. AVM valuations are used principally for remortgages and are not used for new-build properties or properties of non-standard construction.

The Seller lends on freehold houses, leasehold houses and flats and, in Scotland, heritable property. A leasehold property must have an unexpired lease term at the end of the mortgage term that meets the Lending Criteria, and the ground rent and service charge must be within acceptable limits. The Seller does not lend on properties of a construction type that its valuation panel classes as unsuitable for mortgage purposes, on properties with agricultural restrictions, on properties used wholly or mainly for business purposes, or on properties that are not to be occupied by the borrower as his or her main residence.

For new-build properties, the Seller requires the property to be covered by a structural warranty from a provider that it accepts, and it applies lower maximum loan-to-value ratios to new-build flats and to properties purchased from a developer with incentives, in accordance with the disclosure of incentives standard used in the industry. The valuation of a new-build property is based on its market value without the benefit of incentives.

The loan-to-value ratio of each Mortgage Loan at origination was calculated as the amount of the loan, including any fees added to it, divided by the lower of the purchase price and the valuation of the property (in the case of a purchase) or the valuation (in the case of a remortgage). The maximum loan-to-value ratio permitted by the Loan Warranties is set out in Section 12, and the loan-to-value ratios of the Provisional Portfolio are set out in Section 13.

Underwriting and lending authorities

Every application that is not declined by the policy rules or by the scorecard is reviewed by an underwriter before an offer is issued. Underwriters are employed by the Seller in its mortgage operations centre; the Seller does not delegate any underwriting decision to an intermediary or to any third party. The underwriter checks the application against the Lending Criteria, reviews the evidence of identity and income, confirms the affordability assessment, reviews the valuation and the conveyancing requirements, and either approves the application, refers it for a higher authority, requests further information or declines it.

Each underwriter holds a personal lending mandate (a "Lending Authority"), granted by the director of lending and recorded on the mortgage administration system, that limits the loan amount and the loan-to-value ratio up to which he or she may approve an application, and the types of case that he or she may approve. The Seller has four tiers of Lending Authority, from trainee underwriters, whose decisions are all reviewed by a senior underwriter, to the senior credit managers in the credit risk function. An application above an underwriter's Lending Authority must be approved by an underwriter with a sufficient one. Applications for the largest loan amounts permitted by the Lending Criteria must be approved by two holders of the highest tier of Lending Authority, one of whom must be a member of the credit risk function.

The Seller's quality assurance team reviews a sample of the cases approved by each underwriter every month, including every case approved by an underwriter in his or her first six months, and reports the results to the credit risk function.

Exceptions to the Lending Criteria

An underwriter holding the appropriate Lending Authority may approve an application that falls outside a non-mandatory element of the Lending Criteria (an "Exception") where he or she is satisfied that the loan is affordable and that the application presents an acceptable credit risk, and records the reasons. Exceptions may be approved for matters such as the length of employment, the treatment of a particular source of income or the age of a payslip. No Exception may be approved to

an element of the Lending Criteria that the Seller classifies as mandatory, which include the affordability assessment, the verification of income, the requirements as to bankruptcy and possession, the maximum loan-to-value ratio and the requirement for owner occupation.

The proportion of applications approved by Exception is monitored monthly by the credit risk function against a limit set by the board risk committee, and the performance of loans approved by Exception is tracked separately. Mortgage Loans approved by Exception are included in the Provisional Portfolio if they satisfy the Loan Warranties.

Offer and completion

When an application is approved the Seller issues a mortgage offer to the applicant, together with the European Standardised Information Sheet required by MCOB 6A. An offer is valid for the period stated in it, normally six months for a purchase. Completion is carried out by a conveyancing solicitor or licensed conveyancer in England and Wales, or a solicitor in Scotland, who is a member of the Seller's conveyancing panel and who acts for the Seller as well as for the borrower, unless the borrower's own conveyancer is separately approved. The conveyancer must report on title in accordance with the standard instructions of the Seller, and the Seller releases the loan only after a satisfactory report on title.

The Seller requires the mortgage over a property in England or Wales to be registered at HM Land Registry as a first legal charge, and the standard security over a property in Scotland to be registered in the Land Register of Scotland as a first-ranking standard security. The Seller requires the property to be insured against fire and other usual risks for at least its reinstatement value, by buildings insurance arranged by the borrower or, for a leasehold flat, under a block policy arranged by the landlord or management company. The Seller does not require life cover as a condition of the loan.

Products

The Seller offers its owner-occupied mortgage loans on the following interest rate bases. Each Mortgage Loan is, at any time, on one of these bases, and the proportion of the Provisional Portfolio on each basis on the Portfolio Reference Date is set out in Section 13.

(a) **Fixed rate products.** The loan bears interest at a fixed rate for an initial period, which for the Mortgage Loans is two or five years (the "Fixed Rate Period"), after which it bears interest at the Seller's Standard Variable Rate unless the borrower takes a new product. Mortgage Loans in their Fixed Rate Period are "Fixed Rate Loans". Most fixed rate products carry an early repayment charge, expressed as a declining proportion of the amount repaid, if the borrower repays the loan, or more than a permitted annual overpayment, during the Fixed Rate Period. The interest rate risk that arises from Fixed Rate Loans is hedged by the Swap described in Section 15.

(b) **Tracker products.** The loan bears interest at a margin over the Bank of England's Bank Rate (the "Bank Rate"), either for an initial period or for the whole term (the "Tracker Loans"). The rate changes on the first day of the month following a change in the Bank Rate, or on such other date as the offer states. Tracker Loans are subject to a minimum rate, which is the margin over the Bank Rate set out in the offer, so that the rate on a Tracker Loan cannot fall below that margin.

(c) **Standard Variable Rate.** The Seller's standard variable rate (the "Standard Variable Rate") is the variable rate set by the Seller from time to time and applying to loans whose product period has ended. The Seller may change the Standard Variable Rate in the circumstances set out in the mortgage conditions, which include changes in the Bank Rate and in the Seller's cost of funds, and must give borrowers notice of any change as the mortgage conditions and MCOB require. After the Issue Date the Mortgage Administrator will set the Standard Variable Rate

applicable to the Mortgage Loans on behalf of the Issuer, as described in Section 14. Loans on the Standard Variable Rate are not subject to early repayment charges.

The Seller does not offer, and none of the Mortgage Loans is, an offset mortgage, a flexible mortgage with a facility to redraw, a discounted variable rate product, a capped rate product or a loan in a currency other than sterling. Overpayments are permitted on every product, subject to early repayment charges where they apply, and reduce either the monthly payment or the term at the borrower's choice.

Interest-only and part and part loans

The Seller offers interest-only loans and loans repayable partly on an interest-only basis and partly on a capital and interest basis ("part and part" loans) to owner-occupiers who meet the following additional criteria, which applied throughout the period in which the Mortgage Loans were originated:

(a) the borrower must have a repayment strategy for the interest-only part of the loan that is credible and verified at the time of the application, as the responsible lending rules in MCOB 11.6 require for interest-only lending, and the Seller accepts as a repayment strategy only the sale of the mortgaged property (subject to the minimum equity requirement in the Lending Criteria), investments and pension lump sums of the types specified in the Lending Criteria, or a combination of them;

(b) the amount on an interest-only basis, and the overall loan-to-value ratio, must be within the lower limits set by the Lending Criteria for interest-only lending;

(c) the borrower must meet the minimum income requirement set by the Lending Criteria for interest-only lending; and

(d) affordability is assessed on a capital and interest basis over the term of the loan, at the Affordability Stress Rate, so that the borrower could afford to convert the loan to a capital and interest basis if the repayment strategy failed.

The Mortgage Administrator contacts every interest-only borrower at intervals during the term, and in any case in the years before the maturity of the loan, to ask the borrower to confirm that the repayment strategy remains in place, in accordance with the FCA's guidance on the fair treatment of interest-only customers. The treatment of interest-only loans that are not repaid at maturity is described in Section 14. The proportion of the Provisional Portfolio repayable on an interest-only or part and part basis is set out in Section 13, and the risks of such loans are described in Section 1.

Further advances

A borrower may apply to the Seller for a further advance secured by the existing mortgage or standard security. An application for a further advance is assessed under the Lending Criteria applying at the date of the application, including a new affordability assessment, a credit search and, where required by the Lending Criteria, a new valuation, which may be an AVM valuation.

The Issuer will not fund any further advance. If the Seller agrees to make a further advance on a Mortgage Loan after the Issue Date, the Seller will repurchase that Mortgage Loan, and its Related Security, from the Issuer before the further advance is made, at a price equal to its current balance plus accrued interest, under the Mortgage Sale Agreement. The repurchase price will form part of the Available Principal Receipts and the Available Revenue Receipts, as described in Section 15. As a result, no Mortgage Loan in the portfolio of the Issuer will at any time have been increased by a further advance made after the Issue Date.

Product switches and retention

On or before the end of a product period, the Seller may offer the borrower a new product, which may be a new fixed rate or tracker product, or a change of the borrower's terms (a "Product Switch"). A Product Switch that does not increase the amount borrowed does not require a new affordability assessment: the provisions of MCOB 11.6 and 11.7 allow a lender not to carry out a full affordability assessment where an existing borrower switches product without increasing the amount borrowed, and the Seller applies them where the borrower is up to date with payments. A Product Switch that increases the amount borrowed is a further advance and is treated as described above.

A Mortgage Loan that is the subject of a Product Switch after the Issue Date will remain in the portfolio of the Issuer only if the conditions set out in the Mortgage Sale Agreement are satisfied on the date of the Product Switch (the "Product Switch Conditions"). The Product Switch Conditions include requirements that:

(a) the new product is a fixed rate product, a tracker product or a variable rate product of a type offered by the Seller to its owner-occupied borrowers at the Issue Date, and the Mortgage Loan continues to be repayable in monthly instalments;

(b) the final maturity date of the Mortgage Loan is not extended beyond the date permitted by the Loan Warranties set out in Section 12;

(c) the Mortgage Loan is not, on the date of the Product Switch, in arrears beyond the level permitted by the Mortgage Sale Agreement;

(d) the interest rate on the new product is not lower than the minimum rate specified in the Mortgage Sale Agreement, by reference to Compounded Daily SONIA and the rates on the Notes; and

(e) no Sequential Payment Trigger has occurred and the aggregate current balance of Mortgage Loans that have been the subject of a Product Switch to a new fixed rate product does not exceed the limit specified in the Mortgage Sale Agreement.

If the Product Switch Conditions are not satisfied, the Seller will repurchase the Mortgage Loan on or before the date of the Product Switch at its current balance plus accrued interest. The Seller is under no obligation to offer a Product Switch to any borrower, and its decisions to offer products to borrowers will be made in the ordinary course of its business, without regard to whether the Mortgage Loan has been sold to the Issuer. A Mortgage Loan that becomes a Fixed Rate Loan as a result of a Product Switch after the Issue Date will not be hedged by the Swap, as described in Section 15, and the resulting risk is described in Section 1.

Changes to the Lending Criteria

The Seller may change the Lending Criteria from time to time. Every change is approved by the Seller's credit committee, and any change that is material to the Seller's credit risk appetite is approved by its board risk committee. A change to the Lending Criteria after the Issue Date will apply to Mortgage Loans only in relation to further advances and Product Switches made after the change; it will not affect the Loan Warranties, which are given on the Issue Date by reference to the Lending Criteria under which each Mortgage Loan was originated.

The material changes to the Lending Criteria during the period in which the Mortgage Loans were originated were:

(a) the replacement of the application scorecard in 2021, described under "Credit search and credit scoring" above;

(b) the withdrawal of the Financial Policy Committee's affordability test in August 2022, after

which the Seller relied on its own Affordability Stress Rate alone, described under "Affordability" above;

(c) the increase in the Seller's modelled expenditure figures in 2022 and 2023, to reflect the increase in the cost of living in those years; and

(d) the extension of AVM valuations to a wider range of remortgage applications in 2024, within the limits set by the credit risk function.

None of these changes, in the opinion of the Seller, resulted in Mortgage Loans being originated to a credit standard materially lower than that applied to the remainder of the Provisional Portfolio. The Seller has applied to the Mortgage Loans the same sound and well-defined criteria for credit-granting that it applies to comparable mortgage loans that it has not securitised, as required by the Securitisation Regulations 2024 (SI 2024/102) and SECN, as described in Section 17.

Section 12 — Lending Criteria and Loan Warranties

The Seller originated every loan under its lending criteria, which require an affordability assessment, a credit search, verification of income and a valuation of the property by an approved valuer.

On the Issue Date the Seller will give the following warranties about each loan:

(a) Each loan is secured by a first-ranking legal mortgage over a residential property in England or Wales, or by a first-ranking standard security over a residential property in Scotland;
(b) Each borrower is an individual who occupies the property as his or her main residence;
(c) No loan was more than 30 days in arrears on the Portfolio Reference Date;
(d) Each loan had made at least 3 monthly payments by the Portfolio Reference Date;
(e) The current loan-to-value ratio of each loan does not exceed 95 per cent;
(f) No loan is a buy-to-let, shared-ownership, right-to-buy or equity-release loan;
(g) Each loan was originated by the Seller between 2019 and 2025 under its lending criteria;
(h) The final maturity date of each loan falls no later than July 2061;
(i) Each loan is denominated in sterling and repayable in monthly instalments;
(j) No borrower is subject to a bankruptcy order or an individual voluntary arrangement.

If a warranty proves untrue and the breach cannot be remedied, the Seller must buy the loan back at its current balance plus accrued interest.

Section 13 — The Provisional Portfolio

The tables below describe the Provisional Portfolio on the Portfolio Reference Date. Percentages are percentages of the aggregate current balance of 400,000,000 pounds.

Characteristic	Value
Number of loans	1,912
Average current balance	209,205.02
Weighted average current loan-to-value	64.8%
Weighted average indexed loan-to-value	58.3%
Weighted average interest rate	4.72%
Weighted average seasoning	21.4 months
Weighted average remaining term	24.6 years

Table 13.1 — Current loan-to-value

Band	Number of loans	Current balance (£)	% of balance
0% to 50%	570	85,600,000.00	21.40
50% to 60%	291	64,400,000.00	16.10
60% to 70%	346	79,200,000.00	19.80
70% to 80%	390	90,400,000.00	22.60
80% to 90%	241	60,800,000.00	15.20
90% to 95%	74	19,600,000.00	4.90
Total	**1,912**	**400,000,000.00**	**100.00**

Table 13.2 — Indexed loan-to-value

Band	Number of loans	Current balance (£)	% of balance
0% to 50%	729	118,800,000.00	29.70
50% to 60%	325	75,200,000.00	18.80
60% to 70%	367	85,600,000.00	21.40
70% to 80%	306	74,400,000.00	18.60
80% to 90%	151	37,200,000.00	9.30
90% to 95%	34	8,800,000.00	2.20
Total	**1,912**	**400,000,000.00**	**100.00**

Table 13.3 — Region

Band	Number of loans	Current balance (£)	% of balance
London	231	76,800,000.00	19.20
South East	356	85,600,000.00	21.40
South West	197	39,200,000.00	9.80
East of England	208	44,800,000.00	11.20
Midlands	291	52,400,000.00	13.10
North West	220	37,600,000.00	9.40
North East and Yorkshire	185	28,400,000.00	7.10
Wales	96	15,200,000.00	3.80
Scotland	128	20,000,000.00	5.00
Total	**1,912**	**400,000,000.00**	**100.00**

Band	Number of loans	Current balance (£)	% of balance

Table 13.4 — Interest type

Band	Number of loans	Current balance (£)	% of balance
Fixed for 2 years	576	113,600,000.00	28.40
Fixed for 5 years	979	213,200,000.00	53.30
Standard variable rate	168	28,400,000.00	7.10
Tracker (Bank Rate)	189	44,800,000.00	11.20
Total	**1,912**	**400,000,000.00**	**100.00**

Table 13.5 — Borrower type

Band	Number of loans	Current balance (£)	% of balance
First-time buyer	597	110,400,000.00	27.60
Home mover	671	155,600,000.00	38.90
Remortgage	644	134,000,000.00	33.50
Total	**1,912**	**400,000,000.00**	**100.00**

Table 13.6 — Repayment type

Band	Number of loans	Current balance (£)	% of balance
Capital and interest	1,780	365,600,000.00	91.40
Interest-only	40	12,800,000.00	3.20
Part and part	92	21,600,000.00	5.40
Total	**1,912**	**400,000,000.00**	**100.00**

Table 13.7 — Seasoning

Band	Number of loans	Current balance (£)	% of balance
Up to 12 months	554	124,800,000.00	31.20
12 to 24 months	574	119,200,000.00	29.80
24 to 36 months	421	85,600,000.00	21.40
36 to 60 months	248	48,400,000.00	12.10
Over 60 months	115	22,000,000.00	5.50
Total	**1,912**	**400,000,000.00**	**100.00**

Table 13.8 — Original loan-to-value

Band	Number of loans	Current balance (£)	% of balance
0% to 50%	401	56,800,000.00	14.20
50% to 60%	229	47,200,000.00	11.80
60% to 75%	459	102,800,000.00	25.70
75% to 85%	421	94,400,000.00	23.60
85% to 90%	268	64,400,000.00	16.10

Band	Number of loans	Current balance (£)	% of balance
90% to 95%	134	34,400,000.00	8.60
Total	**1,912**	**400,000,000.00**	**100.00**

Table 13.9 — Current balance

Band	Number of loans	Current balance (£)	% of balance
Up to £100,000	401	28,400,000.00	7.10
£100,000 to £150,000	421	56,800,000.00	14.20
£150,000 to £250,000	593	127,200,000.00	31.80
£250,000 to £400,000	325	104,800,000.00	26.20
£400,000 to £750,000	153	67,200,000.00	16.80
Over £750,000	19	15,600,000.00	3.90
Total	**1,912**	**400,000,000.00**	**100.00**

Table 13.10 — Current interest rate

Band	Number of loans	Current balance (£)	% of balance
Below 3.00%	191	37,600,000.00	9.40
3.00% to 3.99%	306	62,800,000.00	15.70
4.00% to 4.99%	765	164,800,000.00	41.20
5.00% to 5.99%	497	107,200,000.00	26.80
6.00% and above	153	27,600,000.00	6.90
Total	**1,912**	**400,000,000.00**	**100.00**

Table 13.11 — Remaining term

Band	Number of loans	Current balance (£)	% of balance
Up to 15 years	210	34,800,000.00	8.70
15 to 20 years	287	56,400,000.00	14.10
20 to 25 years	459	99,200,000.00	24.80
25 to 30 years	574	127,600,000.00	31.90
30 to 35 years	382	82,000,000.00	20.50
Total	**1,912**	**400,000,000.00**	**100.00**

Table 13.12 — Year of origination

Band	Number of loans	Current balance (£)	% of balance
2019	76	12,400,000.00	3.10
2020	96	19,600,000.00	4.90
2021	172	35,200,000.00	8.80
2022	249	53,600,000.00	13.40
2023	325	68,800,000.00	17.20
2024	459	96,400,000.00	24.10
2025	535	114,000,000.00	28.50
Total	**1,912**	**400,000,000.00**	**100.00**

Table 13.13 — Property type

Band	Number of loans	Current balance (£)	% of balance
Detached house	497	124,800,000.00	31.20
Semi-detached house	593	119,200,000.00	29.80
Terraced house	516	94,400,000.00	23.60
Flat or maisonette	306	61,600,000.00	15.40
Total	**1,912**	**400,000,000.00**	**100.00**

Table 13.14 — Employment status

Band	Number of loans	Current balance (£)	% of balance
Employed	1,587	324,800,000.00	81.20
Self-employed	268	65,200,000.00	16.30
Retired	57	10,000,000.00	2.50
Total	**1,912**	**400,000,000.00**	**100.00**

Table 13.15 — Payment method

Band	Number of loans	Current balance (£)	% of balance
Direct debit	1,897	396,400,000.00	99.10
Other	15	3,600,000.00	0.90
Total	**1,912**	**400,000,000.00**	**100.00**

Section 14 — Servicing and Arrears Management

The Mortgage Administrator services the loans under the mortgage administration agreement for a fee of 0.20 per cent per year of the current balance of the portfolio. It applies the Seller's arrears policy: a borrower who misses a payment is contacted within ten days, offered a payment arrangement where appropriate, and possession is sought only as a last resort and in line with the rules of the Financial Conduct Authority on fair treatment of customers in financial difficulty.

The Cash Manager receives 30,000 pounds per year and the Note Trustee and Security Trustee receives 20,000 pounds per year.

Collections and payment methods

Borrowers pay their monthly instalments to the Mortgage Administrator. Each Mortgage Loan is repayable by monthly instalments due on a day of the month chosen by the borrower at completion (the "Monthly Payment Day"). The great majority of borrowers pay by direct debit under the Direct Debit Scheme, collected by the Mortgage Administrator through the Bacs payment system into the Collection Account described in Section 15. Borrowers may also pay by standing order, by faster payment or other bank transfer, by debit card through the Mortgage Administrator's contact centre or website, or over the counter at a branch of the Society. Payments received in any of those ways are credited to the Collection Account.

The Mortgage Administrator applies every receipt to the borrower's account on the day of receipt, first to any amounts due other than interest and principal (such as fees and insurance premiums), then to interest and then to principal, in accordance with the mortgage conditions, unless the borrower has directed that a payment be applied as an overpayment. The Mortgage Administrator identifies each receipt as a revenue receipt or a principal receipt of the Issuer on that basis, and reports it to the Cash Manager for the purposes of the Revenue Ledger and the Principal Ledger described in Section 15. Redemption monies, including early repayment charges, are received by the Mortgage Administrator from the borrower's conveyancer and credited to the Collection Account.

Where a direct debit is returned unpaid, the mortgage administration system re-presents it automatically on the date set by the Mortgage Administrator's collections policy, unless the borrower has cancelled the mandate, in which case the Mortgage Administrator contacts the borrower to obtain a new mandate or another means of payment. A returned direct debit is treated as a missed payment for the purposes of the arrears management process described below from the Monthly Payment Day on which it fell due.

The Mortgage Administrator will, on behalf of the Issuer, set the Standard Variable Rate and any other discretionary rate applicable to the Mortgage Loans. It has agreed in the Mortgage Administration Agreement that it will not set the Standard Variable Rate applicable to the Mortgage Loans at a rate higher than the Society's standard variable rate applicable to comparable loans that it holds for its own account, and that it will set it at a rate not lower than the minimum rate determined in accordance with the Mortgage Administration Agreement by reference to Compounded Daily SONIA, unless the Issuer and the Security Trustee agree otherwise. In setting the rate, the Mortgage Administrator must comply with the mortgage conditions, MCOB and the Consumer Duty, and the Issuer's rights are subject to those requirements.

Arrears management

The Mortgage Administrator applies the Society's arrears policy to the Mortgage Loans, as summarised at the start of this Section 14. That policy is designed to identify borrowers in payment difficulty early, to establish their circumstances and to agree an arrangement that is sustainable for the borrower, in accordance with MCOB 13 and the Consumer Duty. The arrears management pro-

cess is organised in the following stages, although a borrower's account may move between them, or be dealt with outside them, according to the borrower's circumstances.

(a) **Early arrears.** When a payment is missed, the borrower is contacted by letter, text message or telephone within ten days, as stated above. The Mortgage Administrator's early arrears team seeks to establish the reason for the missed payment, whether it is a temporary or a longer-term difficulty, and the borrower's income and expenditure. It gives the borrower the information required by MCOB 13, including information about free and impartial debt advice. Where the difficulty is short-term, the borrower is asked to clear the arrears or offered a short payment arrangement.

(b) **Established arrears.** Where the arrears continue, the account is transferred to the Mortgage Administrator's specialist financial support team. That team carries out a full assessment of the borrower's income and expenditure, using the standard financial statement used in the debt advice sector, and considers which of the forms of forbearance described below is appropriate. It sends the statements of arrears and the information sheet required by MCOB 13 and records every contact and every arrangement on the mortgage administration system.

(c) **Pre-litigation.** Where no arrangement has been agreed, or an arrangement has failed and the borrower does not engage with the Mortgage Administrator, the account is reviewed by a manager in the financial support team before any step towards litigation is taken. The review confirms that the borrower has been offered every appropriate form of forbearance, that the requirements of the relevant pre-action rules described below have been met, and that the borrower is not in a vulnerable situation that requires a different approach.

(d) **Litigation and recovery.** Only after that review may the account be passed to the Mortgage Administrator's litigation team for proceedings to be brought, as described under "Litigation and possession" below. Possession is sought only as a last resort, as stated above.

The Mortgage Administrator identifies and records the characteristics of vulnerability of borrowers in accordance with the FCA's guidance on the fair treatment of vulnerable customers, and adapts its contact and its forbearance accordingly. It may suspend the arrears process for a borrower who has been bereaved, has a serious illness or is in a breathing space under the Debt Respite Scheme (Breathing Space Moratorium and Mental Health Crisis Moratorium) (England and Wales) Regulations 2020, during which it may not take enforcement action and must suspend the application of default interest and charges as those Regulations require.

Forbearance and the Mortgage Charter

Under MCOB 13, as amended by the FCA's rules on tailored support for borrowers in payment difficulties, the Mortgage Administrator must consider the forms of forbearance that are appropriate to the borrower's circumstances and must not apply a single form of forbearance to all borrowers. The forms of forbearance that the Mortgage Administrator may offer include:

(a) an arrangement to pay the arrears over a period in addition to the monthly instalment;

(b) a temporary reduction in the monthly payment, or a temporary interest-only arrangement, for a defined period, after which the payment is recalculated;

(c) an extension of the term of the Mortgage Loan, subject to the borrower's age and to the requirement in the Loan Warranties as to final maturity set out in Section 12;

(d) the capitalisation of arrears, where the borrower has demonstrated that he or she can sustain the recalculated monthly payment;

(e) a change to the repayment basis, including a permanent conversion of part of the loan to an interest-only basis, where the borrower has a credible repayment strategy for that part; and

(f) the deferral of the remedy of arrears while the borrower sells the property voluntarily.

The Society is a signatory to the Mortgage Charter agreed between HM Treasury and mortgage lenders, with the support of the FCA, in June 2023, and the Mortgage Administrator applies the commitments of the Mortgage Charter, as amended or extended from time to time, to the Mortgage Loans. Those commitments include, in particular, that a borrower who is up to date with payments may switch to interest-only payments for a temporary period, or extend the mortgage term for a temporary period with the option to revert to the original term, without a new affordability assessment and without the change affecting the borrower's credit file, and that a borrower will not be required to leave the property without his or her consent within twelve months of the first missed payment, except in exceptional circumstances. The FCA has amended MCOB to support those commitments.

The Mortgage Administrator will report to the Cash Manager, for inclusion in the investor report described below, the number and aggregate current balance of the Mortgage Loans that are subject to each form of forbearance. A Mortgage Loan that is subject to forbearance remains in the portfolio of the Issuer. The Mortgage Administrator may agree any form of forbearance that is consistent with the Society's arrears policy, MCOB and the Consumer Duty, and is not required to obtain the consent of the Issuer or the Security Trustee to it. Forbearance may delay or reduce the receipts of the Issuer, and the arrears of a Mortgage Loan subject to forbearance are counted for the purpose of the Arrears Trigger described in Section 8 in accordance with the Arrears Ratio as defined in the Glossary of Defined Terms.

Litigation and possession

Proceedings to enforce the Related Security are brought by the Mortgage Administrator in the name of the Society, as legal owner of the Mortgage Loans, until a Perfection Event occurs, and thereafter in the name of the Issuer. The costs of enforcement are recoverable from the borrower under the mortgage conditions and, to the extent that they are not recovered, are deducted from the proceeds of enforcement before the Realised Loss is calculated.

England and Wales. Before issuing a claim for possession of a residential property, the Mortgage Administrator must comply with the Pre-Action Protocol for Possession Claims based on Mortgage or Home Purchase Plan Arrears in Respect of Residential Property, which requires it, among other things, to provide the borrower with information about the arrears, to consider any reasonable proposal for payment, to consider postponing proceedings where the borrower has made a claim to a government agency or is pursuing the sale of the property, and to inform the borrower of the date and time of any hearing. A claim is brought in the County Court under Part 55 of the Civil Procedure Rules. The court may adjourn the proceedings, or suspend or postpone an order for possession, under section 36 of the Administration of Justice Act 1970 and section 8 of the Administration of Justice Act 1973, if it appears that the borrower is likely to be able to pay the sums due within a reasonable period. An order for possession is enforced by a warrant of possession executed by a county court enforcement officer or, with permission, by a writ of possession executed by a High Court enforcement officer. The Mortgage Administrator must give notice to the occupiers of the property under the Mortgage Repossessions (Protection of Tenants etc.) Act 2010 before an order is enforced.

Scotland. The enforcement of a standard security over a residential property in Scotland is governed by the Conveyancing and Feudal Reform (Scotland) Act 1970, as amended by the Home Owner and Debtor Protection (Scotland) Act 2010. Before applying to the court, the Mortgage Administrator must comply with the pre-action requirements in section 24A of the 1970 Act, which include providing the borrower with information about the arrears, making reasonable efforts to agree a proposal for payment, and considering any application by the borrower to a debt payment programme or for a time to pay order. It must then serve a calling-up notice or a notice of default, and apply to the sheriff court for a decree under section 24 of the 1970 Act. The court may grant the

decree only if it is satisfied that the pre-action requirements have been met and that it is reasonable in the circumstances to do so. The borrower and any entitled resident may appear and be heard, and the court may continue the proceedings or sist them. Following the decree, the Mortgage Administrator may enter into possession and sell the property. Proceedings in Scotland are conducted by solicitors in Scotland on the Mortgage Administrator's panel.

In both jurisdictions the time taken from the first missed payment to the sale of the property depends on the borrower's engagement, the forbearance offered, the requirements of the pre-action rules and the Mortgage Charter, the capacity of the courts and the condition of the local property market, and has historically been longer in Scotland than in England and Wales. The Mortgage Administrator may accept a voluntary surrender of possession by a borrower, and it will do so in preference to proceedings where the borrower agrees.

Sale of repossessed properties

When the Mortgage Administrator takes possession of a property, it secures and insures the property and instructs an asset manager on its panel to manage its sale. The asset manager obtains at least two independent valuations, instructs local estate agents to market the property on the open market, and recommends to the Mortgage Administrator the acceptance of offers. The Mortgage Administrator is under a duty, as mortgagee in possession in England and Wales and as heritable creditor in Scotland, to take reasonable care to obtain the true market value or the best price reasonably obtainable for the property at the time of sale, and it will market every property for a period sufficient to achieve that. A property is sold by auction only where the asset manager advises that auction is likely to achieve a better price, for example because of the condition or the type of the property.

The proceeds of sale, after the deduction of the costs of possession and sale, are applied in discharge of the Mortgage Loan and are credited to the Collection Account. Any shortfall is a Realised Loss, which is recorded on the Principal Deficiency Ledger as described in Section 5. Any surplus is paid to any subsequent secured creditor and then to the borrower. After the sale the Mortgage Administrator will pursue the borrower for any shortfall where it considers it appropriate, in accordance with its policies and with industry guidance on the recovery of mortgage shortfall debt, within the limitation periods under the Limitation Act 1980 in England and Wales and the prescription periods under the Prescription and Limitation (Scotland) Act 1973 in Scotland. Recoveries after the sale are revenue receipts of the Issuer, as described in Section 15.

Mortgage Administrator reporting

The Mortgage Administrator will deliver to the Issuer, the Cash Manager and the Security Trustee, within the period set out in the Mortgage Administration Agreement after the end of each month, a report on the Mortgage Loans for that month (a "Monthly Mortgage Administration Report"). Each Monthly Mortgage Administration Report will set out the receipts on the Mortgage Loans, split between revenue and principal; the redemptions, repurchases and Product Switches in the month; the arrears of the Mortgage Loans by number of months in arrears; the Mortgage Loans subject to forbearance, by form of forbearance; the properties in possession and sold, and the Realised Losses on them; and the information needed by the Cash Manager to calculate the Arrears Ratio and the Cumulative Loss Ratio on each Calculation Date.

The Mortgage Administrator will also provide the Cash Manager with the loan-level information on each Mortgage Loan needed for the loan-level reports required by the transparency requirements of the Securitisation Regulations and SECN, described in Section 17. On the basis of the Monthly Mortgage Administration Reports and its own records, the Cash Manager will prepare a quarterly investor report (the "Investor Report") for each Interest Payment Date, which will be made available to Noteholders as described in Section 17.

Mortgage Administrator Termination Events

The appointment of the Mortgage Administrator may be terminated by the Issuer, with the consent of the Security Trustee, or by the Security Trustee, by notice to the Mortgage Administrator on the occurrence of any of the following events (each a "Mortgage Administrator Termination Event"):

(a) the Mortgage Administrator fails to pay into the Collection Account or the Transaction Account any amount it is required to pay under the Mortgage Administration Agreement, and the failure is not remedied within five Business Days of the earlier of the Mortgage Administrator becoming aware of it and the receipt of notice of it;

(b) the Mortgage Administrator fails to perform any other of its material obligations under the Transaction Documents, and the failure, if capable of remedy, is not remedied within thirty days of the earlier of the Mortgage Administrator becoming aware of it and the receipt of notice of it, and the Security Trustee certifies that the failure is materially prejudicial to the interests of the holders of the most senior class of Notes outstanding;

(c) an insolvency event occurs in relation to the Mortgage Administrator, including the making of a building society insolvency order or a building society special administration order, or the exercise of a stabilisation power under the Banking Act 2009 in a way that affects the performance of its obligations;

(d) the Mortgage Administrator ceases to hold the permissions under Part 4A of FSMA required to administer regulated mortgage contracts; or

(e) it becomes unlawful for the Mortgage Administrator to perform its obligations under the Mortgage Administration Agreement.

The Mortgage Administrator may also resign on not less than twelve months' notice. No termination or resignation will take effect until a substitute mortgage administrator has been appointed that holds the permissions required to administer regulated mortgage contracts, has experience of administering residential mortgage loans in England, Wales and Scotland, and agrees to perform the obligations of the Mortgage Administrator on substantially the same terms, and until the Rating Agencies have been notified. A Mortgage Administrator Termination Event is a Perfection Event, as described in Section 12.

Back-up arrangements

No back-up mortgage administrator is appointed on the Issue Date. If a Mortgage Administrator Termination Event occurs, or if the long-term ratings of the Society fall below the levels specified in the Mortgage Administration Agreement, the Issuer, with the assistance of Pellam Corporate Services Ltd (the "Corporate Services Provider"), will use reasonable endeavours to appoint a back-up mortgage administrator within the period set out in the Mortgage Administration Agreement. In the meantime, the Mortgage Administrator will deliver to the Issuer, the Cash Manager and the Security Trustee a copy of the loan-level data needed to administer the Mortgage Loans and a summary of its arrears procedures at least quarterly, and will keep its records in a form that allows a substitute to take over the administration of the Mortgage Loans without undue delay.

The Cash Management Agreement contains equivalent provisions for the termination of the appointment of the Cash Manager and the appointment of a substitute cash manager, described in Section 15. The fees payable to any substitute mortgage administrator or cash manager may be higher than those set out above; they rank in the Revenue Priority of Payments in the same position as the fees of the Mortgage Administrator and the Cash Manager. The risks of a change of administrator, including disruption of collections during the transfer, are described in Section 1.

Section 15 — Cash Management, Accounts and the Swap

This Section 15 describes the flow of funds from the borrowers to the Issuer, the bank accounts of the Issuer, the ledgers maintained by the Cash Manager, the interest rate swap entered into by the Issuer and the rating requirements that apply to the banks and the swap counterparty of the Issuer. It summarises the Cash Management Agreement, the Collection Account Declaration of Trust, the Bank Account Agreement and the Swap Agreement (each as defined below), and is qualified by the full terms of those documents, copies of which are available for inspection as described in Section 20. The orders in which the Issuer's funds are applied on each Interest Payment Date are set out in Section 6 (Revenue Priority of Payments) and Section 7 (Principal Priority of Payments), and are not repeated here.

The Cash Manager

Marlowe Building Society (the "Cash Manager") will act as cash manager of the Issuer under the Cash Management Agreement for the fee set out in Section 14. The Cash Manager will, on behalf of the Issuer and, after the delivery of an enforcement notice, the Security Trustee:

(a) operate the Issuer Accounts and make the transfers between them required by the Transaction Documents;

(b) maintain the ledgers described below and record in them every receipt and payment of the Issuer;

(c) on each Calculation Date, determine the Available Revenue Receipts and the Available Principal Receipts for the Collection Period ending on that Calculation Date, calculate the amounts payable on the following Interest Payment Date, and determine whether a Sequential Payment Trigger has occurred, by calculating the Arrears Ratio, the Cumulative Loss Ratio and the ratio relevant to the Reserve Trigger described in Section 8;

(d) on each Interest Payment Date, apply the Available Revenue Receipts and the Available Principal Receipts in the orders set out in Sections 6 and 7, and make the drawings on the Liquidity Reserve Fund and the General Reserve Fund described in Section 6;

(e) notify the Issuer, the Note Trustee and the Rating Agencies of the amounts of interest and principal payable on each class of Notes, for publication to the Noteholders in accordance with the Conditions;

(f) invest funds standing to the credit of the Issuer Accounts in Authorised Investments, as described below;

(g) prepare the Investor Report described in Section 14 and the reports required by the Securitisation Regulations described in Section 17; and

(h) make the calculations and payments due under the Swap Agreement.

A "Collection Period" is each period from (but excluding) a Calculation Date to (and including) the next Calculation Date, except that the first Collection Period runs from (but excluding) the Portfolio Reference Date, 31 March 2026, to (and including) the Calculation Date immediately before the First Interest Payment Date. All amounts received on the Mortgage Loans after the Portfolio Reference Date belong to the Issuer.

If the Cash Manager has not received a Monthly Mortgage Administration Report for any month of a Collection Period by the relevant Calculation Date, it will estimate the Available Revenue Receipts and the Available Principal Receipts for that month on the basis of the three most recent Monthly Mortgage Administration Reports it has received. When the missing report is received, the Cash Manager will reconcile the estimate with the actual receipts and make the corresponding adjustments on the next Interest Payment Date.

The appointment of the Cash Manager may be terminated by the Issuer or the Security Trustee on the occurrence of events equivalent to the Mortgage Administrator Termination Events described in Section 14. The Cash Manager may resign on not less than twelve months' notice. No termination or resignation will take effect until a substitute cash manager, experienced in the cash management of securitisation transactions, has been appointed on substantially the same terms. If the long-term ratings of the Society fall below the levels specified in the Cash Management Agreement, the Issuer, with the assistance of the Corporate Services Provider, will use reasonable endeavours to appoint a back-up cash manager.

Revenue and principal receipts

The "Available Revenue Receipts" for each Interest Payment Date will be, in summary, the aggregate of:

(a) the revenue receipts on the Mortgage Loans received in the Collection Period, being payments of interest, fees, early repayment charges and other amounts that are not principal, and recoveries received after the sale of a property in possession;

(b) the part of the repurchase price of any Mortgage Loan repurchased by the Seller in the Collection Period that represents accrued interest;

(c) interest received on the Issuer Accounts and income from Authorised Investments;

(d) the net amounts received by the Issuer under the Swap Agreement, other than termination payments applied to the cost of a replacement swap and amounts of collateral;

(e) the amounts drawn from the Liquidity Reserve Fund and the General Reserve Fund, in the circumstances described in Section 6;

(f) any Available Principal Receipts applied to a revenue shortfall under item (a) of the Principal Priority of Payments in Section 7; and

(g) any excess Available Principal Receipts transferred under item (g) of the Principal Priority of Payments.

The "Available Principal Receipts" for each Interest Payment Date will be, in summary, the aggregate of:

(a) the principal receipts on the Mortgage Loans received in the Collection Period, including scheduled repayments, overpayments, redemptions and the proceeds of enforcement applied to principal;

(b) the part of the repurchase price of any Mortgage Loan repurchased by the Seller in the Collection Period that represents principal; and

(c) the amounts credited to the Principal Deficiency Ledger from Available Revenue Receipts on that Interest Payment Date, in accordance with Section 6.

The Collection Account and the Collection Account Declaration of Trust

The borrowers pay their monthly instalments into an account in the name of the Society (the "Collection Account") held with Halcyon Bank plc (the "Collection Account Bank"). The Collection Account receives payments on the Mortgage Loans and also on other mortgage loans of the Society that have not been sold to the Issuer, including the mortgage loans comprised in the retained exposures described in Section 17.

Because the Collection Account receives the Society's own funds as well as those of the Issuer, the Society will, on the Issue Date, declare a trust over the Collection Account (the "Collection Account Declaration of Trust"), under which it will hold the amounts standing to the credit of the Collection

Account that derive from the Mortgage Loans on trust for the Issuer, and the remaining amounts on trust for itself and for the beneficiaries of other declarations of trust over the Collection Account, if any. The Collection Account Declaration of Trust is intended to ensure that the Issuer's share of the amounts in the Collection Account does not form part of the Society's estate if the Society becomes insolvent. The amounts paid into the Collection Account in respect of the Scottish Mortgage Loans are held on trust for the Issuer under the same declaration.

The Mortgage Administrator will transfer the amounts received in the Collection Account that derive from the Mortgage Loans to the Transaction Account no later than the Business Day following the day on which they are identified as cleared funds. The Mortgage Administrator may not use the amounts held on trust for the Issuer for any other purpose. If a direct debit is reversed after its amount has been transferred to the Transaction Account, the Mortgage Administrator may deduct the reversed amount from subsequent transfers.

If the Collection Account Bank ceases to have the ratings specified in the Collection Account Declaration of Trust, the Society will transfer the Collection Account to a bank with those ratings within thirty days, or take such other action as the Rating Agencies confirm will not adversely affect the ratings of the Notes. A risk remains that, during the period between the receipt of an amount in the Collection Account and its transfer to the Transaction Account, the amount may be affected by the insolvency of the Society or of the Collection Account Bank. The risk is described in Section 1.

The Issuer Accounts

The Issuer will maintain the following accounts with Halcyon Bank plc (the "Account Bank") under a bank account agreement between the Issuer, the Account Bank, the Cash Manager and the Security Trustee (the "Bank Account Agreement") (together, the "Issuer Accounts"):

(a) the transaction account (the "Transaction Account"), into which the Mortgage Administrator transfers the receipts on the Mortgage Loans, the Swap Provider pays the net amounts due to the Issuer under the Swap Agreement, and from which the Cash Manager makes the payments on each Interest Payment Date;

(b) the general reserve account (the "General Reserve Account"), to which the General Reserve Fund is credited;

(c) the liquidity reserve account (the "Liquidity Reserve Account"), to which the Liquidity Reserve Fund is credited; and

(d) the swap collateral account (the "Swap Collateral Account"), to which any collateral transferred by the Swap Provider under the Swap Agreement is credited.

Each of the Issuer Accounts is charged by the Issuer in favour of the Security Trustee under the Deed of Charge. The Account Bank pays interest on the balances of the Issuer Accounts at the rate agreed in the Bank Account Agreement, which may be lower than the rate of interest on the Notes. No account may be overdrawn.

The Cash Manager may invest amounts standing to the credit of the Transaction Account, the General Reserve Account and the Liquidity Reserve Account in sterling demand or time deposits, certificates of deposit and short-term debt obligations that meet the rating requirements of the Rating Agencies and mature no later than the Business Day before the next Interest Payment Date (the "Authorised Investments"). Authorised Investments must not be securitisation positions. Amounts in the Swap Collateral Account may not be invested except as the Swap Agreement permits.

The Issuer ledgers

The Cash Manager will maintain the following ledgers in the books of the Issuer, which record the amounts held by the Issuer for each purpose; they are not separate bank accounts.

(a) The "Revenue Ledger" records the revenue receipts of the Issuer and their application in accordance with the Revenue Priority of Payments.

(b) The "Principal Ledger" records the principal receipts of the Issuer and their application in accordance with the Principal Priority of Payments.

(c) The "Principal Deficiency Ledger", which comprises one sub-ledger for each class of Notes, records the Realised Losses on the Mortgage Loans and the Available Principal Receipts applied to pay a revenue shortfall, as described in Section 5. Debits are recorded on the Class Z sub-ledger first and then on each more senior sub-ledger in turn, up to the principal amount outstanding of the relevant class of Notes, and are cleared by credits from Available Revenue Receipts in the order set out in Section 6.

(d) The "General Reserve Ledger" and the "Liquidity Reserve Ledger" record the amounts of the General Reserve Fund and the Liquidity Reserve Fund, their drawings and their replenishment.

(e) The "Swap Collateral Ledger" records the collateral received from, and returned to, the Swap Provider.

The reserve funds

The Issuer will establish two reserve funds on the Issue Date: the General Reserve Fund, held in the General Reserve Account, and the Liquidity Reserve Fund, held in the Liquidity Reserve Account. Both are funded on the Issue Date from the proceeds of the Subordinated Loan made by the Seller. Their required amounts, their uses and the classes of Notes they support are set out in Section 5, and the order in which they are drawn and replenished is set out in Section 6. The amounts drawn from either reserve fund on an Interest Payment Date form part of the Available Revenue Receipts for that Interest Payment Date and are recorded as a debit on the General Reserve Ledger or the Liquidity Reserve Ledger. The level of the General Reserve Fund is also relevant to the Reserve Trigger described in Section 8.

The interest rate swap

Purpose. The Fixed Rate Loans bear interest at fixed rates for their Fixed Rate Period, while the Class A, Class B, Class C and Class D Notes bear interest at Compounded Daily SONIA plus a margin. If Compounded Daily SONIA rose, the interest received on the Fixed Rate Loans would not rise with it, and the Issuer might not have enough revenue to pay interest on the Notes. To hedge that risk, the Issuer will enter into an interest rate swap transaction (the "Swap") with Halcyon Bank plc (the "Swap Provider") under an ISDA master agreement, a schedule, a credit support annex and a confirmation (together, the "Swap Agreement"). The Swap Agreement is governed by English law.

Mechanics. On each Interest Payment Date:

(a) the Issuer will pay to the Swap Provider an amount equal to a fixed rate, set on the Issue Date, applied to the Notional Amount for the relevant calculation period; and

(b) the Swap Provider will pay to the Issuer an amount equal to Compounded Daily SONIA for that calculation period applied to the same Notional Amount.

The two amounts are netted, and only the net amount is paid, by the party owing the larger amount. A net amount due to the Swap Provider ranks at item (c) of the Revenue Priority of Payments in Section 6, ahead of interest on the Notes. A net amount due to the Issuer forms part of the Available Revenue Receipts.

The "Notional Amount" for each calculation period is the lower of (a) the amount for that period set out in a schedule to the confirmation, which was calculated on the Issue Date on the assumption

that the Fixed Rate Loans amortise in accordance with their terms, are not in default and prepay at a constant rate, and which reduces to zero as each Fixed Rate Loan reaches the end of its Fixed Rate Period, and (b) the aggregate current balance of the Mortgage Loans that are Fixed Rate Loans in their original Fixed Rate Period at the start of the period. The Swap therefore hedges only the original Fixed Rate Period of the Fixed Rate Loans in the Provisional Portfolio, as stated in Section 1. It does not hedge the Tracker Loans, the Mortgage Loans at the Standard Variable Rate, or Mortgage Loans that become Fixed Rate Loans by a Product Switch after the Issue Date. The mismatch between the Bank Rate and the Standard Variable Rate, on the one hand, and Compounded Daily SONIA, on the other, is not hedged, and the resulting basis risk is described in Section 1.

Termination. The Swap Agreement may be terminated early on the occurrence of an event of default or a termination event under it, which include: the failure of either party to make a payment when due, subject to a grace period; the insolvency of either party; the delivery of an enforcement notice in relation to the Notes; the redemption of all of the Notes; a change in tax law that requires a party to deduct tax from its payments; and the failure of the Swap Provider to take the action required on a downgrade described below. On early termination, a termination payment may be due from either party, calculated on the basis of market quotations for a replacement transaction or of the loss of the non-defaulting party.

A termination payment due from the Issuer ranks at item (c) of the Revenue Priority of Payments, unless the Swap Agreement was terminated because the Swap Provider was the defaulting party or because of the Swap Provider's failure to take the action required on a downgrade, in which case it ranks at item (o) as a subordinated swap termination payment. Any premium received by the Issuer from a replacement swap provider will be applied first to pay any termination payment due to the outgoing Swap Provider, and any termination payment received by the Issuer will be applied first to the cost of entering into a replacement swap. Neither amount forms part of the Available Revenue Receipts except to the extent that it exceeds the amount so applied.

Tax. If the Swap Provider is required by law to deduct tax from its payments, it must gross up its payments so that the Issuer receives the amount it would have received without the deduction. The Issuer is not required to gross up its payments to the Swap Provider.

Rating triggers: the Swap Provider

The Swap Agreement contains rating triggers set by reference to the criteria of the Rating Agencies. If the ratings of the Swap Provider, or of any guarantor of its obligations, fall below the first level of ratings specified in the Swap Agreement (the "Initial Required Ratings"), the Swap Provider must, at its own cost, within the period set out in the Swap Agreement (normally fourteen days), transfer collateral to the Swap Collateral Account in accordance with the credit support annex, or transfer its obligations to an entity with the Initial Required Ratings, or obtain a guarantee from such an entity.

If the ratings of the Swap Provider fall below a second and lower level of ratings specified in the Swap Agreement (the "Subsequent Required Ratings"), the Swap Provider must, at its own cost, within the period set out in the Swap Agreement (normally thirty days), transfer its obligations to an entity with the required ratings or obtain a guarantee from such an entity, and must in the meantime continue to transfer collateral, in a greater amount, under the credit support annex. If the Swap Provider fails to take the required action within the required period, an additional termination event will occur, and the Issuer may terminate the Swap Agreement.

Collateral transferred by the Swap Provider is held in the Swap Collateral Account and recorded on the Swap Collateral Ledger. It does not form part of the Available Revenue Receipts or the Available Principal Receipts, and is not applied in the Revenue Priority of Payments. It may be applied only to satisfy the obligations of the Swap Provider under the Swap Agreement on its termination, or returned to the Swap Provider, in accordance with the credit support annex.

Rating triggers: the Account Bank

If the Account Bank ceases to have the ratings specified in the Bank Account Agreement by reference to the criteria of the Rating Agencies (the "Account Bank Required Ratings"), the Cash Manager, on behalf of the Issuer, must, within thirty calendar days of the downgrade (or such longer period as the Rating Agencies confirm will not adversely affect the ratings of the Notes):

(a) close the Issuer Accounts and open replacement accounts on substantially the same terms with a bank that has the Account Bank Required Ratings, and transfer to them the balances of the Issuer Accounts; or

(b) obtain a guarantee of the obligations of the Account Bank from a bank that has the Account Bank Required Ratings; or

(c) take such other action as the Rating Agencies confirm will not adversely affect the ratings of the Notes.

Authorised Investments held with or issued by the Account Bank must be realised or transferred on the same basis. The costs of the replacement are borne by the outgoing Account Bank, to the extent set out in the Bank Account Agreement.

Conflicts of interest of Halcyon Bank plc

Halcyon Bank plc acts in this transaction as the Arranger, the Account Bank, the Collection Account Bank and the Swap Provider. In each of these roles it acts in its own interest and under the terms of the relevant Transaction Document, and it owes no fiduciary duty to the Noteholders. Its rights as Swap Provider, including its right to a termination payment ranking ahead of interest on the Notes, may conflict with the interests of the Noteholders. A downgrade of Halcyon Bank plc would affect its roles as Account Bank, Collection Account Bank and Swap Provider at the same time, and the rating triggers described in this Section 15 would then require the replacement of more than one counterparty within a short period. The risks arising from these concentrations are described in Section 1.

Section 16 — Weighted Average Lives

The weighted average life of a Note is the average time, in years from the Issue Date, until each pound of its principal amount is repaid, weighted by the principal repaid. It depends on the rate at which Borrowers repay their Loans early, which cannot be predicted. The tables below are calculated on the following assumptions (the "Modelling Assumptions"):

(a) the Portfolio amortises as a single level-payment loan with the weighted average interest rate and weighted average remaining term shown in Section 13;

(b) the Loans prepay at the constant annual rate shown (the "Constant Prepayment Rate"), applied monthly;

(c) no Loan is in arrears, defaults or is repurchased, no Realised Loss occurs and no Sequential Payment Trigger occurs;

(d) principal is paid sequentially until the credit enhancement of the Class A Notes reaches twice its level on the Issue Date, and pro rata to the Class A to D Notes after that, as described in Section 7;

(e) Interest Payment Dates fall quarterly from 20 July 2026; and

(f) in Table 16.1 the Issuer redeems all the Notes on the Step-Up Date, 20 July 2031; in Table 16.2 it does not, but redeems them on the first Interest Payment Date on which the Portfolio is less than 10 per cent of its balance on the Issue Date.

The actual weighted average lives will differ from those shown, and the differences may be material.

Table 16.1 — Weighted average lives in years, assuming redemption on the Step-Up Date

Constant prepayment rate	Class A	Class B	Class C	Class D	Class Z
0 per cent	4.83	5.18	5.18	5.18	5.18
5 per cent	4.10	5.18	5.18	5.18	5.18
10 per cent	3.46	5.14	5.14	5.14	5.18
15 per cent	2.94	4.84	4.84	4.84	5.18
20 per cent	2.51	4.34	4.34	4.34	5.18
25 per cent	2.14	3.81	3.81	3.81	5.18
30 per cent	1.82	3.16	3.16	3.16	4.44

Table 16.2 — Weighted average lives in years, assuming no redemption on the Step-Up Date

Constant prepayment rate	Class A	Class B	Class C	Class D	Class Z
0 per cent	13.70	20.21	20.21	20.21	23.18
5 per cent	6.43	10.32	10.32	10.32	12.69
10 per cent	4.32	7.15	7.15	7.15	9.18
15 per cent	3.24	5.59	5.59	5.59	7.18
20 per cent	2.58	4.53	4.53	4.53	5.94
25 per cent	2.14	3.81	3.81	3.81	5.18
30 per cent	1.82	3.16	3.16	3.16	4.44

Section 17 — Risk Retention and Regulatory Disclosures

The Seller retains a material net economic interest of not less than 5 per cent of the nominal value of the securitised exposures by holding randomly selected exposures, which would otherwise have been securitised, from a pool of not less than 100 potentially securitised exposures at origination, as required by the risk retention rules of the UK securitisation framework (SECN 5 of the FCA Handbook and the Securitisation Part of the PRA Rulebook). The Seller will not sell, hedge or otherwise mitigate the credit risk of the retained exposures, and will confirm its retention in each quarterly investor report.

Transparency and Reporting

The UK Securitisation Framework. The sale of the Mortgage Loans to the Issuer and the issue of the Notes constitute a "securitisation" within the meaning of the Securitisation Regulations 2024 (SI 2024/102) (the "Securitisation Regulations"). The obligations of the parties are set out in the Securitisation Regulations, in the securitisation sourcebook of the FCA Handbook ("SECN") and in the Securitisation Part of the PRA Rulebook (the "PRA Securitisation Rules"), together with the templates, guidance and statements of policy published under them (together, the "UK Securitisation Framework"). The Seller is a building society authorised by the PRA and regulated by the FCA and the PRA, and its obligations as originator in respect of risk retention, transparency and credit-granting are therefore set out in the PRA Securitisation Rules. The Issuer is a securitisation special purpose entity (an "SSPE") which is not authorised by the PRA, and its corresponding obligations are set out in SECN. The two sets of rules are in substance the same for the purposes described in this Section 17.

Designation of the Reporting Entity. The Seller, as originator, and the Issuer, as SSPE, have designated the Seller as the entity responsible for fulfilling the transparency requirements of the UK Securitisation Framework in respect of the Notes (in that capacity, the "Reporting Entity"). The Seller will perform that role through its treasury function, using the information produced in its capacity as Mortgage Administrator and the calculations made in its capacity as Cash Manager. The Reporting Entity remains responsible for compliance with the transparency requirements whether or not it delegates any task to another person.

Information made available before pricing. Before the pricing of the Notes the Seller made available to potential investors:

(a) static and dynamic historical data on the arrears, default, possession, loss, recovery and prepayment performance of the owner-occupied residential mortgage loans originated by the Seller, covering a period of not less than five years, as referred to in Section 10;

(b) loan-level information on each Mortgage Loan in the Provisional Portfolio as at the Portfolio Reference Date, in the underlying exposures template for residential real estate set out in the UK Securitisation Framework;

(c) a liability cash flow model which precisely represents the contractual relationship between the Mortgage Loans and the payments flowing between the Seller, the Issuer, the Swap Provider, the Noteholders and the other parties to the transaction, which the Seller will continue to make available to Noteholders on an ongoing basis and to potential investors on request; and

(d) a draft of this Offering Circular and drafts of the Mortgage Sale Agreement, the Mortgage Administration Agreement, the Cash Management Agreement, the Swap Agreement, the Trust Deed and the Deed of Charge.

The final forms of this Offering Circular and of the Transaction Documents will be made available within the period after the Issue Date required by the UK Securitisation Framework.

Quarterly reporting. On each Interest Payment Date, beginning with the first Interest Payment Date on 20 July 2026, the Reporting Entity will make available:

(a) the Investor Report described in Section 14, prepared by the Cash Manager in the form of the investor report template for securitisations other than asset-backed commercial paper set out in the UK Securitisation Framework, which will include, among other things, the Available Revenue Receipts and the Available Principal Receipts and their application under the Revenue Priority of Payments and the Principal Priority of Payments, the principal amount outstanding of each class of Notes, the balances of the General Reserve Fund and the Liquidity Reserve Fund, the balance of each sub-ledger of the Principal Deficiency Ledger, the Arrears Ratio and the Cumulative Loss Ratio, whether the Arrears Trigger, the Cumulative Loss Trigger or the Reserve Trigger described in Section 8 has occurred, the net amounts paid or received under the Swap Agreement, and the confirmation of the Seller that it continues to hold the randomly selected exposures described above; and

(b) loan-level information on each Mortgage Loan as at the end of the immediately preceding collection period, in the underlying exposures template for residential real estate, in which each Mortgage Loan and each borrower is identified by a unique identifier which does not allow the borrower to be identified directly.

The Investor Report and the loan-level information will relate to the same collection period and will be made available no later than one month after the relevant Interest Payment Date, in accordance with the UK Securitisation Framework.

Inside information and significant events. The Reporting Entity will make available without delay any inside information relating to the Notes which the Issuer is required to make public under the UK market abuse regime, to the extent that regime applies, and any significant event which the UK Securitisation Framework requires to be disclosed, including:

(a) a material breach of the obligations provided for in the Transaction Documents, including any remedy, waiver or consent subsequently provided in relation to such a breach;

(b) a change in the structural features of the transaction that can materially affect its performance;

(c) a change in the risk characteristics of the transaction or of the Mortgage Loans that can materially affect the performance of the Notes;

(d) the occurrence of a Sequential Payment Trigger, the delivery of an enforcement notice or a Mortgage Administrator Termination Event;

(e) the replacement of the Mortgage Administrator, the Cash Manager, the Account Bank or the Swap Provider; and

(f) any material amendment to the Transaction Documents.

Private securitisation; securitisation repository. No application has been or will be made for the Notes to be admitted to trading on any trading venue, and no prospectus is required to be published in respect of the Notes under the UK prospectus regime. The securitisation is therefore expected to be a private securitisation for the purposes of the UK Securitisation Framework, and the requirement that the information on a public securitisation be made available through a securitisation repository registered with the FCA does not apply to it. The Reporting Entity will instead make the information described above available to the Noteholders, to the FCA and the PRA and, on request, to potential investors, through a secure investor reporting website maintained by the Society, access to which will be given to each Noteholder and to each potential investor which confirms that it is a professional investor. The Reporting Entity will also submit to the regulators the notification required in respect of private securitisations, in the form and within the period required by the UK Securitisation Framework, and will update it when the UK Securitisation Framework so requires. The website and its contents do not form part of this Offering Circular.

If the securitisation becomes subject to a requirement to make information available through a securitisation repository, the Reporting Entity will appoint a securitisation repository registered with the FCA, and its fees will be borne by the Issuer as an expense. If, as has been proposed, the requirement to report through a securitisation repository is removed from the UK Securitisation Framework, the Reporting Entity will continue to make the information available through the website described above.

Bank of England reporting. The Seller may, in its discretion, make loan-level data on the Mortgage Loans available in the form required by the Bank of England for residential mortgage-backed securities offered as collateral in its Sterling Monetary Framework. No representation is made that any class of Notes is or will become eligible collateral for the Bank of England or any other central bank, and the Seller is under no obligation to make any application for that purpose or to continue to provide information in that form.

Review of the UK Securitisation Framework. HM Treasury, the FCA and the PRA have proposed amendments to the UK Securitisation Framework which, among other things, would revise the underlying exposures templates for residential real estate and the investor report requirements, remove the securitisation repository regime, alter the notification required for private securitisations and simplify the due diligence obligations of institutional investors. Those amendments may be made in a form, and with effect from a date, different from those proposed. The Reporting Entity may change the form, the content, the frequency (subject to the minimum frequency required) or the channel of the reports described in this Section 17 to the extent that an amendment to the UK Securitisation Framework permits or requires it, without the consent of the Noteholders.

Credit-Granting Criteria

The UK Securitisation Framework requires the originator to apply to the exposures to be securitised the same sound and well-defined criteria for credit-granting which it applies to non-securitised exposures, to apply the same clearly established processes for approving and, where relevant, amending, renewing and refinancing credits, and to have effective systems in place to apply those criteria and processes. In the case of residential mortgage loans, the pool of underlying exposures must not include any loan that was marketed and underwritten on the premise that the loan applicant or, where applicable, an intermediary was made aware that the information provided by the applicant might not be verified by the lender.

The Seller has confirmed to the Issuer that:

(a) each Mortgage Loan was originated in the ordinary course of its business under the Lending Criteria described in Section 11, which are the criteria that the Seller applied, at the time of origination, to all the owner-occupied residential mortgage loans that it originated, whether or not they were later securitised;

(b) it has effective systems in place to apply those criteria and its processes for approving, amending and refinancing mortgage loans, including the Product Switch Conditions described in Section 11;

(c) before entering into each Mortgage Loan, it assessed the borrower's creditworthiness and the affordability of the loan in accordance with the responsible lending requirements of MCOB 11.6 then in force, as described in Section 11; and

(d) no Mortgage Loan was marketed or underwritten on the premise that the information provided by the applicant might not be verified, and no Mortgage Loan is a self-certified mortgage loan.

The Mortgage Loans do not include any securitisation position, and the securitisation is not a resecuritisation. The Loan Warranties in Section 12 include warranties on the arrears and insolvency status of the borrowers at the Portfolio Reference Date, to which investors should refer.

Due Diligence Requirements for Institutional Investors

UK institutional investors. Institutional investors subject to the UK Securitisation Framework, including credit institutions, investment firms, insurance and reinsurance undertakings, UK alternative investment fund managers, UK UCITS management companies and the trustees and managers of occupational pension schemes, must comply with the due diligence requirements that apply to them before holding a securitisation position and for as long as they hold it. For FCA-regulated institutional investors those requirements are set out in SECN 4; for PRA-authorised persons they are set out in the PRA Securitisation Rules; and for occupational pension schemes they are set out in the Securitisation Regulations and the rules made under them.

Before holding a Note, such an investor must, among other things, verify that the Seller grants credit on the basis of sound and well-defined criteria and clearly established processes, verify that the Seller retains a material net economic interest in accordance with the UK Securitisation Framework and that the retention is disclosed, verify that the information required by the UK Securitisation Framework has been made available, and carry out a due diligence assessment which enables it to assess the risks involved, including the risk characteristics of the Notes and of the Mortgage Loans and all the structural features of the transaction that can materially affect the performance of the Notes, such as the Revenue Priority of Payments and the Principal Priority of Payments, the Sequential Payment Trigger, the Swap, the reserve funds and the Step-Up Date. While it holds a Note, the investor must monitor its position and the performance of the Mortgage Loans under written procedures, perform stress tests appropriate to its position, report to its management body, and be able to demonstrate to its regulator that it understands the Notes and the Mortgage Loans and has implemented the required policies and procedures. Failure to comply may result in additional regulatory capital charges or other measures being imposed on the investor by its regulator.

EEA institutional investors. Institutional investors established in the EEA are subject to the due diligence requirements of Article 5 of Regulation (EU) 2017/2402 (as amended, the "EU Securitisation Regulation"). Where, as in the case of the Seller, the originator is established outside the European Union, an EEA institutional investor must verify, among other things, that the originator retains on an ongoing basis a material net economic interest determined in accordance with Article 6 of the EU Securitisation Regulation, and that the information required by Article 7 of the EU Securitisation Regulation has been made available in accordance with the frequency and modalities provided for in that Article.

The Seller intends that its retention of randomly selected exposures described above will also satisfy the requirements of Article 6 of the EU Securitisation Regulation as in force on the Issue Date, and the Seller is not an entity established or operating for the sole purpose of securitising exposures. However, the Seller has undertaken to retain its interest only by reference to the UK Securitisation Framework; it has not undertaken to comply with the EU Securitisation Regulation, and it will make the information described in this Section 17 available in the forms required by the UK Securitisation Framework, not in the templates adopted under the EU Securitisation Regulation and not through a securitisation repository registered in the European Union. Amendments to the EU Securitisation Regulation, including amendments to the information that an EEA institutional investor must verify in respect of a securitisation whose originator is established outside the European Union, have been proposed and are in the course of the EU legislative process. Each EEA institutional investor must make its own assessment, with its own advisers, of whether the information made available is sufficient for it to comply with Article 5 of the EU Securitisation Regulation as in force from time to time.

None of the Issuer, the Seller, the Arranger, the Note Trustee and the Security Trustee makes any representation that the information in this Offering Circular, or the information to be made available after the Issue Date, is sufficient for any investor to comply with the due diligence requirements that apply to it, and none of them will monitor the Seller's compliance with its retention undertaking; the Note Trustee and the Security Trustee will rely on the confirmations in the Investor Reports

without further enquiry.

Simple, Transparent and Standardised Securitisation

The securitisation has not been, and is not intended to be, designated as a simple, transparent and standardised securitisation within the meaning of the UK Securitisation Framework ("UK STS"). No notification has been or will be made to the FCA that the securitisation meets the UK STS requirements, and no third party has been appointed to verify compliance with them. The securitisation is also not a simple, transparent and standardised securitisation within the meaning of the EU Securitisation Regulation, a designation which is not available where the originator, the sponsor and the SSPE are established outside the European Union. The Notes will therefore not benefit from the regulatory treatment which certain investors may apply to UK STS securitisation positions, and investors should not assume that the securitisation would meet the UK STS criteria if a notification were made.

Regulatory Capital and Liquidity Treatment

None of the Issuer, the Seller, the Arranger, the Note Trustee and the Security Trustee makes any representation to any prospective investor or purchaser of the Notes as to the regulatory capital treatment of the Notes, as to whether any class of Notes qualifies as high quality liquid assets for the purposes of the liquidity coverage ratio rules that apply to the investor, or as to the treatment of the Notes under any other prudential regime, on the Issue Date or at any time in the future.

Investors subject to the prudential requirements of the PRA, or to Regulation (EU) No 575/2013 (as amended), should note that the capital treatment of a securitisation position depends, among other things, on whether the position is an STS position, on the approach to the calculation of risk-weighted exposure amounts that the investor is permitted to use and on the investor's compliance with its due diligence requirements. Because the securitisation is not designated as UK STS, the Notes are not expected to qualify as Level 2B assets under the liquidity coverage ratio rules that apply to UK institutions, which require, among other conditions, that a securitisation position be a UK STS position, nor under the equivalent EU rules. Insurance and reinsurance undertakings subject to Solvency UK or to the EU Solvency II regime should consider the spread risk capital requirements that apply to securitisation positions which are not STS positions. The prudential rules that apply to securitisation positions continue to change, and investors should consult their own advisers.

UK EMIR and the Swap

The Issuer will enter into the Swap with the Swap Provider, as described in Section 15. The Swap is an over-the-counter derivative contract for the purposes of Regulation (EU) No 648/2012 as it forms part of domestic law by virtue of the EUWA ("UK EMIR"). The Issuer is not a financial counterparty for the purposes of UK EMIR and expects to be a non-financial counterparty whose positions in over-the-counter derivative contracts, excluding contracts entered into to reduce risks directly relating to its commercial activity or treasury financing activity, do not exceed the clearing thresholds. On that basis the Issuer does not expect to be subject to the clearing obligation or to the requirement to exchange collateral under the UK EMIR risk mitigation rules, but it will be subject to the other risk mitigation requirements, such as timely confirmation and portfolio reconciliation, which the Swap Agreement provides for. As the Swap Provider is a financial counterparty, it will be responsible under UK EMIR for reporting the Swap to a trade repository on behalf of both parties. If the Issuer's status under UK EMIR changed, it could become subject to the clearing obligation or to the margin requirements, which could increase its costs or require the amendment or termination of the Swap.

Regulated Mortgage Activities

The Mortgage Loans are regulated mortgage contracts for the purposes of FSMA. Under the Mortgage Sale Agreement the Issuer will acquire the beneficial interest in the Mortgage Loans, and legal title will remain with the Seller until the events described in Section 10. The Issuer is not, and does not propose to become, authorised by the FCA to carry on regulated mortgage activities. It will rely on the exclusion which applies where the administration of a regulated mortgage contract is carried on, under an arrangement, by a person who has permission to administer regulated mortgage contracts. The Mortgage Administrator has that permission, and the Mortgage Administration Agreement requires any substitute mortgage administrator to have it.

United States Regulatory Matters

The Volcker Rule. Section 13 of the United States Bank Holding Company Act of 1956, as amended, and its implementing regulations (the "Volcker Rule") generally prohibit "banking entities" from acquiring or retaining an ownership interest in, or sponsoring, a "covered fund", subject to certain exemptions and exclusions. The Issuer is of the view that it is not, and immediately after the issue of the Notes and the application of the proceeds will not be, a covered fund, because it may rely on an exemption or exclusion from the definition of "investment company" under the United States Investment Company Act of 1940, as amended, other than the exemptions in section 3(c)(1) and section 3(c)(7) of that Act; other exclusions may also be available. No assurance is given that any regulator or court would agree with that view, and any investor that is a banking entity should consult its own advisers.

United States risk retention. The credit risk retention regulations adopted under Section 15G of the United States Securities Exchange Act of 1934, as amended (the "U.S. Risk Retention Rules"), generally require the sponsor of a securitisation transaction to retain not less than 5 per cent of the credit risk of the securitised assets. The Seller does not intend to retain a credit risk interest for the purposes of the U.S. Risk Retention Rules, and intends to rely on the exemption for certain foreign-related transactions. That exemption is available if, among other conditions, the transaction is not registered under the Securities Act, no more than 10 per cent of the value of all classes of securities issued is sold or transferred to, or for the account or benefit of, U.S. persons as defined in the U.S. Risk Retention Rules ("Risk Retention U.S. Persons"), neither the sponsor nor the issuer is organised under the laws of, or is a branch located in, the United States, and no more than 25 per cent of the securitised assets were acquired from an affiliate or branch of the sponsor or the issuer organised or located in the United States. The Notes are offered only outside the United States in reliance on Regulation S under the Securities Act, and the Notes may not be purchased by Risk Retention U.S. Persons without the prior written consent of the Seller.

Benchmarks and Credit Rating Agencies

Benchmarks. Interest on the Class A, Class B, Class C and Class D Notes is calculated by reference to Compounded Daily SONIA, as described in Section 3 and in the Conditions set out in Section 4, and the interest rate on the Tracker Loans is determined by reference to the Bank of England's Bank Rate. Both are provided by the Bank of England which, as a central bank, is outside the scope of the UK Benchmarks Regulation, as stated in the Important Notice. The Issuer is not a supervised entity for the purposes of the requirement of the UK Benchmarks Regulation to maintain written plans for the cessation of a benchmark. The Conditions set out the fallback provisions which apply if SONIA ceases to be provided.

Credit rating agencies. Each of the Rating Agencies is established in the United Kingdom and registered under the UK CRA Regulation. The UK CRA Regulation requires an issuer which intends to solicit a credit rating of a structured finance instrument to appoint at least two credit rating agencies and to consider appointing at least one credit rating agency with a small market share, and the Issuer has complied with those requirements. The Class Z Notes will not be rated.

Section 18 — United Kingdom Taxation

General

The following is a general summary of the Issuer's understanding of current United Kingdom tax law and of the published practice of HM Revenue & Customs ("HMRC"), which may not be binding on HMRC, in relation to:

(a) the United Kingdom withholding tax treatment of payments of interest on the Notes;

(b) United Kingdom stamp duty and stamp duty reserve tax on the issue and transfer of the Notes and on the sale of the Mortgage Loans;

(c) the United Kingdom corporation tax treatment of the Issuer under the Securitisation Company Regulations; and

(d) certain related matters.

It does not deal with any other aspect of the United Kingdom taxation of acquiring, holding or disposing of the Notes. It relates only to persons who are the absolute beneficial owners of their Notes and of the payments on them, and it may not apply to certain classes of person, such as dealers in securities, persons connected with the Issuer, and persons who hold the Notes in connection with a trade carried on in the United Kingdom through a permanent establishment or branch, to whom special rules may apply. The law and practice described below may change, possibly with retrospective effect. This summary is not tax advice. Prospective Noteholders who are in any doubt as to their tax position, or who may be subject to tax in a jurisdiction other than the United Kingdom, should consult their own professional advisers. The tax law of a Noteholder's jurisdiction and of the United Kingdom may affect the income received from the Notes.

Withholding Tax on Interest

The general rule. The Issuer is incorporated in England and Wales and is resident in the United Kingdom for tax purposes, and interest on the Class A Notes, the Class B Notes, the Class C Notes and the Class D Notes will have a United Kingdom source. As the Notes may remain outstanding for more than one year, that interest is expected to be "yearly interest" for United Kingdom tax purposes. A company which pays yearly interest with a United Kingdom source is generally required to deduct income tax at the basic rate (currently 20 per cent) from the payment, unless an exemption or relief applies or HMRC has given a direction to the contrary under an applicable double taxation treaty.

No quoted Eurobond exemption. The exemption for "quoted Eurobonds" in section 882 of the Income Tax Act 2007 (the "ITA 2007") applies only to securities which are, and continue to be, listed on a recognised stock exchange or admitted to trading on a multilateral trading facility operated by a regulated recognised stock exchange. No application has been or will be made for the Notes to be listed or admitted to trading, and that exemption is therefore not available.

The qualifying private placement exemption. Section 888A of the ITA 2007 and the Income Tax (Qualifying Private Placement) Regulations 2015 (SI 2015/2002) (together, the "QPP Rules") provide that the duty to deduct income tax does not apply to a payment of interest on a security which is a "qualifying private placement". In summary, and without describing every condition, the Issuer may pay interest on a Note without deduction under the QPP Rules where:

(a) the Note is a security representing a loan relationship to which the Issuer, a company, is party as debtor;

(b) the Note is not listed on a recognised stock exchange;

(c) the term of the Note does not exceed 50 years, a condition which is satisfied because the Final Maturity Date of the Notes is 20 July 2064;

(d) the aggregate value of the securities issued under the arrangement is not less than £10 million;

(e) the person beneficially entitled to the interest is resident in a "qualifying territory", meaning a territory with which the United Kingdom has a double taxation treaty containing a non-discrimination provision, and is not connected with the Issuer;

(f) that person holds the Note for genuine commercial reasons and not as part of a tax advantage scheme, and the Issuer has issued the Notes for genuine commercial reasons and not as part of a tax advantage scheme; and

(g) the Issuer has received from that person a certificate (a "Creditor Certificate") confirming its beneficial entitlement to the interest, its residence in a qualifying territory and the absence of any connection with the Issuer, and the Issuer has no reason to believe that any statement in it is incorrect.

As the Notes are held in global registered form through the clearing systems, the Issuer can apply the QPP Rules only to interest to which a Noteholder is beneficially entitled and in respect of which a valid Creditor Certificate has been delivered, through the procedures agreed with the paying agent and the clearing systems, before the relevant Interest Payment Date.

Payments to United Kingdom companies and other exempt recipients. The Issuer may also pay interest on the Notes without deduction where it reasonably believes, at the time of the payment, that the person beneficially entitled to the interest is a company resident in the United Kingdom, or a non-resident company carrying on a trade in the United Kingdom through a permanent establishment which is required to bring the interest into account in calculating its chargeable profits, or another person listed in sections 933 to 937 of the ITA 2007. If that belief proves to be incorrect, the Issuer may be liable to account for the tax that it should have deducted, together with interest and, in certain circumstances, penalties.

Treaty relief. A Noteholder resident in a jurisdiction which has a double taxation treaty with the United Kingdom may be entitled to receive interest without deduction, or subject to deduction at a reduced rate, if HMRC directs the Issuer accordingly following a claim by that Noteholder in the prescribed form, or may recover from HMRC some or all of any tax deducted. A direction does not apply to payments made before it is given.

The Class Z Notes. The Class Z Notes do not bear interest, and the rules on the deduction of tax from payments of interest described above therefore do not apply to them. Payments of principal on any class of Notes may be made without deduction for or on account of United Kingdom income tax.

Consequences of a deduction. If interest on the Notes is paid subject to a deduction of United Kingdom income tax, neither the Issuer nor any other person will be obliged to pay any additional amount to the Noteholders in respect of the amount deducted, as provided in the Conditions set out in Section 4. A change in law which requires such a deduction may entitle the Issuer to redeem the Notes in the circumstances set out in the Conditions.

Payments under the Swap Agreement. Payments made by the Swap Provider to the Issuer, and by the Issuer to the Swap Provider, under the Swap Agreement are not expected to be payments of interest and are therefore not expected to be subject to any deduction for or on account of United Kingdom tax. If a deduction were required as a result of a change in law, the consequences would be those set out in the Swap Agreement and described in Section 15.

Provision of Information

HMRC has powers to obtain information and documents relating to securities, including information about payments of interest on the Notes and about the persons for whom, or on whose behalf, those payments are made or received. A paying agent or other person in the United Kingdom which

pays interest to, or receives interest for the benefit of, a Noteholder may be required to provide that information to HMRC, which may exchange it with the tax authorities of other jurisdictions under international agreements. The Issuer may also be required to collect and report information about Noteholders under the International Tax Compliance Regulations 2015 (SI 2015/878), which implement in the United Kingdom the Common Reporting Standard and the intergovernmental agreement between the United Kingdom and the United States relating to the United States Foreign Account Tax Compliance Act. Each Noteholder will be required to provide the information reasonably requested for these purposes, as set out in the Conditions.

Stamp Duty and Stamp Duty Reserve Tax

The Notes. No United Kingdom stamp duty or stamp duty reserve tax ("SDRT") should be payable on the issue of the Notes, on their delivery into the clearing systems, or on a transfer of the Notes or of interests in them, whether by book-entry transfer within the clearing systems or by an instrument of transfer of a Note in definitive form. That is because the Notes are expected to constitute "loan capital" within section 78 of the Finance Act 1986 and to fall within the exemption in section 79(4) of that Act, on the basis that:

(a) they carry no right of conversion into, or acquisition of, shares or other securities;

(b) they carry no right to interest the amount of which exceeds a reasonable commercial return on their nominal amount, or which is determined by reference to the results of a business or the value of any property; and

(c) they carry no right on repayment to an amount which exceeds their nominal amount and is not reasonably comparable with what is generally repayable in respect of similar loan capital listed on the Official List.

The Mortgage Loans. No United Kingdom stamp duty should be payable on the sale of the English Mortgage Loans to the Issuer under the Mortgage Sale Agreement, on the Scottish Declaration of Trust, or on the grant of security by the Issuer under the Deed of Charge, because stamp duty is now chargeable only on instruments transferring stock or marketable securities, and the Mortgage Loans and their Related Security are neither. No stamp duty land tax, land and buildings transaction tax or land transaction tax should be payable in respect of the sale of the Mortgage Loans or of the transfer of legal title on perfection, because an interest held by way of security for the payment of money is an exempt interest for the purposes of each of those taxes.

Taxation of the Issuer

The Securitisation Company Regulations. The Issuer expects to be a "note-issuing company" within the meaning of the Securitisation Company Regulations, and therefore a "securitisation company" for their purposes. A securitisation company is subject to United Kingdom corporation tax by reference to its "retained profit", that is, broadly, the amount of profit which the Transaction Documents provide that it is to retain for its own benefit in each accounting period, and not by reference to the profits shown in its statutory accounts. The amounts which the Issuer receives and pays under the Transaction Documents, including the timing differences between its accounting profits and its cash flows, the accounting treatment of the Swap and any impairment of the Mortgage Loans, are disregarded in computing its taxable profits except to the extent of its retained profit. The Transaction Documents provide for the Issuer to retain a small amount of profit in each accounting period, and the Issuer expects its liability to corporation tax to be limited to tax on that retained profit at the prevailing rate.

Conditions of the regime. The application of the Securitisation Company Regulations depends on the Issuer continuing to satisfy their conditions, including conditions relating to the nature of its business and its assets, the issue of capital market investments as part of a capital market arrangement, the payments which it makes and receives, and the absence of any arrangement of which

the main purpose, or one of the main purposes, is to secure a tax advantage for any person. The Issuer has covenanted in the Conditions not to take any action which would cause it to cease to be a securitisation company. If the Issuer ceased to qualify, it could become liable to tax on its accounting profits, which in any accounting period could exceed its cash income and its retained profit, as described in Section 1. A change in the tax treatment of the Issuer may entitle the Issuer to redeem the Notes in the circumstances set out in the Conditions.

Holdings. Holdings is not expected to be a securitisation company. It will be subject to corporation tax on its income and gains under the general rules. Holdings is not expected to have any significant income, and any tax payable by it will not be an obligation of the Issuer.

Value added tax. Supplies of services to the Issuer under the Transaction Documents may be subject to value added tax ("VAT") at the standard rate, depending on their nature. The Issuer is not expected to be able to recover input VAT, because its own supplies are exempt or outside the scope of VAT. Any irrecoverable VAT on the fees of the Mortgage Administrator, the Cash Manager, the Note Trustee and Security Trustee, the Corporate Services Provider or any other service provider will be an expense of the Issuer and will reduce the funds available to pay the Noteholders, as described in Section 1.

Other Tax Considerations

Noteholders within the charge to corporation tax. A Noteholder within the charge to United Kingdom corporation tax will generally be taxed on the return on the Notes, including interest, profits and losses on disposal and any fair value movements, as income under the loan relationship rules in Part 5 of the Corporation Tax Act 2009, broadly by reference to the amounts recognised in its accounts in accordance with generally accepted accounting practice. The Notes are offered only to professional investors, and this summary does not describe the position of individual Noteholders.

Noteholders not resident in the United Kingdom. Interest on the Notes has a United Kingdom source and may therefore be chargeable to United Kingdom tax by direct assessment even where it is paid without deduction. However, a Noteholder which is not resident in the United Kingdom and which does not hold the Notes in connection with a trade carried on in the United Kingdom through a permanent establishment, branch or agency will generally have no liability to United Kingdom tax on that interest beyond any tax deducted at source.

Summary only. This Section 18 is a general summary. It is not a complete analysis of the tax consequences of acquiring, holding or disposing of the Notes, it is based on the law and practice in force on the date of this Offering Circular, and none of the Issuer, the Seller, the Arranger, the Note Trustee and the Security Trustee accepts any responsibility for the tax consequences for any Noteholder.

Section 19 — Subscription and Sale

The Subscription Agreement

Under a subscription agreement dated on or about the date of this Offering Circular between the Issuer, the Society and the Arranger (the "Subscription Agreement"), the Arranger has agreed with the Issuer, subject to the satisfaction of certain conditions, to subscribe or procure subscribers for the Notes on the Issue Date at an issue price of 100 per cent of their principal amount. The Society has agreed in the Subscription Agreement to purchase on the Issue Date any Notes which it has notified to the Arranger that it wishes to acquire, and the obligation of the Arranger applies to the remaining Notes of each Class. The retention of a material net economic interest by the Society is effected as described in Section 17, and not by holding Notes.

The obligations of the Arranger under the Subscription Agreement are subject to conditions precedent, including:

(a) the execution and delivery of the Transaction Documents by each of the parties to them on or before the Issue Date;

(b) the delivery to the Arranger of legal opinions from Hartwell Quinn LLP and Grantley Moss LLP, as to English law, Scots law and United Kingdom taxation, in a form satisfactory to the Arranger;

(c) the assignment of the ratings set out in Section 3 to the Rated Notes by the Rating Agencies, and the absence, before the Issue Date, of any downgrade, or of any public announcement of a possible downgrade, of those ratings;

(d) the accuracy, on the date of the Subscription Agreement and on the Issue Date, of the representations and warranties given by the Issuer and the Society, and the performance by each of them of the obligations to be performed by it on or before the Issue Date; and

(e) the absence, before the Issue Date, of any material adverse change in the financial condition, business or prospects of the Issuer or the Society, or of any change in national or international financial, political or economic conditions which, in the opinion of the Arranger, is likely to prejudice materially the success of the offering or the distribution of the Notes.

The Issuer and the Society have given representations and warranties to the Arranger in respect of, among other things, themselves, the Mortgage Loans, the Transaction Documents and the information contained in this Offering Circular. The Society has agreed to indemnify the Arranger against certain liabilities and expenses incurred in connection with the issue of the Notes and to pay the commissions, fees and expenses of the Arranger and the other expenses of the issue, as described in Section 20. The Arranger may terminate the Subscription Agreement in certain circumstances at any time before payment of the subscription moneys to the Issuer.

The Notes will be delivered on the Issue Date (14 May 2026) against payment, through the Clearing Systems described in Section 20.

General

The Arranger has represented, warranted and undertaken that it has complied and will comply with all applicable laws and regulations in each jurisdiction in which it purchases, offers, sells or delivers Notes or possesses, distributes or publishes this Offering Circular or any other offering material relating to the Notes, and that it will obtain any consent, approval or permission required by it for the purchase, offer, sale or delivery of Notes under the laws and regulations in force in any jurisdiction to which it is subject or in which it makes such purchases, offers, sales or deliveries.

No action has been taken by the Issuer, the Society or the Arranger which would, or is intended to, permit a public offer of the Notes, or the possession or distribution of this Offering Circular or

any other offering material, in any country or jurisdiction where action for that purpose is required. Neither the Issuer nor the Arranger represents that the Notes may at any time lawfully be sold in compliance with any registration or other requirement in any jurisdiction, or pursuant to any exemption available there, or assumes any responsibility for facilitating any such sale.

United Kingdom

The Arranger has represented, warranted and undertaken that:

(a) it has only communicated or caused to be communicated, and will only communicate or cause to be communicated, any invitation or inducement to engage in investment activity (within the meaning of section 21 of FSMA) received by it in connection with the issue or sale of any Notes in circumstances in which section 21(1) of FSMA does not apply to the Issuer;

(b) it has complied and will comply with all applicable provisions of FSMA with respect to anything done by it in relation to the Notes in, from or otherwise involving the United Kingdom;

(c) it has not made and will not make an offer of Notes to the public in the United Kingdom, except an offer falling within an exception in Schedule 1 to the Public Offers and Admissions to Trading Regulations 2024, including an offer made only to qualified investors, provided that no such offer requires the Issuer or the Arranger to publish a prospectus or other offering document;

(d) it has not offered, sold or otherwise made available, and will not offer, sell or otherwise make available, any Notes to any retail investor in the United Kingdom, as defined in the Important Notice; and

(e) it will not sell any Notes to a retail client in the United Kingdom otherwise than in accordance with the restrictions on the sale of securitisation positions to retail clients in the Securitisation Regulations 2024 and SECN.

This Offering Circular is directed only at persons in the United Kingdom who: (a) have professional experience in matters relating to investments falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Financial Promotion Order"); (b) fall within Article 49(2)(a) to (d) of the Financial Promotion Order; or (c) are persons to whom it may otherwise lawfully be communicated (together, "Relevant Persons"). This Offering Circular must not be acted on or relied on by persons who are not Relevant Persons, and any investment or investment activity to which it relates is available only to, and will be engaged in only with, Relevant Persons.

European Economic Area

In relation to each member state of the EEA, the Arranger has represented, warranted and undertaken that:

(a) it has not made and will not make an offer of Notes to the public in that member state, except to any legal entity which is a qualified investor as defined in Regulation (EU) 2017/1129 (as amended, the "EU Prospectus Regulation"), or in any other circumstances falling within Article 1(4) of the EU Prospectus Regulation, provided that no such offer requires the Issuer or the Arranger to publish a prospectus under Article 3 of the EU Prospectus Regulation or to supplement a prospectus under Article 23 of the EU Prospectus Regulation;

(b) it has not offered, sold or otherwise made available, and will not offer, sell or otherwise make available, any Notes to any retail investor in the EEA, as defined in the Important Notice; and

(c) it will not sell any Notes to a retail client in the EEA otherwise than in accordance with Article 3 of Regulation (EU) 2017/2402 (as amended, the "EU Securitisation Regulation").

For the purposes of this provision, the expression an "offer of Notes to the public" means the communication in any form and by any means of sufficient information on the terms of the offer and the Notes to be offered so as to enable an investor to decide to purchase or subscribe for the Notes.

The Transaction has been structured to comply with the UK securitisation framework. Investors established in the EEA and subject to Article 5 of the EU Securitisation Regulation are responsible for their own assessment of whether the retention by the Society described in Section 17 and the information made available under Section 20 enable them to comply with their due diligence obligations under that Article. None of the Issuer, the Society and the Arranger gives any assurance that they do.

United States

The Notes have not been and will not be registered under the Securities Act and may not be offered, sold or delivered within the United States or to, or for the account or benefit of, U.S. persons (as defined in Regulation S under the Securities Act ("Regulation S")), except in certain transactions exempt from, or not subject to, the registration requirements of the Securities Act. The Arranger has represented, warranted and undertaken that:

(a) it has offered and sold, and will offer and sell, the Notes only outside the United States to persons who are not U.S. persons in offshore transactions in reliance on Regulation S, both as part of its distribution at any time and otherwise until 40 days after the later of the commencement of the offering and the Issue Date (the "Distribution Compliance Period");

(b) neither it, nor its affiliates, nor any person acting on its or their behalf, has engaged or will engage in any directed selling efforts with respect to the Notes, and it and they have complied and will comply with the offering restrictions requirement of Regulation S;

(c) at or before confirmation of the sale of any Notes, it will have sent to each distributor, dealer or person receiving a selling concession, fee or other remuneration that purchases Notes from it during the Distribution Compliance Period a confirmation or notice setting out the restrictions on offers and sales of the Notes within the United States or to, or for the account or benefit of, U.S. persons; and

(d) it will not sell any Notes to, or for the account or benefit of, any "U.S. person" as defined in the credit risk retention regulations issued under Section 15G of the U.S. Securities Exchange Act of 1934, as amended (the "U.S. Risk Retention Rules"), except with the prior written consent of the Society.

The Transaction is not intended to involve the retention by a sponsor of a credit risk for the purposes of the U.S. Risk Retention Rules. The Issuer intends to rely on the exemption for non-U.S. transactions in Section 20 of the U.S. Risk Retention Rules, one of whose conditions is that no more than 10 per cent of the dollar value (or its equivalent) of all classes of interests issued in the securitisation are sold or transferred to, or for the account or benefit of, U.S. persons for the purposes of those rules. Each purchaser of Notes, including a purchaser of beneficial interests in the Notes, will be deemed to represent that it is not such a U.S. person, or that it has obtained the consent of the Society. The Issuer has not been and will not be registered under the U.S. Investment Company Act of 1940, as amended. Terms used in this paragraph have the meanings given to them by Regulation S.

Prohibition of Sales to Retail Investors

The Notes are offered only to professional investors and eligible counterparties. Each purchaser of Notes, in the initial distribution and in any subsequent resale, will be deemed to represent and agree that it is not a retail investor in the United Kingdom or the EEA, as defined in the Important Notice, and that it will not offer, sell or otherwise make available any Note to such a person. Any

Distributor reselling the Notes is responsible for its own compliance with the product governance rules and with the restrictions on retail distribution that apply to it, including the restrictions on the sale of securitisation positions to retail clients.

Other Jurisdictions

No action has been taken to permit an offer of the Notes in any jurisdiction other than the United Kingdom and the member states of the EEA, and then only to the persons and in the circumstances described in this Section. The Arranger has undertaken that it will not offer or sell Notes, or distribute this Offering Circular, in any other jurisdiction except in circumstances that will result in compliance with the applicable laws and regulations of that jurisdiction and that will not impose any obligation on the Issuer or the Society.

Secondary Market and Other Relationships

The selling restrictions in this Section may be modified by agreement between the Issuer and the Arranger following a change in a relevant law, regulation or directive, or in its interpretation. Each person who acquires Notes in the secondary market will be deemed to have made the representations and undertakings in this Section that apply to it, as if references to the Arranger were references to that person.

The Arranger and its affiliates have engaged, and may in the future engage, in investment banking, commercial banking and other transactions with the Society and its affiliates in the ordinary course of business, for which they have received and may receive customary fees. Halcyon Bank plc, in addition to its role as arranger, acts as Account Bank, Collection Account Bank, Swap Provider, Principal Paying Agent, Agent Bank and Registrar, as described in Section 2, and its interests in those capacities may differ from those of the Noteholders. The Arranger is under no obligation to make a market in the Notes, and it may purchase, hold and sell Notes for its own account or for the accounts of its customers.

Section 20 — General Information

Use of Proceeds

The gross proceeds of the issue of the Notes on the Issue Date will be equal to the aggregate principal amount of the Notes set out in Section 3, which is equal to the aggregate current balance of the Provisional Portfolio on the Portfolio Reference Date (400,000,000). The Issuer will apply the whole of those proceeds on the Issue Date in paying to the Seller the initial consideration for the Mortgage Loans and their Related Security under the Mortgage Sale Agreement (the "Initial Consideration"). The Seller will be entitled, in addition, to deferred consideration, payable only to the extent that Available Revenue Receipts remain after all items ranking above it in the Revenue Priority of Payments have been paid in full, as set out in Section 6.

The proceeds of the Subordinated Loan will be applied on the Issue Date in funding the General Reserve Fund and the Liquidity Reserve Fund up to their respective required amounts, as described in Section 5. The commissions, fees and expenses of the Arranger and the other expenses incurred in connection with the issue of the Notes will be paid by the Society and will not be paid out of the proceeds of the Notes.

Authorisation

The issue of the Notes and the entry by the Issuer into the Transaction Documents to which it is a party were authorised by resolutions of the board of directors of the Issuer passed on 5 May 2026. The entry by Holdings into its covenants in favour of the Security Trustee was authorised by its board of directors on the same date. The entry by the Society into the Transaction Documents to which it is a party was authorised by its board of directors in accordance with its rules and the Building Societies Act 1986. The Issuer has obtained all necessary consents, approvals and authorisations in the United Kingdom in connection with the issue and performance of the Notes.

Litigation

The Issuer is not, and has not been since its incorporation, involved in any governmental, legal or arbitration proceedings (including any such proceedings which are pending or threatened of which the Issuer is aware) which may have, or have had, a significant effect on its financial position or profitability. Holdings makes the same statement in respect of itself. The Society is, in the ordinary course of its business, the subject of complaints by borrowers, including complaints referred to the Financial Ombudsman Service, and of possession and other proceedings brought by it as lender; the Society does not consider that any such proceedings, alone or together, are likely to have a material adverse effect on its ability to perform its obligations under the Transaction Documents.

No Significant Change

Since the date of its incorporation, there has been (a) no material adverse change in the financial position or prospects of the Issuer, and (b) no significant change in the financial or trading position of the Issuer. The Issuer has not, since its incorporation, entered into any contract other than in the ordinary course of its business or as described in Section 9.

Accounts

No statutory accounts of the Issuer or of Holdings have been prepared as at the date of this Offering Circular. The first financial period of each will end on 31 December 2026. The Issuer will publish its audited annual accounts within the period required by the Companies Act 2006 and will deliver copies of them to the Note Trustee. The Auditors are Fennick & Rowe LLP, as described in Section 9. The Issuer does not intend to publish interim accounts.

Documents Available for Inspection

For so long as any of the Notes remain outstanding, copies of the following documents may be inspected, in electronic form, during usual business hours on any weekday (public holidays excepted) at the registered office of the Issuer and at the specified office of the Principal Paying Agent, and will be made available through the securitisation repository described below:

(a) the certificate of incorporation, the certificate entitling the Issuer to commence business as a public company, and the articles of association of the Issuer and of Holdings;

(b) the audited annual accounts of the Issuer and of Holdings, when published;

(c) the Trust Deed, which contains the forms of the Global Notes and the Conditions;

(d) the Deed of Charge;

(e) the Mortgage Sale Agreement;

(f) the Scottish Declaration of Trust;

(g) the Mortgage Administration Agreement;

(h) the Cash Management Agreement;

(i) the Bank Account Agreement;

(j) the Collection Account Declaration of Trust;

(k) the Swap Agreement;

(l) the Subordinated Loan Agreement and the Agency Agreement;

(m) the Corporate Services Agreement and the Share Trust Deed;

(n) the master definitions and construction schedule, which contains the definitions used in the Transaction Documents (the "Master Schedule"); and

(o) each Investor Report.

The documents listed in paragraphs (c) to (n) are governed by English law, save that the Scottish Declaration of Trust, the assignation in security of the Issuer's interest under it, and any matter relating to the Scottish Mortgage Loans and their Related Security are governed by Scots law.

Clearing and Settlement

The Notes have been accepted for clearance through the international central securities depositaries selected by the Issuer (the "Clearing Systems"). Each Class of Notes will be issued in registered form, in minimum denominations of £100,000 and integral multiples of £1,000 above that amount, and will be represented on issue by a global note certificate (each, a "Global Note") registered in the name of a nominee of a common safekeeper for the Clearing Systems. Notes in definitive form will be issued only in the limited circumstances set out in the Conditions. The identification codes of the Notes are as follows:

Class	ISIN	Common Code
Class A Notes	XS0000000101	000000101
Class B Notes	XS0000000102	000000102
Class C Notes	XS0000000103	000000103
Class D Notes	XS0000000104	000000104
Class Z Notes	XS0000000105	000000105

The Legal Entity Identifier of the Issuer is 00000000SEVERN2026A1. Payments on the Notes will be made by the Principal Paying Agent to the Clearing Systems for credit to the accounts of their participants. The Issuer has no responsibility for the records of the Clearing Systems or of their participants.

Investor Reporting

The Cash Manager will prepare the Investor Report for each quarterly collection period and publish it after each Interest Payment Date, as described in Section 14. Each Investor Report will set out, among other things, the performance of the Mortgage Loans, the Arrears Ratio and the Cumulative Loss Ratio, the application of the Available Revenue Receipts and the Available Principal Receipts, the balances of the Principal Deficiency Ledger and of the reserve funds, the principal amount outstanding of each Class of Notes and the status of each Trigger Event described in Section 8.

Post-Issuance Reporting under the UK Securitisation Framework

The Issuer has been designated, in accordance with the Securitisation Regulations 2024 and SECN 6, as the entity responsible for fulfilling the transparency requirements of the UK securitisation framework (the "Reporting Entity"), and the Society has agreed to provide it with the information it requires for that purpose. The Reporting Entity will make the following available to the Noteholders, the competent authorities and, on request, potential investors, through a securitisation repository or, where none is available, a website that satisfies the requirements of SECN 6:

(a) before pricing, and in final form no later than 15 days after the Issue Date, the Transaction Documents and this Offering Circular;

(b) quarterly, loan-level information on the Mortgage Loans, in the form required by SECN 6, published at the same time as the Investor Report;

(c) quarterly, an investor report in the form required by SECN 6, including the confirmation by the Society of its continued retention of the randomly selected exposures described in Section 17; and

(d) without delay, any significant event, including a material breach of the Transaction Documents, a change in the structural features or risk characteristics of the Transaction, the occurrence of a Sequential Payment Trigger, the termination of the appointment of the Mortgage Administrator, the Cash Manager or the Swap Provider, and any material amendment to the Transaction Documents.

The information will be kept available for at least five years after the Final Maturity Date. The risk retention and other regulatory disclosures that apply to the Transaction are described in Section 17.

Interests of Persons Involved in the Issue

Save for the commissions and fees payable to the Arranger, the fees payable to the parties under the Transaction Documents, the deferred consideration and the interest and principal payable to the Society on the Subordinated Loan, and the payments under the Swap Agreement, so far as the Issuer is aware no person involved in the issue of the Notes has an interest material to the offer.

Websites and Third-Party Information

Websites referred to in this Offering Circular do not form part of it. Where information has been sourced from a third party, including the information on the United Kingdom housing and mortgage markets in Sections 1 and 10, the Issuer confirms that it has been accurately reproduced and that, as far as the Issuer is aware and is able to ascertain from that information, no facts have been omitted which would render it inaccurate or misleading.

Governing Law

The Notes and the Transaction Documents, and any non-contractual obligations arising out of or in connection with them, are governed by English law, save that the Scottish Declaration of Trust, the Scottish Mortgage Loans and their Related Security, and the assignation in security granted in respect of them, are governed by Scots law. The courts of England have exclusive jurisdiction in respect of any dispute arising out of or in connection with the Notes.

Glossary of Defined Terms

"**Arrears Ratio**" means the aggregate current balance of the loans that are 3 or more months in arrears divided by the aggregate current balance of the portfolio, on the last day of a collection period.

"**Cumulative Loss Ratio**" means the aggregate of all realised losses since the Issue Date divided by the current balance of the portfolio on the Issue Date.

"**Realised Loss**" means the amount by which the balance of a loan exceeds the proceeds of enforcement after the property has been sold.

"**Principal Deficiency Ledger**" means a ledger, one sub-ledger per class, recording realised losses and principal used to pay revenue items, cleared from Available Revenue Receipts.

"**Step-Up Date**" means the Interest Payment Date in July 2031, after which the margins step up and the Issuer may redeem all the Notes.

"**Interest Payment Date**" means the 20th day of January, April, July and October in each year.

"**Calculation Date**" means the last day of the month before each Interest Payment Date.

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